

Background to employers' responsibilities [13-005]

[13-005]

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Income derived from salary or wages has pay as you earn (PAYE) deducted by the employer and paid to Inland Revenue (IR) on specific days of the month. A new employer must register with IR. Tax is deducted and paid progressively to IR throughout the year. The PAYE regime also requires employers to account for employer superannuation cash contributions, ACC levies, student loan repayments, KiwiSaver contributions and child support.

Tax deductions are required to be made from "PAYE income payments" by the persons making those payments at the time the payments are made. The most common type of PAYE income payment is salary or wages.

An employer's responsibilities will differ depending upon whether the person providing the service is an employee or independent contractor. For this reason, it is important to distinguish between the 2 types of workers. In some cases, withholding tax may have to be deducted from payments made to independent contractors.

Employers may transfer their PAYE obligations to a PAYE intermediary.

Law: IT07 ss [RA 5\(1\)\(a\)](#), [\(2\)](#), [RD 1](#), [RD 2](#), [RD 10](#)

Last reviewed on 31 December 2025

Checklist of employer's duties [¶3-010]

[¶3-010]

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The routine duties of an employer in relation to the PAYE system and employee remuneration (including schedular payments) are summarised below:

new employee:

obtain a completed tax code declaration form ([IR330](#)) showing the tax code appropriate to the new employee's circumstances. This form is to be retained by the employer and kept with the employer's business records for a minimum of 7 years after the last salary/wages payment made to the employee. The non-notified tax code rate of 45¢ in the dollar, plus earners' levy, should be used if the employee has not completed form [IR330](#) ([¶3-030](#))

give the new employee (excluding employees not automatically enrolled in KiwiSaver) a Your introduction to KiwiSaver — employee information ([KS3](#)) fact sheet, a KiwiSaver deduction form ([KS2](#)) and a KiwiSaver opt-out request form ([KS10](#)) within 7 days of their start date. If the employer has a chosen KiwiSaver scheme, the employer must provide the scheme's investment statement and advise new employees in writing that they will be allocated to that scheme unless they choose their own

obtain from the new employee a completed [KS2](#) or [KS10](#). If the employee provides nothing, KiwiSaver contributions should be deducted at the default contribution rate of 3%

complete a New employee and KiwiSaver details form ([IR346K](#)) for the new employee if the employee is not already a KiwiSaver member and submit to IR with the next employment information. For more information on KiwiSaver, see [¶29-200](#).

each pay day: deduct the appropriate amount of tax each pay day for each employee and make a record of overtime and shift work hours

PAYE: pay PAYE deductions to IR once a month by the 20th (or, in the case of large employers, twice-monthly by the 5th and the 20th) ([¶3-020](#))

employment information: file an employment information form ([IR348](#)) on a payday or twice-monthly basis ([¶3-023](#))

schedular payments: tax must be withheld from payments made to certain contract workers ([¶3-044](#)), and such workers should either fill in an [IR330C](#) (tax rate notification for contractors form) or have tax deducted at the no-notification rate

termination of employment: when an employer stops employing employees permanently, the employer has 30 working days after the date they stop employing to notify the Commissioner ([¶3-110](#))

accident insurance: pay ACC work account levies to fund the cost of work place accidents, including any residual claims levy ([¶31-010](#) onwards)

ACC earners' levy: deduct earners' levy from salary and wages paid to employees to cover non-work-related injuries (the earners' levy is built into the PAYE tables) ([¶31-048](#))

employee and employer KiwiSaver contributions: if payable, these must be paid along with PAYE deductions by the due date for those deductions ([¶29-230](#))

employer's superannuation contribution tax: if payable, this must be paid along with PAYE deductions by the due date for those PAYE deductions ([¶3-101](#))

child support deductions: if any, these are due to IR by the 20th of the month following the month of deduction or, in the case of large employers, they may choose to pay these on the 5th and 20th of each month ([¶3-025](#))

student loan deductions: if any, these must be paid along with PAYE deductions by the due date for those deductions ([¶8-055](#))

fringe benefits: an employer must account for any fringe benefits provided to employees either on a quarterly, income year or annual basis ([¶21-010](#) onwards), and

payroll donations: an employer must, if they have elected to participate in the payroll giving scheme, transfer donations to the relevant donee organisation within the specified time period and keep a record of the amounts transferred and the tax credits attached for each pay period ([¶11-063](#)).

Last reviewed on 31 December 2025

Employee, employer defined [¶3-011]

[¶3-011]

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An "employee" is defined generally as any person who receives or is entitled to receive a PAYE income payment.

An employer is any person who pays or is liable to pay a PAYE income payment and includes:

- # the manager or principal officer in the case of an unincorporated body of persons, excluding a partnership
- # each partner in a partnership
- # a look-through company
- # each person in whom property has become vested or to whom control of property has passed in the case of a deceased estate, a trust, a company in liquidation, an assigned estate, or in any other case, and
- # the Crown.

For the definitions of "employee" and "employer" for the purposes of the FBT regime, see [¶21-040](#) and [¶21-050](#).

Law: IT07 s [YA 1](#) ("[employee](#)", "[employer](#)")

Last reviewed on 31 December 2025

PAYE income payments defined [¶3-012]

[¶3-012]

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PAYE income payments

PAYE income payments (previously referred to as “source deduction payments”) can be any of a wide variety of payments.

In s [RD 3](#) a “PAYE income payment” means:

- # a payment of salary or wages (s [RD 5](#) and [¶3-016](#))
- # extra pay (s [RD 7](#) and [¶3-221](#))
- # a schedular payment (s [RD 8](#) and [¶3-044](#)).

PAYE income payments do not include:

- # amounts attributed to a working person under the attribution rules
- # personal service rehabilitation payments paid by a claimant under the Accident Compensation Act 2001 from which tax has been withheld (s [RD 3\(1\)\(b\)\(iii\)](#))
- # an amount paid to a shareholder–employee in the circumstances set out in s [RD 3B](#) or [RD 3C](#).

Shareholder–employees

Section [RD 3B](#) provides that in the case of a person who is a shareholder and an employee of a close company (but not a look-through company) or a company with 25 or fewer shareholders, employment income is deemed to be derived other than by way of PAYE income payments if the person so elects and, throughout the income year:

- # the person does not derive payments of salary or wages of a regular amount for regular pay periods of one month or less as an employee
- # the person derives less than 66% of their annual gross income as an employee from payments of salary or wages of a regular amount for regular pay periods, or
- # an amount is paid as income that subsequently may be allocated to the person as an employee for the income year.

Where any one of the above criteria is met, the employment income of the shareholder–employee for the income year and later income years is deemed to be derived otherwise than from PAYE income payments. This treatment applies to directors' fees, salary or wages or other income received in the capacity of employee from the company. This income is thus brought within the provisional tax system.

Section [RD 3C](#) provides that shareholder–employees of close companies or companies with 25 or fewer shareholders who receive both regular salary or wages throughout the year and variable amounts of other employment income may elect to have their income split so that the base salary is subject to PAYE and the variable amount is paid out before tax (and thus likely to be subject to provisional tax).

Law: IT07 ss [RD 3](#), [RD 3B](#), [RD 3C](#)

Last reviewed on 31 December 2025

Timing of deductibility of employment income [¶3-015]

[¶3-015]

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For an amount incurred by an employer in respect of an employee (employment income) to be deductible, it must be paid within a statutory time period. For employees other than shareholder–employees, the employment income must be paid in the income year the deduction is claimed or, if the employer chooses, within 63 days after the end of the income year in which the deduction is claimed. For shareholder–employees, the employment income must be paid in the income year or, if the employer chooses, by the last day the person could file a return of income for the income year.

If the employment expenditure is not paid by the relevant date, the unpaid amount is income of the person in the income year under s [CH 3](#).

If an amount is treated as income under s [CH 3](#), the amount should qualify for a deduction in the following income year under s [DB 51](#).

For the rules governing the deductibility of wage-related provisions (eg a provision for holiday pay) on the sale of a business, see [¶10-052](#) and [¶10-292](#).

Law: IT07 ss [CH 3](#), [DB 51](#), [EA 4](#), [EI 9](#)

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Salary or wages defined [¶3-016]

[¶3-016]

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“Salary or wages” is defined in s [RD 5](#) as any salary, wages or allowances made to a person in connection with their employment, including:

- # overtime pay, bonuses, gratuities, commissions or other pay of any kind (s [RD 5\(1\)\(b\)\(i\)](#))
- # expenditure on account of an employee (s [RD 5\(2\)](#) and [¶3-018](#))
- # periodic payments by way of pension, allowance or annuity made to a person or their spouse, civil union partner, de facto partner, child or dependant in connection with the person's past employment (s [RD 5\(4\)](#))
- # payment to working owners of look-through companies under s [DC 3B](#) and payments by a partnership to a working partner under a contract of service (s [RD 5\(3\)](#) and [\(3B\)](#))
- # a gratuitous payment for services within paragraph (a) of the definition of “pension” in s [CF 1\(2\)](#) (s [RD 5\(6\)\(a\)](#))
- # any salary or allowance paid to a member of Parliament (s [RD 5\(5\)](#))
- # any salary or principal allowance paid to a judicial officer (s [RD 5\(5\)](#))
- # any salary or allowances paid to a member of the Employment Relations Authority (s [RD 5\(5\)](#))
- # any salary paid to the Governor-General and any payment to the Governor-General on cessation of holding office (s [RD 5\(5\)](#) and [\(5B\)](#) and [¶5-598](#))
- # main benefits, veterans' pensions (other than certain pensions paid overseas) and New Zealand superannuation (other than certain superannuation paid overseas) (s [RD 5\(6\)\(b\)–\(bc\)](#))
- # all parental leave and preterm baby payments made under Pt [7A](#) of the Parental Leave and Employment Protection Act 1987 (s [RD 5\(7\)](#))
- # basic grants and independent circumstances grants made under regulations made under s 645 of the Education and Training Act 2020 (before 1 August 2020, s 193 of the Education Act 1964 or s 303 of the Education Act 1989) or an enactment substituted for that section (s [RD 5\(6\)\(c\)](#))
- # an accident compensation earnings-related payment (s [RD 5\(1\)\(b\)\(iii\)](#))
- # a payment of earnings compensation under the Compensation for Live Organ Donors Act 2016 (s [RD 5\(1\)\(b\)\(iiib\)](#))
- # a retirement lump sum paid under Pt 5 subpart 7 of the Veterans' Support Act 2014 (s [RD 5\(6\)\(bd\)](#))
- # weekly income compensation, weekly compensation or aggregated payments paid under certain provisions of the Veterans' Support Act 2014 (s [RD 5\(6\)\(be\)–\(bg\)](#))
- # the amount of an honorarium paid by Fire and Emergency New Zealand to a volunteer (s [RD 5\(6\)\(bh\)](#))
- # the provision of accommodation or an accommodation allowance under s [CE 1\(1\)\(bb\)](#) (s [RD 5\(8\)](#))
- # an employer's superannuation cash contribution that an employee chooses to have treated as salary or wages under s [RD 68](#) (s [RD 5\(9\)](#))
- # an unrepaid PAYE income overpayment that is treated as salary or wages under s [RD 8B\(2\)\(a\)](#) (s [RD 5\(10\)](#)).

A slightly different definition of “salary or wages” applies for KiwiSaver purposes ([¶29-230](#)).

Note that if a salary or wage earner receives an amount of income (not necessarily linked to employment) which has not had tax withheld on it, there may be provisional tax consequences ([¶22-040](#)).

Law: IT07 s [RD 5](#)

Last reviewed on 31 December 2025

Exclusions from salary or wages [¶3-017]

[¶3-017]

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Several items are expressly excluded from the definition of “salary or wages”. These are:

- # payments of exempt income, extra pays or schedular payments
- # payments to certain shareholder–employees (as described in ss [RD 3B\(3\)](#) and [RD 3C\(4\)](#)) that are excluded from being classified as PAYE income ([¶3-012](#))
- # any employer’s superannuation contribution (other than a cash contribution an employee chooses to have treated as salary or wages), and
- # any payment that is declared by regulation not to be salary or wages.

Law: IT07 s [RD 5\(1\)\(c\)](#)

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Meaning of expenditure on account of employee [¶3-018]

[¶3-018]

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“Expenditure on account of an employee” is broadly defined as a payment made by an employer relating to expenditure incurred, or to be incurred, by an employee, but does not include:

- # expenditure for the benefit of an employee or a reimbursement that is exempt income to the employee under s [CW 17](#) ([¶3-435](#))
- # an amount paid under:
 - # ss [CW 16B](#) to [CW 16F](#), which relate to accommodation expenditure ([¶3-425](#))
 - # s [CW 17B](#), which relates to relocation payments ([¶3-446](#))
 - # s [CW 17C](#), which relates to payments for overtime meals and sustenance allowances ([¶3-448](#) and [¶3-449](#))
 - # s [CW 17CB](#), which relates to payments for certain work-related meals ([¶3-448](#))
 - # s [CW 17CC](#), which relates to payments for distinctive work clothing ([¶3-430](#))
 - # s [CW 17D](#), which relates to payments for health and safety purposes ([¶3-449a](#))
 - # s [CW 18](#), which relates to payments for additional transport costs ([¶3-445](#))
- # expenditure, other than an amount to which the first bullet point above applies, that an employee pays in connection with their employment or service to the extent to which:
 - # the expenditure is incurred on their employer's behalf, and
 - # the employee pays it on their employer's behalf
 - # expenditure on an employment-related loan to which the FBT rules apply
 - # an employer's superannuation contribution, or
 - # a premium for income protection insurance that an employer is liable to pay or make a contribution towards for the benefit of an employee.

Generally, expenditure on account of an employee includes expenditure incurred by an employee but paid for by the employer. This leads to a fine distinction with FBT. The difference between an amount subject to FBT or taxable as expenditure on account of an employee can be decided by considering where the liability for the expenditure giving rise to the benefit or expenditure rests. If liability rests with the employer, then this is a good indication that the FBT rules will apply to the expenditure. Where the expenditure is the employee's liability, but it is met by the employer, the expenditure on account rules are likely to apply.

When an employer reimburses an employee for expenditure incurred in the course of the employer's business, the employer is entitled to claim any relevant input tax credit that may be available for GST purposes — provided the employer holds the appropriate tax invoice.

Law: IT07 s [CE 5](#)

Last reviewed on 31 December 2025

Payment of tax deductions to Commissioner [13-020]

[13-020]

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Every employer or PAYE intermediary who makes tax deductions from PAYE income payments is required to pay those deductions to IR on a regular basis together with any:

- # payroll donations
- # KiwiSaver deductions
- # KiwiSaver employer contributions
- # child support deductions
- # student loan deductions
- # employer's superannuation contributions paid and employer's superannuation contribution tax (ESCT) deducted.

The relevant employment income information must also be provided to the Commissioner by the dates set out in subpart 3C of the Tax Administration Act 1994 (TAA) ([13-023](#)).

Payment dates

PAYE deducted from employees is money held in trust for the government. Therefore, IR will impose heavy penalties if that money is used for other purposes and not paid to the government.

PAYE deducted is payable either monthly or twice monthly, depending upon the employer's total gross annual PAYE deductions and ESCT. Earners' levy, student loan repayments, KiwiSaver deductions and child support are not included in this amount.

Large employers, with gross annual PAYE deductions and ESCT of \$500,000 or more, must pay:

- # deductions made in the period from the 1st to the 15th of the month, by the 20th of the same month, and
- # deductions made in the period from the 16th to the end of the month, by the 5th of the following month (or 15 January when December is the month of the deductions).

Small employers, with gross annual PAYE deductions and ESCT of less than \$500,000, must pay deductions made during a month by the 20th of the following month.

If the due date falls on a weekend or public holiday, payment can be made on the next working day without penalty.

For the purposes of calculating the \$500,000 threshold, all partners in a partnership, all trustees in a trust, and all companies in a group of companies (ie the companies have a minimum 66% common shareholding) are treated as one employer. The threshold may be changed by Order in Council on the recommendation of the Minister of Revenue following appropriate consultation.

When an employer ends their business and begins a new business, or operates 2 or more businesses at the same time, the gross tax deductions of all the businesses in question are aggregated.

For the PAYE requirements on cessation of business, see [13-110](#).

For the payment of cross-border employee deductions under a bespoke annual arrangement, under which the payment of tax for PAYE income payments made to the class of cross-border employees in a tax year may be deferred to the 31 May following the end of the relevant tax year, see [13-367](#).

Law: IT07 ss [RA 5](#), [RA 15](#), [RD 3](#), [RD 4](#),

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Determining whether tax deduction should be made [¶3-021]

[¶3-021]

[Click to open document in a browser](#)

It is an offence not to make a tax deduction when one should be made. Failure to make a tax deduction is subject to the penalties regime as set out in [¶14-250](#).

If a question arises as to whether the PAYE rules apply to all or part of a PAYE income payment, the Commissioner must determine the matter (s [RD 3\(5\)](#)).

A taxpayer cannot directly dispute or challenge a s [RD 3\(5\)](#) determination under any tax statute. However, under s [138M](#) of the TAA, a taxpayer may dispute a notice of proposed adjustment or challenge an assessment that is issued by the Commissioner in relation to an amount of tax withheld on the basis of a determination under s [RD 3\(5\)](#) on the ground that the determination is wrong in fact or in law. There is no other basis in tax law for disputing or challenging this type of determination (*Tax Information Bulletin* [¶161-112 Vol 16, No 1](#), February 2004 at 22).

Alteration to PAYE rates of tax deduction

Where a tax rate or threshold change occurs that affects the amount of tax for a PAYE income payment, the rates and thresholds to be applied are those in force on the date the PAYE income payment is paid or treated as paid (s [RD 10C](#)).

Charitable trust liable for PAYE deductions

A charitable trust that is an employer must deduct PAYE and other amounts even if the trust itself is exempt from tax. See IR booklet "Charitable and donee organisations" [IR255](#), April 2024.

Example:

A charitable trust that engaged 12 previously unemployed workers under the New Zealand Employment Service Community Restart Programme to restore an old ship was liable for PAYE tax deductions and ACC levies. The charitable trust, rather than the New Zealand Employment Service (NZES), was the employer of the workers. The payments by the NZES were payments of subsidies and were not wages to the employees. See Case R23 ([1994](#)) [16 NZTC 6,108](#).

PAYE on income received fraudulently

Under s [CB 32](#), any property fraudulently obtained is assessable income. However, because the person is not entitled to receive the income, it cannot be a PAYE income payment.

If PAYE is deducted from the payment, the Commissioner will repay the deduction to the payer on request in writing. The amount assessed to the recipient is the net amount of the fraudulent payment, ie the amount actually received by them. The recipient is then responsible for meeting their tax liability on that income.

If the recipient repays any of the income, they are entitled to a deduction for the amount repaid in the year it is repaid, under s [DB 44](#).

Law: IT07 ss [CB 32](#), [RD 3\(5\)](#), [RD 10C](#); TAA s [138M](#)

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Employment income information on a payday basis [¶3-023]

[¶3-023]

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Introduction

Employment income information must be provided on a payday basis with effect from 1 April 2019. Employer monthly schedules, PAYE income payment forms and PAYE income payment form periods have been replaced with new employment income information requirements. For a discussion of the reporting requirements before 1 April 2019, see CCH, *2019 New Zealand Master Tax Guide*.

Subpart [3C](#) (Employment income information) of the TAA, consisting of ss [23B](#) to [23Q](#), sets out:

- # what is meant by employment income information for reporting purposes
- # when employment income information must be provided to the Commissioner and how it must be delivered
- # the information that must be provided for new and departing employees, and
- # the rules for correction of errors.

Employment income information

Employment income information is defined as the items of information listed in [sch 4, tables 1 to 3](#), that an employer must provide to the Commissioner.

Table 1 specifies the information for reporting on a payday basis. This must be included on form [IR348](#), "Employment Information" and is as follows:

- # employer's name and tax file number
- # the payday date
- # for every employee who receives a PAYE income payment or benefit under an employee share scheme (ESS):
 - # name and, if supplied to the employer, tax file number
 - # tax code
 - # gross earnings (including the value of a benefit under an ESS)
 - # whether extra pays received and not taxed at correct rate
 - # total amount of tax withheld before tax credits taken into account
 - # amount of earnings not liable to the earner levy (including the value of a benefit under an ESS)
 - # for every employee, as applicable, the amount of:
 - # tax credits for payroll donations
 - # child support deductions
 - # student loan repayments
 - # employee and employer KiwiSaver contributions
 - # employer's superannuation contribution tax (ESCT)
 - # for every former employee receiving a benefit under an ESS when employer has withheld tax for the benefit:
 - # name and, if supplied to the employer, tax file number
 - # value of the benefit
 - # amount of tax withheld, and
 - # other particulars as the Commissioner requires.

Table 2 specifies the information that must be provided about new employees and table 3 deals with the information for departing employees. These information requirements are discussed below.

Form [IR337](#), "Completing Employment Information forms", provides guidance on how to complete [IR346K](#) and [IR348](#).

Employers' groups for delivery of information

An employer is included in one of the 3 following groups of employer for the delivery of employment income information to the Commissioner:

- # the online group
- # the non-electronic group, or
- # the new group.

Online group

The online group is the default group if the employer is not included in either of the other 2 groups. An employer in the online group has to deliver their employment income information for a payday in electronic form and by means of an electronic communication as prescribed by the Commissioner, and within 2 working days after payday. Online delivery of the information will be possible from within payroll software or using IR's secure online service — myIR.

Note that all PAYE intermediaries are included in the online group for the delivery of employment income information. In addition, any employer who delivers employment income information electronically, whether through a service or platform provided by the Commissioner or through the use of payroll software, is also included in the online group.

Non-electronic group

An employer is included in the non-electronic group if the combined gross PAYE and ESCT withheld for the preceding year is below the specified threshold of \$50,000 or they have an exemption (see below) and they are not included in the online group or the new group.

An employer in the non-electronic group has to deliver their employment income information for a payday within 10 days after the payday in a prescribed non-electronic form. For these purposes, an employer may choose to treat the payday as the day on which a PAYE income payment is made, or:

- # for an amount paid from the 1st to the 15th day of a month, the 15th of the month
- # for an amount paid from the 16th to the last day of a month, the last day of the month.

Thus, an employer can choose whether to deliver the information on a payday basis or on a twice-monthly basis. If an employer chooses to deliver the employment income information on a twice-monthly basis, they must deliver the information for all payments made during the relevant period. See example in *Tax Information Bulletin* [1305-102 Vol 30, No 5](#), June 2018 at 9–10 for illustration of the application of the rules.

The threshold for this group may be set by Order in Council after appropriate consultation in the future.

For a new employer to be within the non-electronic group, the total accumulated amounts of tax for the current tax year must be below the threshold. If the accumulated amount reaches the threshold amount during the tax year, the employer is included in the new group for whatever remains of the 6-month period from the date the employer starts employing employees. Following that period, the employer is in the online group.

An employer is also included in the non-electronic group if the Commissioner exempts the employer from the online group requirements because it is reasonable in the circumstances, taking into account:

- # the nature and availability of digital services to the employer, including the reliability of those services for the employer's purposes
- # the capability of the employer relating to the use of computers, and
- # the costs the employer would incur in complying with the requirements if those costs would be unreasonable in the circumstances.

The Commissioner has to provide a statement of reasons for the exemption. Generally, the exemption remains valid until the Commissioner notifies the employer that it is to be cancelled, in which case it expires 6 months after the date given in the notice. However, the Commissioner can set a time limit on the exemption when it is made.

Operational statement OS 24/01

Operational statement, [OS 24/01](#) "Exemption from electronic filing" discusses the criteria for a person to be granted an exemption from filing electronically. The Commissioner will take into account the availability of connection to the internet and type of connection, and accepts that a person will need at least a broadband internet connection. The reliability of the connection will also be considered and the statement states that an unreliable internet connection will be a significant factor in granting an exemption. The Commissioner will consider whether the person has the necessary computer skills to be able to use the digital technology and, if not, whether they have an employee, or can engage the services of someone, who is able to use the technology. Whether the person has some disability that affects their ability to use digital services will also be relevant. If a person uses a computer with an internet connection in their business or as part of their everyday affairs, the Commissioner considers it reasonable to expect they will have little difficulty in sending the necessary returns/information electronically. The question of costs will be considered by determining what is unreasonable in the circumstances of the particular person. As most employers would use a computer in their business, the Commissioner considers there will generally be no material compliance costs for most employers.

New group

An employer is included in the new group if the employer becomes an employer in a tax year.

The new-employer period is the 6-month period that starts on the date in the tax year on which the employer starts employing employees (rather than the date they commence business, as under the previous rules). An employer in the new group may choose to deliver their employment income information for a payday in the new-employer period within 10 days after the payday in a non-electronic format prescribed by the Commissioner. If an employer in the new group satisfies the requirements of the non-electronic group, they can also choose to deliver the employment income information on a payday basis or on a twice-monthly basis, as set out above.

If an employer in the new group chooses to deliver their employment income information electronically, the employer will be immediately included in the online group.

Example:

Mel and Sefina have established a company and bought an existing business which employs 12 full time staff. Rather than take over the antiquated business systems which the previous owner used they intend to use a modern business software package that will look after invoicing and accounting as well as payroll. They know there are packages that can be used to meet their obligations for GST, provisional tax and employment income information.

At the time they take the business over they have not chosen their new software system and know that, regardless of how much PAYE and ESCT they withhold, they have a six-month period during which they can file their employment income information on paper.

Example taken from *Tax Information Bulletin* [¶305-102 Vol 30, No 5](#), June 2018 at 11.

Tax Information Bulletin [¶305-102 Vol 30, No 5](#), June 2018 at 8 contains the following graphic representation of the employer groups.

Special payments

Section [23J](#) deals with certain special payments where the requirement to report them on a payday basis could increase compliance costs for employers. The identified payments and the delivery requirements are as follows:

Scheduling payments

Employers have the option to deliver their employment income information on a payday basis, or twice-monthly, where payments made from the 1st to the 15th of the month must be reported, at the latest, as if the payment was made on the 15th, and payments made from the 16th to month end must be reported, at the latest, as if they were made at month end. The due dates for reporting will then depend on the employer group relevant for that employer, ie either 2 or 10 working days.

Example:

Sacha and his wife farm in partnership. In addition to employing two staff who are paid fortnightly, they occasionally employ contractors who are paid schedular payments. They pay contractors at the end of their period of engagement. They do the payroll manually but the partnership files electronically, using the onscreen form, and is in the online group.

If there is a regular payday between the date of the schedular payment and the end of the half monthly period for schedular payments Sacha reports the schedular payment at the same time as the next report for his employees.

If the schedular payment falls after the last regular payday in the half month Sacha knows he could wait until the end of the half monthly period, but he generally files the information relating to the schedular payment on a payday basis, at the same time he calculates the payment. If he chose he could however wait until the end of the half monthly period to electronically file the information.

Example taken from *Tax Information Bulletin* [1305-102 Vol 30, No 5](#), June 2018 at 12.

Shadow payroll payments

These are payments paid by a non-resident employer to a person who undertakes employment services in New Zealand but who remains on the employer's payroll system in a country or territory outside New Zealand. The non-resident employer has 20 days after payment before the requirement to deliver the employee income information arises. The employer may treat that 20th day as the payday and report on a payday basis, or provide their information twice-monthly, as for schedular payments, where the 20th day after payment is treated as the date payment is made. For these purposes the 20th day is not calculated on a working day basis but in actual days.

Out-of-cycle payments

These are payments the employer makes outside the regular payment cycle for the employee's employment income. Employers can report these payments on a payday basis or with the employment income information for the next regular payment of salary or wages, except where the delay would carry the reporting over the end of a PAYE payment period and mean that, for reconciliation purposes, the information would appear to be reported as if the payment related to a later period. In this case, the employer has to report the out-of-cycle payment as if it was made on a date not later than the end date of the payment period.

Note that IR has indicated that the need for this exception relating to out-of-cycle payments will be reviewed after IR has completed the transfer of PAYE from its old to its new computer systems after 2020.

Exceptions

Despite the delivery requirements of the various groups and special payments, an employer can nevertheless deliver their information at any time before the dates set out above.

An employer can also ask the Commissioner for approval to deliver the information in another way. The Commissioner can give consent with terms and conditions, vary the terms and conditions, and cancel the consent.

Payday

"Payday" is defined as the day on which an employer makes a PAYE income payment to an employee. For employers instructing a bank to transfer funds to an employee, the payday is the date the employer has instructed the bank to make the funds available. The early transfer of the funds, eg on the preceding evening, does not change the payday.

Payroll software

"Payroll software" is defined as a commercially available payroll system or service, or another bespoke equivalent, that enables the calculation of amounts of salary or wages and amounts that are required to be withheld under the PAYE rules. The Commissioner can set specifications for payroll software from time to time.

Requirements for employees providing information

If an employee is required to provide the employment income information relating to employment related taxes under s [CE 1F](#) of the IT07 because tax was not withheld when the PAYE income payment was paid, the employee has to deliver the information in the prescribed format within 10 working days after the end of the month in which the payment is made.

In addition, where a person is required to provide employment income information relating to PAYE under s [RA 15\(4B\)](#) (in relation to cross-border employees), that information must be provided by 31 May after the end of the tax year (s [231B](#)).

New and departing employees

An employer can provide early advice to IR of a new or departing employee. An employer can send employee details to IR before a new employee is first paid. This is intended to enable IR to automatically check the IRD number and proposed tax code and communicate back in near real-time if changes are necessary or if there are other deductions, such as for child support, to be made. Near real-time checking of employee details before the employee is first paid will minimise the need to subsequently correct errors such as tax codes and deductions. While IR encourages employers to provide new employee information before the employee is first paid, this is not a requirement.

The information has to be supplied by the date the employer is required to deliver employment information for the employee for the first payday, for a new employee, or the last payday, for a departing employee (as per the discussion above).

For a new employee, the information requirements are those set out in [sch 4, table 2](#), and for a departing employee, [sch 4, table 3](#). In addition to the information required to identify the employer (name, contact address and tax file number), the following information has to be supplied for a new employee:

- # name, contact address
- # date of birth, if supplied to employer
- # commencement date of employment
- # tax file number, if supplied to employer
- # tax code, as supplied by employee
- # KiwiSaver status under s [22](#) of the KiwiSaver Act 2006.

This information is included on form [IR346K](#), "New employee and KiwiSaver details".

For departing employees, in addition to the employer identification information, the following information has to be supplied:

- # name, date of cessation of employment
- # tax file number, if supplied to employer.

If any of the above information is already included in the employment income information provided, there is no need to repeat the information and only the additional information is required.

A new employee, or an employee opting in, must advise the employer of the employee's KiwiSaver status, including whether they are a member or choose to opt in, their deduction rate, whether they are on a contributions holiday, or of a desired change in status ([129-215](#)).

Ceasing to employ

When an employer stops employing employees, and the cessation is intended to be permanent, the employer is required to notify the Commissioner that employment has ended within 30 working days after the date on which they stop employing employees.

Correction of errors

Payday reporting of employment income information shortens the turnaround time and reduces the time available to employers to correct employment income information before it is sent to IR. In this context, therefore, the process for error correction and adjustment must have low compliance and administrative costs and must provide materially accurate employee information.

The manner in which PAYE and related errors can be corrected is set out in the Tax Administration (Correction of Errors in Employment Income Information) Regulations 2019. The Regulations apply to the following types of errors:

- # payroll overpayment errors that arise when an employee is overpaid and correcting the overpayment requires consequential change to the amounts withheld for PAYE and related deductions, such as KiwiSaver and ESCT
- # interpretation errors that arise when the employee receives the correct pay but an incorrect tax treatment is applied, and
- # reporting errors that arise when the employee was paid and taxed correctly but reporting to IR does not accurately reflect what was paid or withheld.

However, the regulations do not generally apply to payroll corrections for underpayments or where an error is the result of an incorrect tax code being provided by an employee.

Broadly speaking, once the type of error has been established, the relevant regulation provides for options for correction. The 2 main options are:

- # same payday correction by notifying the Commissioner in accordance with s [14C](#), or
- # later payday correction, ie correction in the employer's employment income information for a later payday.

An employer must correct an error as soon as is reasonably practicable after the employer becomes aware of it. Certain restrictions apply to the correction of errors in later paydays.

Late filing penalty

The late filing penalty is not imposed for a first instance of late filing of employment income information in a 12-month period. After an initial failure to file employment income information on time, the Commissioner has to notify the employer that a late filing penalty will be payable for a further failure. After a further failure to file within 12 months of the first, the Commissioner has to notify the employer that the penalty is payable. The key date for determining whether there is a penalty is the month in which the information is due, not the month in which the payday fell.

Example:

Matias and Carrie run a business that withholds more than \$50,000 of PAYE and ESCT a year so they are in the online group. Matias manages the payroll which runs every week but he does not always meet his filing obligations with Inland Revenue.

In February Matias missed two due dates for filing employment income information. Because it was not the first time in a twelve-month period, a penalty of \$250 was imposed. Three months later Matias again missed a filing obligation, in respect of one payday return during the month, and was again penalised \$250.

Example taken from *Tax Information Bulletin* [¶305-102 Vol 30, No 5](#), June 2018 at 18–19.

The maximum penalty able to be imposed for a failure to file employment income information on time is \$250 a month, regardless of the number of failures to file on time in that month.

The Commissioner also has a discretion not to impose the penalty, provided they consider it necessary because of resource constraints during the period of co-existence of the 2 IR software platforms and the taxpayer's non-compliance is not serious or unreasonable.

Payment of a late filing penalty is 30 days after the end of the month in which the employer is required to deliver the information.

Standard practice statement SPS 19/04

Standard practice statement, [SPS 19/04](#), "Late filing penalties" sets out the Commissioner's practice for imposing late filing penalties under ss [139A](#) and [139AAA](#) of the TAA ([¶14-040](#)). The statement confirms that while employers are getting used to the new payday system, the Commissioner will take a 3-stage approach to the application of any late filing penalties. The first time an employer fails to file employment income information by the due date, the Commissioner may initially look to educate and assist employers to comply with this requirement. Future defaults may result in the issue of a warning notice to the employer advising a late filing penalty will not be imposed this time, but in future if the information is not filed on time a late filing penalty of \$250 will be imposed. The penalty will then be imposed if a further default occurs within 12 months of the warning notice being issued. If, following the warning notice, the employer files all employment income information on time for 12 months and then defaults, a further warning notice will be issued. The customer has a "clean sheet" and the process restarts.

Note that this 3-stage approach, involving the first education step, is intended to apply only while employers get used to their new payday filing obligations. In time it is intended that IR will revert to using a 2-stage approach, involving a warning letter, and then imposing a late filing penalty if a further default occurs within 12 months.

IR has stated that taxpayers will be advised before any change to the 2-stage approach is implemented.

Setting electronic and non-electronic filing requirements

The Commissioner is required to prescribe both electronic and non-electronic forms and means of delivery for employment income information. These requirements are intended to ensure that:

- # employment income information can be automatically read and processed by IR
- # external parties, such as those using payroll software that communicates with IR, can do so securely, and
- # customers using such software are able to have their identity verified.

To enable processing of a payment, the Commissioner can notify employers that certain items of employment income information must accompany the payment.

Variation of requirements

The Commissioner has the power to vary the requirements in the new subpart and [sch 4](#) for an employer or a class of employers.

Law: IT07 ss [RD 4](#), [RD 22](#); TAA subpart [3C](#), [23I](#), [23IB](#), [139A](#), [139AA](#), [sch 4](#)

Last reviewed on 31 December 2025

Employers and student loans [¶3-024]

[¶3-024]

[Click to open document in a browser](#)

It is the employee's responsibility to notify the employer that they should have student loan repayments made from salary or wages ([¶18-040](#)). The amount deducted is 12¢ in the dollar on all income over \$24,128 pa for the 2025 income year (\$22,828 pa for the 2023–24 income year) ([¶18-040](#)). For the correct employee tax code, see [¶13-030](#). In some cases, a tailored tax code may be applied for ([¶13-034](#)).

Deductions must be made from extra pays, including lump sum payments and annual bonuses to employees ([¶18-055](#)).

Note that legislation was enacted to provide that employers also had to deduct student loan repayments from schedular payments, election-day income and casual agricultural income paid to employees. However, this legislation was repealed before it ever came into effect, as it was thought the compliance costs would be too high.

Law: SLSA 2011 ss [33–40](#)

Last reviewed on 31 December 2025

Employers and child support [¶3-025]

[¶3-025]

[Click to open document in a browser](#)

An employer may be instructed by IR to deduct a child support payment from the salary or wages of an employee and pay the deducted amount to IR. Child support has priority over all other deductions from an employee's pay except for PAYE. For commentary on employers' responsibilities for child support, see [¶12-040–¶12-060](#).

Law: CHS Pt [10](#)

Last reviewed on 31 December 2025

Tax codes [13-030]

[13-030]

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For the purposes of the PAYE rules, a “tax code” is:

- # the applicable code set out in sch 5 pt A, chosen by the employee and notified to their employer
- # a tailored tax code provided by the Commissioner ([13-034](#))
- # a tax code for a private domestic worker ([13-306](#))
- # a tax code for a non-resident seasonal worker for the first month of employment in New Zealand ([13-193](#))
- # a non-notified tax code.

A tax code does not apply to a schedular payment ([13-044](#)) or an extra pay ([13-221](#)).

New employees should fill out a tax code declaration form ([IR330](#)) provided by the employer. The flowchart in [IR330](#) can be used to determine the correct tax code. The employer does not send the [IR330](#) form to IR — it is kept with the employer’s business records for a minimum of 7 years after the last salary or wages payment is made to the employee.

The tax code chosen by the employee determines how much tax will be taken from their earnings and also alerts employers to any deductions to be made from the employee’s PAYE income payments, such as child support or student loan payments. The code also takes into account any tax credits that an employee might be entitled to when an end-of-year assessment is made.

Non-notified tax code

An employee (other than an employee who has applied for a tailored tax code or for a code as a private domestic worker) will have a non-notified tax code if:

- # the employee has not notified their employer of their name, tax file number and tax code
- # the Commissioner has not provided the employer with a tax code or change in tax code because an incorrect tax code has been used, and
- # the employee is not a non-resident seasonal worker during their first month of employment.

If an employee’s tax code is a non-notified tax code, the rate of tax is 45¢ in the dollar (excluding earners’ levies).

Changes to tax codes

An employee must inform their employer of a change in their tax code (unless the Commissioner has provided a code to the employer because an incorrect tax code has been used — see below). If an employee finds it difficult or impractical to inform their employer of a change in their tax code, they may notify the Commissioner who must then notify the employer of the employee’s new tax code.

The new tax code will apply to a PAYE income payment paid from:

- # the first day of the pay period until the tax code ceases if:
- # the employer has no earlier tax code for the employee, or
- # the change is provided before the date the employer calculates their payroll for the period
- # from the first day of the next pay period if the change is provided after the date the employer calculates their payroll for the period.

Cessation of tax code

If an employee ceases to be entitled to use a certain code, they must notify their employer within 4 days of becoming aware of their ineligibility, giving the reason that the code no longer applies and the date it ceased to apply. The same information must be provided to the Commissioner if the employee notifies the Commissioner that their entitlement has ceased.

The employer must not apply that code to any PAYE income payment made to the employee after the date on which entitlement ceased, unless the payment is salary or wages for a current pay period.

The employer is not required to change the amount of tax withheld if they have not received notice of the cessation of eligibility.

Incorrect tax code

If the Commissioner considers an employer or a PAYE intermediary has applied an incorrect tax code, the Commissioner may notify the employee and the employer, or PAYE intermediary, of the incorrect tax code and provide the employee's correct tax code. An employer or a PAYE intermediary who receives such a notice has to apply the tax code specified by the Commissioner to PAYE income payments made to the employee after the date of notification. However, the tax code does not apply if the employee notifies their employer that their circumstances have changed and, as a result, a different tax code should apply.

Unsuitable tax code

If the Commissioner considers a more suitable or more accurate tax code could be, or could have been, used, the Commissioner may recommend a prospective change of code to the employee and, with the employee's consent, notify the employer of the change in tax code.

Law: TAA subpart [3D](#), [sch 5](#)

Last reviewed on 31 December 2025

Tailored tax codes [13-034]

[13-034]

[Click to open document in a browser](#)

In some cases, applying ordinary tax codes will result in either not enough or too much tax being deducted from employees' salaries. This might result in a substantial end-of-year adjustment, which can be a troublesome administrative exercise for some employees. In such a case, an employee may request a tailored tax code from IR or the Commissioner may recommend a tailored tax code for the employee. An application may be made online in myIR or to IR on form [IR23BS](#) (April 2021). The certificate is only valid for one year. At the end of that period, the employee must either obtain a new tailored tax code certificate or complete a tax code declaration ([IR330](#)). IR will automatically send a renewal form to reapply before 20 February each year. A tailored tax code certificate will instruct the employer to deduct PAYE at a particular rate.

Employees who may benefit from a tailored tax code include:

- # those who have 2 jobs and whose secondary employment tax rate is insufficient
- # those who are beneficiaries or receive accident compensation and also work, or
- # those who are operating businesses at a loss that may be deducted from their employment income (although note that generally this no longer applies to residential rental losses, most of which are now ring fenced ([17-365](#))).

See also [IR23G](#), "Do you need a tailored tax code?" (July 2024).

The Commissioner may provide tailored tax code certificates directly to the Ministry of Social Development (MSD) to help people receiving New Zealand Superannuation or a veterans' pension to meet their income tax obligations.

Where a person applies for a tailored tax code certificate, the amount of any entitlements under the working for families provisions are not taken into account in determining that person's estimated tax liability for the tax year.

The Commissioner may withdraw the tailored tax code at any time by notifying the employer or employee and their decision to do so is not subject to judicial review (*C of IR v Lemmington Holdings Ltd* ([1982](#)) [5 NZTC 61,268](#) (CA)). If the employee is notified, they must then notify their employer that their entitlement to use the tax code has ended.

Law: TAA s [24D](#), [sch 5 pt B](#)

Last reviewed on 31 December 2025

Schedular payments [¶3-044]

[¶3-044]

[Click to open document in a browser](#)

Schedular payments are a type of PAYE income payment and are dealt with in subpart [RD](#) of the IT07. These payments are subject to withholding at the rates specified in sch [4](#) of the IT07, rather than at the basic rates in sch [2](#). A schedular payment is generally applicable where the relationship of the parties is not strictly one of employer and employee.

The types of payments to such non-employees (referred to here as contractors) that might be subject to withholding tax include the following:

- # commission paid to insurance agents or salespersons
- # company directors' fees
- # payments for most forms of agricultural, horticultural and forestry work
- # payments for mail delivery, transport of school children, milk delivery, refuse removal, caretaking, security duties, and street or road cleaning
- # payments for non-residential cleaning, gardening, vermin or weed destruction
- # payments to persons supervising examinations
- # payments for the supply of labour to building projects
- # payments to labour-only fishing boat operators
- # certain payments made in the media production industry including media contribution fees
- # payments to photographers, journalists, writers and artists
- # fees for persons exhibiting or demonstrating goods
- # payments for modelling
- # payments to entertainers including non-musical entertainers
- # payments to apprentice jockeys
- # honoraria payments
- # election officer remuneration
- # payments made to people selling greenstone, eels, whitebait, and sphagnum moss
- # contract payments to non-resident contractors
- # ACC personal service rehabilitation payments
- # unrepaid PAYE income overpayments treated as schedular payments under s [RD 8B\(2\)\(c\)](#)
- # payments under labour-hire arrangements, and
- # voluntary schedular payments.

A contractor who falls into one of these categories needs to complete an [IR330C](#), "Tax rate notification for contractors" (January 2024), and give it to the person paying them. Recipients of schedular payments use the tax code "WT". The payer withholds tax from payments at the applicable rate unless an exemption applies.

The table below summarise the various applicable rates and when to apply them.

	Description	Rate
Elected rate	Chosen by the payee.	10%–100% (15%–100% for non-residents and holders of temporary visas)
Special rate	Payee can request from Commissioner.	Only necessary if the payee wants a rate lower than 10% (or 15% as above)
No notification rate	When the payee does not provide name or IRD number to the payer.	20% for non-resident companies 45% for other contractors
Prescribed rate	Set by Commissioner when the payee has not met a liability under the Inland Revenue Acts.	Cannot exceed 50%

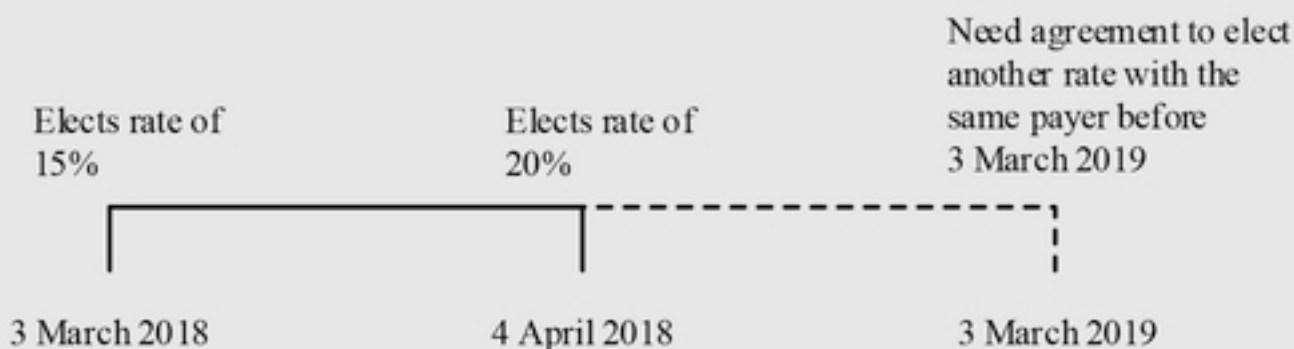
Non-resident entertainer rate	This rate must be used by non-resident entertainers.	20%
Standard rate	The rate for the activity or arrangement set out in sch 4 , which will apply if none of the rates set out above apply.	Vary between 10.5% and 33% depending on the type of activity or arrangement

There is a flowchart on the [IR330C](#) that can assist a taxpayer in determining what withholding rate applies to their circumstances.

Elected rate

Contractors can elect their own withholding rate to better match their tax payments to their income, subject to a 10% minimum rate applying for residents and a 15% minimum rate for non-residents and contractors with temporary entry visas. If a contractor changes their rate twice in a 12-month period in relation to the same payer, they will require the consent of the payer to make any further changes.

Example:



On 3 March 2018 Caroline starts work as a building contractor for Small Builders Ltd. Payments from Small Builders to Caroline are subject to the schedular payment rules and Caroline initially selects a withholding rate of 15%.

On 4 April 2018, Caroline wishes to change her withholding rate and notifies Small Builders that she wishes to have a withholding rate of 20% apply to her. Caroline does not require the consent of Small Builders to this change as she has only elected a withholding rate once within the last 12 months. However, if Caroline wishes to make any further changes to her withholding rate for payments made by Small Builders up till 3 March 2019, she will require the consent of Small Builders.

On 5 August 2018, Caroline starts work for Large Builders Ltd. Caroline can elect a new withholding rate without the consent of Large Builders Ltd as she has not previously elected a withholding rate with Large Builders Ltd.

Example from *Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 50.

Special rate

A contractor, other than a non-resident entertainer, wishing a rate lower than the minimum will have to apply for a special rate of tax. The Commissioner may cancel their entitlement to the special tax rate at any time by giving notice of the cancellation.

No-notification rate

When a contractor has not provided their name and tax file number to the payer, the withholding rate is a flat rate of 45%. This applies to all contractors other than corporate non-resident contractors, who have a 20% no-notification rate.

Prescribed rate

When the contractor has not met a liability under an Inland Revenue Act, the Commissioner can require the standard schedular payment deductions and also additional deductions, which are used to meet the contractor's tax debts or other liabilities. Notice must be given to the payer and to the contractor (unless the Commissioner, after making reasonable inquiries, does not have a valid address for the latter).

The Commissioner can prescribe a rate under s [24F\(4\)](#) of the TAA, which adjusts the standard schedular withholding rate, to ensure a taxpayer's ongoing compliance with their obligations. The Commissioner can also prescribe a percentage of the schedular payments that the payer must deduct and pay to the Commissioner. The prescribed tax rate and percentage must not total more than 50%.

The Commissioner may rescind a prescribed rate at any time. On request by the contractor, the Commissioner is required to rescind a prescribed rate if the Commissioner is satisfied that all liabilities under the Inland Revenue Acts have been met and is reasonably satisfied that they will be met in the future. The Commissioner must also rescind the prescribed percentage if the Commissioner is satisfied the contractor has paid all tax due and payable.

The additional deductions will generally be required to be recorded on a separate line in the employment information and under a different tax code. The Commissioner has stated that they do not intend to use this prescribed rate notice to require additional deductions to meet a contractor's other tax debts until schedular payments are administered in IR's computer system.

Example:

Ben is a building contractor. He earns \$120,000 each year from his building contracts with several major building companies. Ben elects a withholding rate of 10% and \$12,000 is withheld from him for the year.

Ben predominantly provides labour services and has minimal deductions. His end-of-year tax liability is \$30,000 and so Ben has a terminal tax bill of \$18,000. Ben does not pay his terminal tax bill and so ends up with a tax debt.

The Commissioner prescribes a new rate of withholding to Ben and his payers. This new rate is:

- # 25% under the standard schedular payment code (WT). Ben receives PAYE credits for these amounts and these amounts are intended to ensure that Ben does not have an end-of-year income tax liability and further tax bills, and
- # an additional 15% under a new tax code and recorded on a new line in the employment income information. Amounts withheld under this code are used to pay Ben's tax debt for the previous year.

Example adapted from *Tax Information Bulletin* [1294-104 Vol 29, No 4](#), May 2017 at 51.

Non-resident entertainers

Non-resident entertainers have a flat withholding rate of 20% apply to them and this is treated as a final tax. Non-resident entertainers are not able to elect their own rate or obtain a special tax rate and the no-notification rate does not apply to them.

Standard rate

If a contractor has not elected a rate or received a special rate, the standard rate — as listed in [sch 4](#) — applies (CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026* [150-080](#) for a complete list of the standard schedular rates). It is important to note that in the case of schedular payments to non-resident contractors, the Commissioner's "preferred interpretation is that the non-resident contractor rate is to be applied only when there is no other rate that could apply" (Interpretation Statement [IS 10/04](#), "Non-resident contractor schedular payments").

Exclusions from schedular payments

Certain payments are declared not to be schedular payments. These payments are as follows:

- # Any salary, wages or extra pay (for which tax deductions would be made at PAYE rates).
- # Any payment for services provided by a public, local or Māori Authority or a company, other than a non-resident entertainer, a non-resident contractor, a company in relation to a payment under a labour-hire arrangement or a voluntary schedular payment, or a specified agricultural, horticultural, or

viticultural company. (These bodies, if they are taxpayers, pay provisional tax and do not come within the tax deduction system.)

An exempt payment referred to in s 24H and sch 5 pt C cl 6 of the TAA.

Payments for services rendered by non-resident contractors who have full relief from tax under a double tax agreement who are present in New Zealand for 92 days or less in any 12-month period (126-480).

A contract payment for a contract activity or service of a non-resident contractor when the total amount paid for these activities is \$15,000 or less in a 12-month period.

Note that payments to companies are generally not classified as scheduling payments, with the few exceptions noted above.

The exclusion for a payment of salary or wages means that such payments are subject to the PAYE rules even though the payment may also be one of the kind listed in sch 4. For example, commission paid to an employed sales representative is subject to PAYE withholding and not treated as a scheduling payment (Case B30 (1976) 2 NZTC 60,254 and *Challenge Realty Ltd v C of IR* (1990) 12 NZTC 7,212 (CA)).

Exempt payments

Under s RD 8 of the IT07 and s 24H and sch 5 pt C cl 6 of the TAA, the Commissioner may notify a contractor that they are entitled to receive payment in full, ie without any tax being deducted.

Payments to a non-resident entertainer or payments under a labour-hire arrangement (see below) cannot be exempt payments.

The Commissioner has the right to revoke the exemption at any time. The Commissioner must notify the contractor of the revocation.

From 1 April 2024, when the Commissioner notifies a contractor that they are entitled to receive payment without any tax being deducted, the Commissioner may include in the notification a retroactive period of up to 92 days before the date of their application in which to include a scheduling [payment](#).

GST and scheduling payments

A contractor who is GST-registered will charge GST on goods and services supplied. This means the contractor's gross earnings will increase by the GST charged. An employer must withhold tax from the GST-exclusive amount of a scheduling payment.

Example:

Boris hands you a GST-tax invoice for his cleaning services showing:

	\$
Cost of labour	1,000
Plus GST (15% of \$1,000)	<u>150</u>
	1,150
Calculate withholding tax on GST-exclusive amount	
GST-exclusive amount	1,000
Less tax (20% of \$1,000)	<u>200</u>
	800
Plus GST from tax invoice	<u>150</u>
Net payment	950

The tax rate for commercial cleaning contract services is 20%. You would deduct 20% tax from \$1,000 (ie \$200) and pay Boris the net amount of \$950 (ie \$1,150 less \$200). The \$1,000 is included as the gross payment on the employment information and \$200 at box 3 ([IR348](#)).

Directors' fees

For payments of directors' fees, see [¶3-202](#).

Independent contractors' deductions for expenses

The expenditure incurred in deriving a schedular payment is generally allowed as a deduction. For example, if a person worked from home, it is possible for that person to deduct a proportionate part (usually on a percentage of floor area) of any mortgage interest, insurance, power, rates, depreciation, etc, incurred. The Commissioner may make determinations as to the proportion of expenditure incurred in deriving a particular schedular payment or a class of schedular payments ([¶3-457](#)).

Non-resident contractors

For payments made to non-resident contractors, see [¶3-286](#).

Duty of person paying schedular payment

A person who pays schedular payments is an employer in terms of subpart [RD](#) and is required to comply with the employer's duties. The person is not required to deduct ACC earners' levy or, if applicable, student loan repayments from schedular payments.

Labour-hire firm contractors

For payments made by labour-hire firms to their contractors, see [¶3-275](#).

Voluntary withholding agreements

Contractors not covered by the schedular payment rules can opt in to voluntary withholding agreements. These require the payer to agree to withhold and for this to be recorded in a document. The standard rate of tax is 20% ([sch 4 pt W](#)). This can apply to payments made to companies, so long as the parties have entered an agreement for withholding to apply.

A document can be a memorandum, email, letter or formal contract between the parties so long as there is sufficient written evidence that there has been a required agreement between the parties (which can be either electronic or in hardcopy).

Payments covered by voluntary withholding agreements are excluded from the definition of "employer and employee" for the purpose of the FBT rules. This means that fringe benefit tax does not apply when fringe benefits are provided to contractors under voluntary withholding agreements.

Law: IT07 ss [RD 8](#), [RD 10\(3\)](#), [RD 10B](#), [sch 4](#); TAA ss [24F](#), [24G](#), [24H](#), [24I](#), [sch 5 pt C](#)

Last reviewed on 31 December 2025

Court awards for lost wages [13-050]

[13-050]

[Click to open document in a browser](#)

A court or authority may require an employer to make an award for lost wages or other remuneration under s [123](#) or [128](#) of the Employment Relations Act 2000 (ERA). A court or authority will make such an award when an employee has lost wages or other remuneration as a result of an action by the employer that has been the subject of a personal grievance by the employee against the employer (eg unjustifiable dismissal or other unjustifiable action by the employer).

The Commissioner has issued public binding ruling [BR Pub 06/06](#) on Employment Court or Employment Relations Authority awards for lost wages or other remuneration. The ruling states that the payment of an award for lost wages or other remuneration is employment income under s [CE 1](#). The payment is an extra pay and a PAYE income payment and the employer is liable to make a tax deduction from it under s [RA 5](#) and account for the deduction to IR in the normal way ([13-221](#)). This also applies even if the employment relationship has ended.

If an employer fails to make the required tax deductions from a payment, the employee is liable, under s [RD 4\(2\)](#), to pay an amount equal to those tax deductions to the Commissioner (and is also required to furnish to the Commissioner an employment information form showing details of the payment) ([13-124](#)).

Compensation payments that are awarded by a court for humiliation, loss of dignity or injury to feelings under s [123\(1\)\(c\)\(i\)](#) of the ERA are not employment income ([13-468](#)).

Award of net sum by court or authority

In some cases, a court or an authority may make an award for lost wages or other remuneration net of tax, ie the sum that the employee would have received as remuneration after the deduction of tax. Because the award is a PAYE income payment, in such cases, the employer would normally gross up the award to take account of the PAYE and the ACC earners' levy. The employer would then pay the tax on the gross amount to IR and pay the net award to the employee.

Last reviewed on 31 December 2025

Accident compensation (ACC) [¶3-060]

[¶3-060]

[Click to open document in a browser](#)

See [¶31-010](#)–[¶31-025](#) for a discussion of accident compensation and employers.

Last reviewed on 31 December 2025

Health and safety levy [¶3-096]

[¶3-096]

[Click to open document in a browser](#)

See [¶31-080](#) for a discussion of the health and safety levy.

Last reviewed on 31 December 2025

Employer's superannuation contribution tax [¶3-101]

[¶3-101]

[Click to open document in a browser](#)

Employers are required to contribute to employees' savings in KiwiSaver schemes and complying superannuation funds.

Employers or PAYE intermediaries making cash contributions to employee superannuation schemes must deduct ESCT from those contributions. An "employer's superannuation cash contribution" is a monetary contribution paid by an employer to either a superannuation fund or, under the KiwiSaver Act 2006, to IR for subsequent payment to a superannuation fund. From 1 April 2024, this has been expanded to include a monetary contribution paid by an employer of a cross-border employee to a foreign superannuation scheme (s [RD 65\(1\)\(b\)](#)).

The compulsory employer contribution rate is 3% of the employee's gross salary or wages.

All employer contributions are subject to ESCT at progressive rates equivalent to the employee's marginal tax rates.

Alternatively, employees, with the consent of the employer, can elect to have some or all of their employer's superannuation cash contributions treated as salary or wages under the PAYE rules.

For a further discussion of ESCT see [¶29-420](#) – [¶29-425](#).

The deductibility of superannuation contributions is governed by ss [DC 7](#), [EF 2](#) and [EJ 21](#). An employer is allowed a deduction for a superannuation contribution to an employee's superannuation scheme. The employer may choose to allocate the deduction to either:

- # the income year for which the contribution was required to be made to the superannuation scheme, or
- # the income year for which the amount of the contribution was calculated taking into account the earnings paid to employees who were members of the scheme during the income year, provided the employer makes the contribution within 63 days of the end of the income year.

Under s [EF 2](#), an amount of ESCT may only be deducted in the income year in which the employer's superannuation contribution (to which the tax relates) was made. This is irrespective of whether the tax actually becomes due and payable in the income year ([¶10-292](#) and [¶29-410](#)).

Law: IT07 ss [RA 5\(1\)\(c\)](#), [RD 64](#), [RD 65](#), [RD 68](#)

Last reviewed on 31 December 2025

Employer ceasing business or deceased [¶3-110]

[¶3-110]

[Click to open document in a browser](#)

If an employer sells, or ceases to be in, a business and permanently ceases to employ, the employer must notify IR within 30 working days of the date they cease to employ staff. This can be done by phone, through myIR or by completing an [IR315](#) Business cessation form. The employer will need to file a final employment information form ([IR348](#)) and record a finish date for each employee and the date the employer ceased employing.

If a business is a company and the shareholders sell their shares as a way of disposing of the business, the company continues to be an employer and is not regarded as ceasing to be in business.

Employer deceased

When an employer dies, the executor/administrator is liable to fulfil any PAYE requirements of the deceased employer. IR must be notified that the employer has ceased employing within 30 working days of the date of death. The estate will then assume the obligations of an employer from the date of death.

Law: IT07 s [RD 2\(3\)](#); TAA s [23M](#)

Last reviewed on 31 December 2025

Payments of deductions by employees [¶3-124]

[¶3-124]

[Click to open document in a browser](#)

Where an employer does not make a deduction of tax from a PAYE income payment, the employee must pay to IR an amount equal to the tax deduction that should have been made by the 20th day of the month following the payment of the PAYE income payment. In addition, the employee must provide the corresponding employment income information to IR within 10 working days after the end of the month in which the payment is made.

This situation can occur for persons:

- # who receive payments for work as a private domestic worker, where the employer is not liable to make deductions ([¶3-303](#) and [¶3-306](#))
- # who receive pensions from overseas where the payer, not being a New Zealand resident, is outside the jurisdiction of the Act and does not make tax deductions, or
- # who receive salary or wages from an overseas employer who is outside the jurisdiction (cross-border employee and [¶3-367](#)).

The above taxpayers are referred to as [IR56](#) taxpayers ([¶3-303](#)).

Where the PAYE income payment is less than the required tax deduction, the employee is required to pay to the employer the amount by which the required tax deduction exceeds the amount of the PAYE income payment that is available in money. That is deemed to be a tax deduction made by the employer, who then accounts to IR in the normal way. This situation may occur where, for example, the employee has received a large non-cash allowance in the pay period that is to be added to their cash receipts for the purpose of calculating the amount of tax deductions to be made.

Where the employee does not pay the required amount to the employer, the employee should treat whatever money is available in the PAYE income payment as the tax deduction made, and account for them to IR, explaining the reason for, and the amount of, the deficiency. The employee is then personally liable to account to IR for the deficiency.

The Commissioner is also entitled to take action to recover tax from an employer or an employee where there has been default by the employer in making a tax deduction.

Law: IT07 ss [RA 8](#), [RA 10](#), [RD 21](#); TAA ss [23I](#), [168](#)

Last reviewed on 31 December 2025

Recovery of unpaid tax deductions [¶3-125]

[¶3-125]

[Click to open document in a browser](#)

Deductions of tax and earner-related levies by employers or PAYE intermediaries are deemed to be held in trust for the Crown. The deductions never legally belong to the employer. In the event that the employer becomes bankrupt or is liquidated the amounts deducted do not form part of the assets available for distribution to creditors.

Where the employer is bankrupted, liquidated or placed in receivership and has failed to account for a tax deduction under the PAYE rules s [167\(2\)](#) of the TAA sets out the priority of the unpaid amounts.

In the situation where an employer or PAYE intermediary fails to make a deduction of tax from a PAYE income payment, the amount that should have been deducted constitutes a debt payable to the Commissioner due and payable on the date the deduction should have been paid under s [RD 4](#) of the IT07. Under s [168](#), the Commissioner is entitled to recover the outstanding amount from the employer or employee or partly from each.

In Case P44 ([1992](#)) [14 NZTC 4,308](#), the Taxation Review Authority noted that the Commissioner is entitled to recover PAYE tax deductions from either an employer or an employee if the employer has failed to deduct the tax. The authority held, however, that an employee becomes liable for PAYE only when the employer has failed to make the PAYE deductions at the time the wages are paid. An employee is not liable when the employer has simply failed to pass those deductions on to IR. The Commissioner is not entitled to seek payment of PAYE deductions from an employee if it is reasonable for the employee to assume that the employer has made the appropriate PAYE tax deductions before payment of wages.

Example:

After examining a taxpayer's employer's records, the Commissioner assessed the taxpayer for tax on additional income not returned by the taxpayer. The Commissioner considered that the taxpayer knew that her employer had not made PAYE deductions from her wages. The Taxation Review Authority held that an employee's duties to make a tax deduction arose only when the deduction had not been made by the employer. The authority considered that the taxpayer was not liable for payment of the tax, because it was probable that the employer had made the appropriate tax deductions. See Case N45 ([1991](#)) [13 NZTC 3,375](#).

It should be noted that the legislation makes no mention of an employee's knowledge in such circumstances and the authority hinted, in Case P44 ([1992](#)) [14 NZTC 4,308](#), that an employee's belief or knowledge may not be relevant.

Under s [169](#), if an employer fails wholly or in part to deduct an amount of tax or combined tax and earner-related payment in accordance with the PAYE rules or fails to remit a deduction to IR, the unpaid amount is a charge on all the real and personal property of the employer.

Failure by PAYE intermediary

The failure by a PAYE intermediary to make any required tax deduction shall be:

- # a debt payable by the PAYE intermediary to the Commissioner, and
- # a charge over the PAYE intermediary's property which may be registered by the Commissioner.

The Crown will also rank as preferential creditor if the PAYE intermediary goes bankrupt or (in the case of a company) goes into liquidation or receivership.

This applies only if the employer has satisfied the obligations to the PAYE intermediary for the salary or wages of the employer's employees ([¶3-479](#)), and the employer has provided the information requested by the PAYE intermediary within the time agreed between them.

Law: TAA ss [167](#), [168](#), [169](#)

Last reviewed on 31 December 2025

Records to be kept [¶3-131]

[¶3-131]

[Click to open document in a browser](#)

Employers must keep PAYE records, as well as the records required under the Child Support Act 1991, the KiwiSaver Act 2006 and the Student Loan Scheme Act 2011. Table 1 of Sch 3 to the TAA provides that employers have to keep records of the amounts of:

- # PAYE income payments
- # tax for PAYE income payments
- # advance pays
- # payroll donations
- # employer's superannuation contribution
- # benefits under an employee share scheme
- # personal service rehabilitation payments
- # tax credits for payroll donations
- # child support deductions
- # student loan deductions
- # employer KiwiSaver contributions, and
- # employee KiwiSaver contribution deductions.

In addition, they have to keep the name, tax file number, tax code, date of birth and contact addresses of every person who derives or receives such amounts.

Also, if the employer is in an arrangement with a PAYE intermediary:

- # the PAYE intermediary is required to keep proper records of its actions as a PAYE intermediary, and
- # the employer must keep proper records of the employer's payments to the PAYE intermediary of salary or wages in respect of its employees.

Every employer or PAYE intermediary must take all reasonable precautions for the safe custody of all the records required to be kept, including pay sheets, receipts for PAYE income payments, withholding certificates, tax code notifications, tax code certificates and certificates of entitlement.

All records must be kept for a minimum of 7 years after the payments to which they relate were made. The exception to this is if:

- # the Commissioner has notified the employer or PAYE intermediary that retention is not required, or
- # the employer or PAYE intermediary has delivered the records to the Commissioner as required by the TAA or the IT07.

Law: IT07 s [RP 8](#); TAA s [22AA](#), [Sch 3](#)

Last reviewed on 31 December 2025

PAYE offences [¶3-171]

[¶3-171]

[Click to open document in a browser](#)

PAYE offences are contained in Pt 9 of the TAA. The offences and penalties are as follows:

a shortfall penalty of a maximum of 150% of the resulting shortfall where the taxpayer, in taking a tax position, knowingly applies or permits the application of a deduction or withholding of tax for a purpose other than payment to the Commissioner, or knowingly fails to make a deduction, withholding of tax, or transfer of payroll donations (s [141E](#)). The first of these will not apply if the employers' withholding payment penalty for unpaid amounts on the provision of employment income information applies (s [141ED](#)) ([¶14-121](#) and [¶14-124](#)).

shortfall penalty imposed on an officer of a company (s [141F](#)) ([¶14-122](#)).

offence for failure to provide information (s [143\(1\)\(b\)](#)) ([¶14-240](#)).

offence for knowingly failing to provide information, knowingly applying or permitting the application of a deduction or withholding of tax for a purpose other than payment to the Commissioner, or knowingly not making a deduction or withholding of tax (s [143A](#)) ([¶14-250](#)), and

offence for knowingly failing to provide information, knowingly providing false or misleading information, or knowingly failing to make a tax deduction with the intention of evading the payment of tax or obtaining a refund or payment of tax (s [143B](#)) ([¶14-260](#)).

Law: TAA ss [141E](#), [141F](#), [143](#), [143A](#), [143B](#), [167](#), [168](#), [169](#)

Last reviewed on 31 December 2025

ACC personal service rehabilitation payments [¶3-180]

[¶3-180]

[Click to open document in a browser](#)

ACC has the responsibility for withholding tax from personal service rehabilitation payments passed on by ACC claimants to independent providers. Personal service rehabilitation payments are amounts paid for the benefit of a person under s [81\(3\)](#), [372](#) or [374](#) of the Accident Compensation Act 2001 by the ACC or an employer that is an accredited employer as defined in s [181](#) of that Act for attendant care, home help, training for independence and escorted travel. Attendant care means personal care and assistance with the cognitive tasks of daily living.

Personal service rehabilitation payments come within the definition of schedular payments. The standard rate of tax for personal service rehabilitation payments is 10.5%.

See [¶5-303](#) and [¶10-112](#) for further commentary on the income tax implications.

Law: IT07 ss [RD 3\(1\)\(b\)\(iii\)](#), [YA 1](#) ("[personal service rehabilitation payment](#)", "[schedular payment](#)"), [Sch 4 pt 1](#)

Last reviewed on 31 December 2025

Insurance policies [¶3-185]

[¶3-185]

[Click to open document in a browser](#)

From 30 March 2017, the FBT treatment of life insurance premiums has been rationalised to ensure that all life insurance premiums for life insurance policies taken out by an employer on employees' lives (or certain family members) are treated as specified insurance premiums and classified as a fringe benefit ([¶21-540](#)).

Premiums paid by an employer on income protection insurance policies taken out for the benefit of an employee are specifically excluded from the definition of "expenditure on account of an employee" (s [CE 5\(3\)\(j\)](#)) and therefore not subject to PAYE. Under s [CE 11](#), any amounts derived under an income protection insurance policy where the person's employer was liable to pay or contribute to the policy's premium are deemed to be income to the person. Therefore, such premiums are not subject to the FBT rules. Generally, where the employer has no beneficial interest and the employee has an indefeasible right to the proceeds, the premiums paid by the employer will be deductible ([¶15-300](#) and [¶10-540](#)).

Questions We've Been Asked

Term life insurance

QWBA [QB 18/02](#), "Income tax — Insurance — Term life insurance policy taken out by employee with employer paying the premiums on employee's behalf", concludes that the amount of the premiums in that scenario is deductible to the employer and treated as salary or wages and therefore subject to PAYE for the employee. Lump sums paid out under the policy will not be taxable income of the employee (or the employee's estate). QWBA [QB 18/03](#), "Income tax — Insurance — Term life insurance policy taken out by employer for the benefit of an employee", concludes that the amount of the premiums in that scenario is deductible to the employer and subject to FBT. Lump sums paid out under the policy will not be taxable income of the employee (or the employee's estate). The QWBAs replace the earlier QWBAs, [QB 15/05](#) and [QB 15/06](#).

Personal sickness and accident insurance

QWBA [QB 18/04](#), "Income tax — Insurance — Personal sickness and accident insurance taken out by employee with employer paying the premiums on employee's behalf" concludes:

- # The employer will generally be entitled to a deduction for the premiums paid.
- # The amount of the premiums paid for income protection insurance will not be subject to PAYE. The amount of premiums paid for other personal sickness or accident insurance policies will be treated as salary or wages and, therefore, subject to PAYE. Fringe benefit tax will not apply because the policy belongs to the employee.
- # Amounts paid out under income protection insurance policies will be income under s [CE 11](#). Amounts paid out under other personal sickness or accident policies will be income only if they are income under ordinary concepts (s [CA 1\(2\)](#)). Amounts that are not income under ordinary concepts will not be subject to tax.
- # Amounts that are income under s [CE 11](#) or [CA 1\(2\)](#) will be exempt income if they are payments made to a person because they (or another person) are incapacitated for work, and either:
 - # paid by a friendly society, or
 - # not calculated according to a loss of earnings.
 - # If the payment does not meet these criteria, it will be assessable income.

QWBA [QB 18/05](#), "Income tax — Insurance — Personal sickness and accident insurance taken out by employer for the benefit of an employee" considers the income tax treatment of a personal sickness or accident insurance policy that is taken out by an employer where an employee (or their spouse, civil union or

de facto partner, or child) is the beneficiary. With one exception, [QB 18/05](#) reaches the same conclusions as [QB 18/04](#). The exception relates to the treatment of the premiums. [QB 18/05](#) concludes:

- # The premiums paid will be subject to FBT unless they are premiums paid for income protection insurance where:
- # the employer has a liability to pay (or contribute to) the premiums, and
- # a pay-out under the insurance policy would be assessable income of the employee.

The QWBAs replace the earlier QWBAs, [QB 15/09](#) and [QB 15/10](#).

Key-person or key-man insurance

QWBA [QB 17/06](#), "Income tax: Insurance — Key-person insurance policies" deals only with key-person (also referred to as "key-man" or a type of "loss of profits") policies. These policies are taken out for the purpose of replacing lost business profits as a result of something happening to a key person in the business. The item does not apply to a sole trader taking out an insurance policy on themselves. However, if a sole trader or partnership or other entity is employing staff, the QWBA may apply, provided the insurance is to protect the business from the loss of the person in the capacity of employee. That is, the insurance must link to the person in their role as employee. Also, the item does not cover situations where the employer makes a payment of all or part of the claim amounts to an employee or their estate. IR has indicated that these will be addressed later in separate QWBAs. The item also does not cover whole of life or endowment policies as IR understand that these types of policies are no longer commonly used in this context.

The item considers what the income tax treatment of payments made or received under a term life or an illness/disability insurance policy is where:

- # the policy holder and recipient of any claim amount received under the policy is a business that employs staff
- # the premium amounts are paid by the business
- # the insured person is an employee of the business ("the key-person"), and
- # the amount insured is an estimate of loss of business profits that would result from the death or incapacitation of the key person.

This type of insurance policy is commonly referred to as a "key-person insurance" policy and includes policies that cover total permanent disability, personal sickness and accident.

The item concludes that a lump sum or a fixed periodic sum paid under the policy is taxable income of the employer under s [CB 1](#) (business income) and that premium amounts paid for a key-person insurance policy are deductible under s [DA 1](#).

The QWBA covers key-person insurance policies to the extent that the sum insured is for an agreed sum based on estimated loss of business profits. Insurance policies can be taken out for reasons other than, or in addition to, this loss of business profits purpose (eg loss of business profits, mortgage repayment protection, and collateral for capital funding). The item states that to the extent the insured amount is for replacement of capital, the premiums will not be deductible and correspondingly the claim amount portion that relates to the replacement of capital will not be taxable income. Where a policy is not solely to replace a loss of profits, apportionment of the premiums and claim amount may be required.

Group insurance for term life or accident/medical cover

QWBA [QB 17/10](#), "Income tax and fringe benefit tax — Insurance — Group insurance policy taken out by employer for the benefit of an employee" applies to a group insurance policy for term life cover, accident/medical cover, or both that has all of the following features:

- # the employer is the policy owner and pays the premium
- # the insured persons are the employees and the employer holds the policy for the benefit of the employees

the risk insured against is the death, permanent disablement, accident, disease or sickness of the employee(s)

the claim amount will either be paid to the employer by the insurer on the happening of the relevant event (death or accident or medical event), and then passed on to the relevant employee (or their estate), or paid directly to the employee at the direction of the employer.

The item concludes the premiums paid by the employer will be subject to FBT and deductible, and that amounts paid out under the policy will not be income of the employer. Lump sums paid out on death under a term life insurance policy will not be taxable income of the employee (or employee's estate), and amounts paid out (or that an employee is otherwise entitled to) under accident/medical cover policies will be income of the employee only if they are income under ordinary concepts. Amounts that are not income under ordinary concepts will not be subject to tax. Amounts that are income under ordinary concepts may be exempt income under s [CW 34](#) if they are paid to a person because they (or another person) are incapacitated for work and the payment is not calculated according to loss of earnings ([¶10-540](#) and [¶21-540](#)).

Law: IT07 ss [CE 1\(1\)\(b\)](#), [CE 5](#), [CE 11](#)

Last reviewed on 31 December 2025

Casual agricultural employees [¶3-190]

[¶3-190]

[Click to open document in a browser](#)

Casual agricultural employees are subject to PAYE deductions at the flat rate of 17.5¢ in the dollar if they have filled in their tax code declaration form [IR330](#) ([¶3-030](#)) with the tax code "CAE". ACC earners' levy is also deducted at the same time.

The term "casual agricultural employee" encompasses casual agricultural workers, shearers and shearing shed hands. A casual agricultural worker is defined as a person engaged on a day-to-day basis, for a period of no more than 3 months, as a casual seasonal worker. The person must be engaged for the exclusive purpose of doing seasonal agricultural, horticultural, orchard, tobacco farming, market gardening, or nursery work or other seasonal work that, in the opinion of the Commissioner, is work of a like nature.

Note that agricultural contractors and shearing contractors are not employees subject to PAYE deductions. Withholding tax should be deducted from payments made to such contractors as prescribed in [Sch 4](#). See "Farming contract workers" at [¶3-191](#) and, in relation to shearing contractors, [¶3-351](#).

Law: IT07 s [YA 1](#) ("casual agricultural employee"), [Sch 2 pt A cl 7](#); TAA s [24C](#)

Last reviewed on 31 December 2025

Farming contract workers [¶3-191]

[¶3-191]

[Click to open document in a browser](#)

Farming contract work includes a variety of general agricultural work. Workers who are contracted by a farmer to do any of the following kinds of work, which is related to land that is used, or intended to be used, for farming or agriculture, are treated as rendering farming contract work:

- # firewood cutting
- # post or rail splitting
- # cutting down trees incidental to firewood cutting, or post or rail splitting
- # grass or grass seed cutting
- # hedge cutting
- # planting trees
- # planting or cutting flax
- # threshing, chaff cutting, hay making, hay baling
- # harvesting or gathering crops.

Payments made to farming contractors are schedular payments and the standard rate of tax to be deducted is 15¢ in the dollar as prescribed in [Sch 4 pt C](#) (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([¶3-044](#))).

Fruit pickers, packers and pruners

For commentary on fruit pickers, packers or pruners, see [¶3-225](#).

Law: IT07 [Sch 4 pt C](#)

Last reviewed on 31 December 2025

Non-resident seasonal workers [¶3-193]

[¶3-193]

[Click to open document in a browser](#)

A non-resident seasonal worker is a non-resident for whom certified immigration instructions allow them to be employed in New Zealand under:

- # the recognised seasonal employer (RSE) instructions, or
- # the foreign crew of fishing vessels instructions.

These persons must be non-residents who do not qualify as New Zealand tax residents, but who must pay tax on earnings derived in New Zealand.

The special tax code for recognised non-resident seasonal workers is NSW and tax is deducted from their pay at a flat rate of 10.5%. Payments to these workers are also subject to the ACC earners levy.

Non-resident seasonal workers are deemed to have a tax code of NSW for the first month of their employment in New Zealand. This means they are not subject to the non-notified tax code rate of 45% for at least the first month of their employment. In addition, any extra pays paid to a non-resident seasonal worker who has either notified their employer of their tax code or is in their first month of employment are subject to tax at the standard 10.5% rate. The general rule for calculating tax on an extra pay will not apply.

Law: IT07 ss [RD 10\(2C\)](#), [YA 1](#) (“non-resident seasonal worker”), [Sch 2 pt A cl 8](#); TAA s [24C](#), [Sch 5](#)

Last reviewed on 31 December 2025

Fishing boat workers [13-197]

[13-197]

[Click to open document in a browser](#)

A person is regarded as being self-employed when they receive payments under a share-fishing agreement for work or services that are exclusively or substantially in connection with operating or maintaining a registered fishing boat. The standard rate of tax to be deducted from payments made under such agreements is 20% (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([13-044](#))).

Law: IT07 [Sch 4 pt E](#)

Last reviewed on 31 December 2025

Cryptoasset payments [¶3-198]

[¶3-198]

[Click to open document in a browser](#)

In June 2019, IR released 2 public rulings on whether remuneration paid to an employee in cryptoassets is subject to PAYE or FBT. For the purposes of the rulings, the term “cryptoasset” is used to cover digital assets that use cryptography and blockchain technology to regulate their generation and verify transfers. Since the initial rulings being released there have been multiple subsequent rulings on cryptoasset payments. Other terms that may be used include cryptocurrencies and tokens. For a brief discussion of cryptoassets, see [¶5-219](#).

Note that in January 2021, IR withdrew and replaced the 2 rulings with 2 further rulings with effect from 1 March 2021 (see Withdrawal Notice [BR Pub 19/01](#) and [BR Pub 19/02](#), *Tax Information Bulletin* [¶331-102 Vol 33, No 1](#), February 2021 at 4). The income tax treatment in the rulings remained the same. However, the Commissioner was aware that some aspects of the arrangements ruled on and the commentary might be inconsistent with the Wages Protection Act 1983 and the Minimum Wage Act 1983, and this was addressed in the revised rulings. The Commissioner continues to be bound by the original rulings for arrangements entered into before their withdrawal.

In May 2023 [BR Pub 23/04](#), “Income Tax – salary and wages paid in cryptoassets” released by IR and is a reissue of [BR Pub 21/01](#) with no changes made. [BR Pub 23/04](#) applies from 2 December 2022 to 30 November 2027.

The first ruling, [BR Pub 21/01](#), “Income tax — salary and wages paid in crypto-assets”, which replaced [BR Pub 19/01](#), confirms that cryptoassets received by employees as part of their regular remuneration are salary or wages and subject to the PAYE rules. As such the FBT rules will not apply.

The ruling acknowledges that the position is not clear cut, but states:

“38. It is unclear on the face of the legislation whether an employee who regularly receives crypto-assets as a part of their normal remuneration is subject to PAYE or whether FBT applies. Both views are arguable.

39. Broadly, the scheme of the Act is that consideration in money is subject to PAYE, whereas non-monetary benefits are subject to FBT. Crypto-assets are not money in the technical sense (although they share some of the characteristics of money). This might suggest that payments in crypto-assets should be subject to FBT. However, the distinction between monetary and non-monetary payments is not hard and fast. Statutory exceptions make some non-monetary benefits (such as employer-provided accommodation) subject to PAYE. Further, the PAYE rules are drafted widely enough to potentially include some other non-monetary payments.

40. Ultimately, the issue turns on whether regular payments in crypto-assets come within the ordinary meaning of ‘salary or wages’ for tax purposes. The answer to this is not certain. While a regular payment received in crypto-assets has many of the hallmarks of salary and wages, historically salary and wages have been payments in money. However, s 6 of the Interpretation Act 1999 requires legislation to be interpreted as applying to modern circumstances. While not free from doubt, on balance, the Commissioner’s view is that for tax purposes, the concepts of ‘salary’ and ‘wages’ are wide enough to encompass some regular payments in crypto-assets (although employers will need to be aware of employment legislation). Consequently, these payments are ‘salary or wages’ under s [RD 5](#) for tax purposes. Therefore, they are “PAYE income payments” under s [RD 3](#) and the PAYE rules apply to them.

41. Because the payments are subject to PAYE, the FBT rules will not apply.”

However, the ruling also states that not all types of cryptoassets will be subject to PAYE. To be considered “salary or wages” the cryptoassets need to be sufficiently similar to existing notions of salary and wages. In the Commissioner’s view, this will be the case where the cryptoassets have the following features:

- # they are not subject to a “lock-up” period
- # they can be converted directly into a fiat currency (on an exchange), and either:
 - # a significant purpose of the cryptoasset is to function like a currency, or
 - # the value of the cryptoasset is pegged to one or more fiat currencies.

For cryptoasset payments that are not subject to PAYE, the FBT rules will apply.

The implications of a cryptoasset payment being subject to PAYE are that the employer must gross up the net amount of the cryptoassets provided to the employee when calculating PAYE. In addition, if a cryptoasset payment is not denominated in New Zealand dollars (NZD), it will be necessary to calculate the NZD value of the cryptoassets on the date they are paid to the employee. The cryptoasset payments must also be taken into account when calculating other obligations, eligibility or entitlements based on an employee's salary or wages, such as KiwiSaver, Working for Families Tax Credits, and student loan repayments.

The second ruling, [BR Pub 21/02](#), “Income tax — bonuses paid in crypto-assets”, which replaced [BR Pub 19/02](#), considers the payment of an amount of cryptoassets to an employee as an incentive or bonus. The ruling concludes that such bonus payments come within the meaning of “salary or wages” and are therefore also “PAYE income payments” and subject to the PAYE rules. The ruling only applies to salary and wage earners, not self-employed taxpayers, and where the cryptoassets being paid are an agreed deduction from a monetary amount. Other types of cryptoassets paid to an employee as an incentive or bonus will be fringe benefits and subject to FBT.

Both the original public rulings, [BR Pub 19/01](#) and [BR Pub 19/02](#), applied for the 3-year period from 1 September 2019 to 31 August 2022, and they continue to apply for arrangements entered into on or before 28 February 2021. The revised rulings, [BR Pub 21/01](#) and [BR Pub 21/02](#), apply from 1 March 2021 to 1 December 2022.

In May 2023 [BR Pub 23/05](#), “Income Tax – bonuses paid in cryptoassets” was also released by IR and is a reissue of [BR Pub 21/02](#) with no changes made. [BR Pub 23/05](#) applies from 2 December 2022 to 30 November 2027.

For further rulings in the cryptoassets series, see also [BR Pub 23/06](#), “Income tax — employer-issued crypto-assets provided to an employee” ([¶121-436](#)) and [BR Pub 23/07](#), “Income tax — application of the employee share scheme rules to employer issued crypto-assets provided to an employee” (at [¶13-470](#)).

Cryptoassets are excluded from GST ([¶132-629](#)) and the financial arrangement rules ([¶16-065](#)).

Law: IT07 ss [CE 1](#), [RD 3](#), [RD 5](#)

Last reviewed on 31 December 2025

Commission agent [¶3-201]

[¶3-201]

[Click to open document in a browser](#)

Insurance agents and sub-agents or salespersons who receive a salary, retainer or other fixed remuneration plus commission from the same employer have their tax calculated using the appropriate PAYE tax table. When the recipient of a schedular payment is an employee, income that may have otherwise been treated as a schedular payment is regarded as salary and wages ([¶3-044](#)). An agent receiving only a commission has that commission taxed as a schedular payment. The standard rate of tax to be deducted from such payments is 20¢ in the dollar (if the contractor has not elected another rate and is not subject to a special or prescribed rate).

Law: IT07 [Sch 4, pt G](#)

Last reviewed on 31 December 2025

Directors' fees [¶3-202]

[¶3-202]

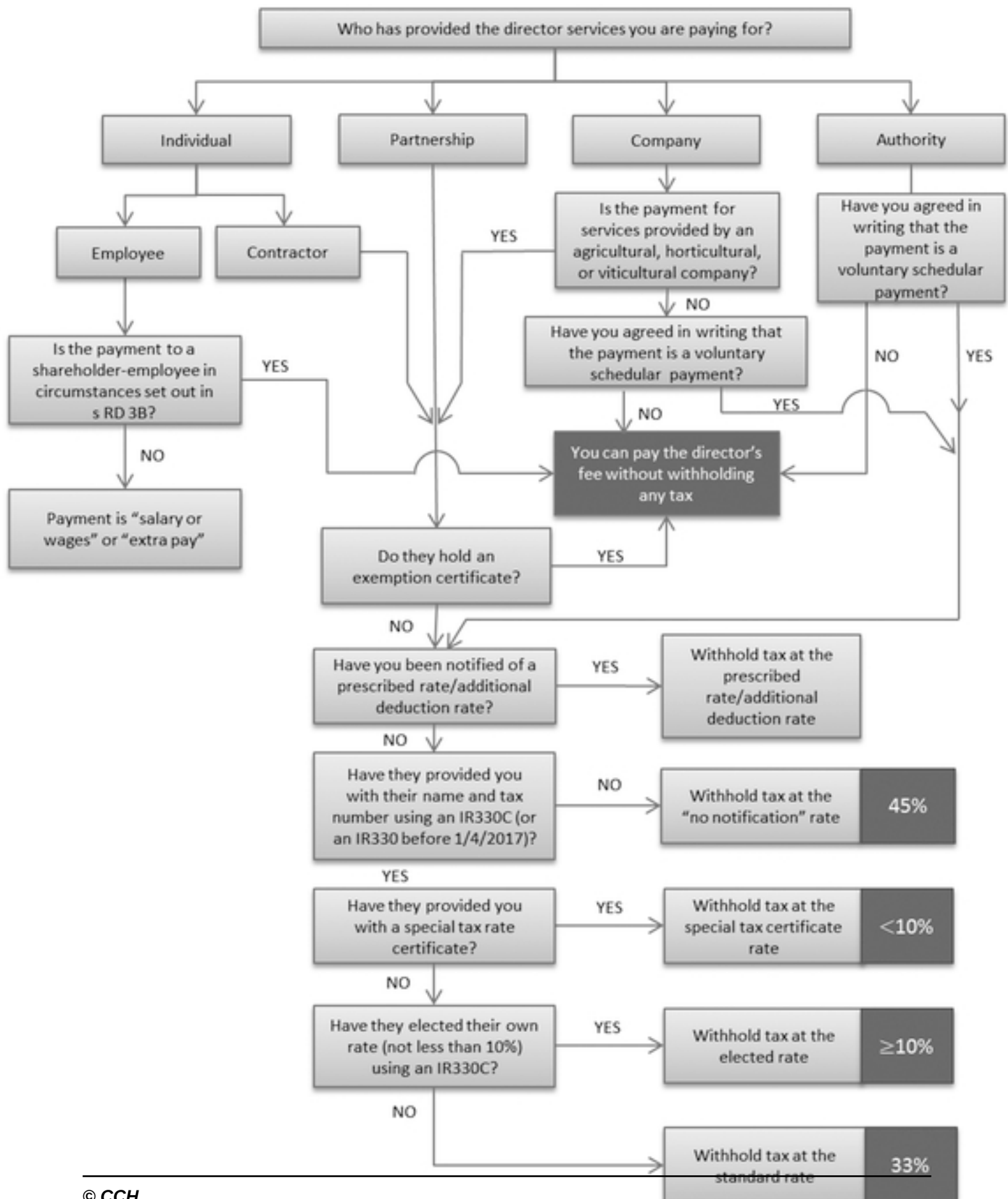
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Under [Sch 4 pt B](#) directors' fees are schedular payments and the standard rate of tax to be deducted is 33%. However, whether tax must be deducted and at what rate depends upon a number of factors.

IS 17/06 "Income tax — application of schedular payment rules to directors' fees"

Interpretation statement, [IS 17/06](#), "Income tax — application of schedular payment rules to directors' fees" complements [BR Pub 15/10](#), "GST — Directors' fees" ([¶32-635](#)) (subsequently reissued as [BR Pub 23/01](#)) by using some of the same fact scenarios and examples. The statement discusses the situations when tax must be withheld from the payment of directors' fees and how much must be withheld. Whether a payment of a director's fee is a schedular payment largely depends on who has contracted to provide the directorship services the director's fee is being paid for. If a director's fee is not a schedular payment, there is no requirement to withhold tax from the payment. The rate at which tax must be withheld from a director's fee that is a schedular payment depends on who is being paid and the information provided.

The statement contains the following flow chart that helps determine whether tax must be withheld from a director's fee and, if so, at what rate. Note that the flow chart does not apply to a labour-hire business making a payment under a labour-hire arrangement. In such cases, the standard withholding rate is 20%.



IS 19/01 “Income tax — application of schedular payment rules to non-resident directors’ fees”

Interpretation statement, [IS 19/01](#), “Income tax — application of schedular payment rules to non-resident directors’ fees” provides guidance on when withholding is required from directors’ fees paid to non-residents and how much to withhold. There are 2 main differences between payments of directors’ fees to resident and non-resident directors. The first is that directors’ fees paid to non-residents might be non-residents’ foreign-sourced income, in which case there is no requirement to withhold. The second difference is that the non-resident contractor regime might apply. Some payments to non-resident contractors are excluded from being schedular payments and there is therefore no requirement to withhold in relation to those payments.

When directors’ fees are paid to a non-resident, it is first necessary to determine whether the fees have a New Zealand source or a foreign source. If the fees have a foreign source, the schedular payment rules do not apply and the payment can be made without withholding. The statement includes a discussion of the various source rules that might apply to determine when directors’ fees paid to a non-resident individual have a New Zealand source. The Commissioner considers most directors’ fees a New Zealand company pays to a non-resident individual will have a New Zealand source, regardless of whether the directorship services are performed in New Zealand or from overseas. This view differs from previous practice, which was to treat directors’ fees paid to a non-resident individual as having a source in New Zealand only to the extent the directorship services were performed in New Zealand. As a result, the Commissioner also released an Operational Position on [IS 19/01](#), providing that the previous position could continue to be applied to payments of directors’ fees until 31 March 2019, but that the new position under [IS 19/01](#) must generally be applied from 1 April 2019.

Directors’ fees a non-resident entity derives from a business carried on in New Zealand will have a New Zealand source if the business is wholly carried on in New Zealand. If the business is only partly carried on in New Zealand, the fees will have a New Zealand source only to the extent apportioned under s [YD 5](#). A business of providing directorship services is likely to be carried on in New Zealand to the extent services are physically performed in New Zealand. Similarly, directors’ fees derived from a contract will have a New Zealand source to the extent they are paid for directorship services physically performed in New Zealand and as apportioned under s [YD 5](#). The directors’ fees apportioned to a New Zealand source is the amount that would have been paid to an independent third party for carrying out the non-resident entity’s New Zealand directorship activities.

Where the directors’ fees paid to a non-resident have a New Zealand source, the schedular payment rules will apply unless one of the exclusions applies. Where fees are paid to a non-resident company for directorship services performed or provided in New Zealand, that company will be a non-resident contractor and, unless an exclusion applies, the fees will be a schedular payment subject to withholding. However, the New Zealand-sourced portion of directors’ fees paid to a non-resident entity from a DTA country are likely to be excluded from the schedular payment rules provided the entity has not been, and will not be, present in New Zealand for more than 92 days in a 12-month period. Directors’ fees paid to non-resident contractors (individuals or entities) will also be excluded from the schedular payment rules if the total amount of contract payments the non-resident contractor has received for any contract services or activities performed in New Zealand do not exceed \$15,000 in a 12-month period. If the non-resident provides notification that they have an exemption, there is also generally no requirement to withhold.

The statement contains several flowcharts that illustrate these conclusions.

Any withholding required must then be completed at the correct rate. Note that there is a 15% minimum rate for an elected rate for non-residents.

Law: IT07 Sch [4](#) pt [B](#)

Last reviewed on 31 December 2025

Drovers, musterers and shearers [13-204]

[13-204]

[Click to open document in a browser](#)

The tax on the wages of an employee doing periodic droving and mustering work is calculated according to the ordinary weekly PAYE tables. If they supply their own dogs, horses or saddlery and receive allowances, the amount of the allowance to which the drover or musterer is entitled is deducted from their weekly wage and PAYE is deducted on the balance.

Payments to a droving contractor or shearing contractor are schedular payments subject to a withholding tax deduction at the standard rate of 15¢ for every dollar of payment (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([13-044](#))).

Payments made to shearers and shearing shedhands have PAYE deducted at a flat rate of 17.5¢ in the dollar and use the tax code "CAE".

Law: IT07 [Sch 4 pt C](#)

Last reviewed on 31 December 2025

Election day workers [13-207]

[13-207]

[Click to open document in a browser](#)

An election day worker is a person engaged as an electoral official, interpreter, usher, or for any other purpose for:

- # any general election, local election or poll
- # an election or poll to which any of the provisions of the Electoral Act 1993 or the Local Electoral Act 2001 applies, or
- # any other election or poll held simultaneously with and in the same premises as an election or poll in the categories above.

Election day workers are taxed through the PAYE system at the flat rate of 17.5¢ in the dollar plus ACC earners' levy, if they have completed their tax code declaration form [IR330 \(13-030\)](#) with the tax code "EDW".

The payment must be made by the authority controlling the election or poll. Also, the payment made must be exclusively for work done or services rendered immediately before, on, or immediately after the day of the election or poll.

Law: IT07 s [YA 1](#) ("[election day worker](#)"), [Sch 2 pt A cl 7](#)

Last reviewed on 31 December 2025

Extra pays [13-221]

[13-221]

[Click to open document in a browser](#)

Any lump sum payments made to an employee in relation to their employment are known as extra pays. Extra pays are specifically excluded from the definition of “salary or wages” and “schedular payments” under ss [RD 5](#) and [RD 7](#). These are payments that are not overtime and that are not regularly included in a pay period. Section [RD 7](#) states that extra pays include such payments made as:

- # bonuses
- # gratuities
- # back pay
- # profit shares
- # redundancy payments
- # retiring allowances
- # amounts derived for a restrictive covenant or exit inducement
- # certain benefits under an employee share scheme ([13-470](#))
- # remedial payments of holiday pay ([13-256](#)), and
- # an unrepaid PAYE income overpayment treated as extra pay under s [RD 8B\(2\)\(b\)](#).

The lump sum may be payable in 2 or more instalments and still qualify as an extra pay.

Example:

A company was accountable for PAYE deductions for lump sum payments made to its employees who were transferred in the course of their employment. The payments were to compensate the employees for the costs involved in changing accommodation. The Court of Appeal found that the payments were made in respect of, or in relation to, the employment of the person to whom they were made. They were, therefore, PAYE income payments (source deduction payments) to which the extra pay (extra emolument) rate applied. See *Shell New Zealand Ltd v C of IR* ([1994](#)) [16 NZTC 11,303](#).

A payment is not necessarily an extra pay simply because it is not an actual part of an employee's ordinary pay. Overtime and regular bonuses are not treated as extra pays but are added to any other salary and taxed accordingly.

Rather than being taxed at the normal tax rates, all extra pays are taxed at a flat rate determined by reference to the level of the employee's combined total of extra income and annualised value of all other PAYE income payments paid to the employee by the employer in the 4 weeks preceding the day the extra pay is paid. For the applicable rates of tax and income thresholds for extra pays see [Sch 2 pt B](#) and CCH, *Dep Rates 2026*, at [150-040](#).

An exception applies for non-resident seasonal workers who have either notified their employer of their tax code or are in their first month of employment in New Zealand and for employees who have not notified their employer of their tax code. In the case of such non-resident seasonal workers, extra pays are taxed at the flat rate of 10.5%. In the case of employees with a non-notified tax code, the rate of tax on extra pays is 45%.

From 1 April 2025, s [RD 17\(1BA\)](#) provides that when an employer makes an extra pay on termination of an employee's employment, the amount of tax for the extra pay is based on the sum of the amount of the extra and the annualised value of the PAYE income payments for the last 2 pay periods before the PAYE income payment for the extra pay (see calculation examples in *Tax Information Bulletin* [1364-102h Vol 36, No 4](#), May 2024 at 132-133). Employers can apply the same tax treatment to amounts of extra pay that are paid together when one of the amounts of extra pay arises from the ending of an employee's employment.

An employee may elect that an extra pay be subject to a tax deduction at a higher rate. This election must be made on form [IR330](#).

Except for retirement and redundancy payments, extra pay payments must also have the ACC earners' levy deducted from them.

Example:

In December 2020, an employee is to get a \$1,000 bonus payment. Her gross earnings for the previous 4 weeks were \$5,500. Thus:

	\$
Last four weeks' income	5,500
Multiply by 13	
(to gross up to an annual income)	<u>71,500</u>
Add the bonus payment	<u>1,000</u>
Total	72,500

Because the income level was more than \$70,000 (ie the threshold applicable in December 2020 for the 2020–21 income year), the tax rate applied to the bonus payment is 33%. The ACC earners' account levy of 1.21% will also need to be added, making the total deduction 34.21%.

Law: IT07 ss [RD 7](#), [RD 10\(2\)](#), [\(2C\)](#), [\(2D\)](#), [RD 17](#), [Sch 2 pt B](#)

Last reviewed on 31 December 2025

Forestry or bush workers [13-223]

[13-223]

[Click to open document in a browser](#)

Payments for forestry or bush work are schedular payments. The standard rate of tax to be deducted from such payments is 15¢ in the dollar (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([13-044](#))). Such work, under [Sch 4 pt C](#), includes bush felling, road and tramway work, removal of timber and undergrowth cutting, burning or clearing.

Law: IT07 [Sch 4 pt C](#)

Last reviewed on 31 December 2025

Fruit pickers, packers and pruners [¶3-225]

[¶3-225]

[Click to open document in a browser](#)

Under [Sch 4 pt C cl 1\(b\)](#), the standard rate of tax to be deducted from payments made in relation to seasonal labour for agricultural, horticultural and viticultural thinning, picking, packing and pruning activities (cultivation contract work) is 15¢ in the dollar (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([¶3-044](#))).

“Cultivation contract work” is defined broadly to include work or services provided under a contract or arrangement for, or substantially for, the supply of labour and in connection with land that is used, or intended to be used, for the cultivation of fruit crops, vegetables, orchards or vineyards. It does not, however, include work or services provided by a post-harvest facility, or a management entity that is responsible for payment for the work or services provided.

Law: IT07 [Sch 4 pt C](#)

Last reviewed on 31 December 2025

Game hunter or greenstone dealer [¶3-236]

[¶3-236]

[Click to open document in a browser](#)

Included as schedular payments are payments made by a purchaser (and this includes any auctioneer or dealer) to a seller of greenstone, eels, whitebait or sphagnum moss ("schedular natural products"). Not included are payments made to a natural products dealer (being a registered dealer or person who holds a natural product dealer certificate), payments made on a purchase after the goods were sold by a natural product dealer, payments made to an auctioneer or dealer acting as agent for the seller, or payments made in respect of goods purchased in a retail shop.

Payments made to a game seller are also treated as schedular payments. "Game" is defined as all or part of wild deer, wild pigs or wild goats, whether dead or alive.

The standard rate of tax to be deducted for such schedular payments is 25¢ for each dollar of payment made to the seller (if they have not elected another rate and are not subject to a special or prescribed rate ([¶3-044](#))).

Law: IT07 [Sch 4 pt H](#)

Last reviewed on 31 December 2025

Government grant or subsidy [¶3-241]

[¶3-241]

[Click to open document in a browser](#)

If the government pays a wage subsidy to an employer for employing someone who has been unemployed for a specified number of months, the employee is taxed on the wages they receive without any allowance for any subsidy the employer may receive. The wages expense claimed by the employer as a deduction from income for tax purposes must, however, be reduced by the amount of the subsidy received. Additionally, government grants and subsidies received by a registered person in the course or furtherance of a taxable activity are subject to GST ([¶32-023](#)).

Last reviewed on 31 December 2025

Holiday pay [¶3-256]

[¶3-256]

[Click to open document in a browser](#)

Holiday pay is income of an employee and includes any payment of salary or wages in lieu of holiday pay. "Holiday pay" encompasses payments made for annual leave, public holidays and alternative holidays. PAYE should be deducted from each payment of holiday pay as if the pay were part of the employee's ordinary salary or wages (s 86 of the Holidays Act 2003). Any lump sum payment of accrued holiday pay, for example, paid at the time an employee terminates employment, is an extra pay and tax should be deducted accordingly (¶3-221).

Payment for any holiday leave period over the statutory minimum provided for in an employment agreement will also be included in assessable income. Payment for any industry holiday, for example, Dominion Day for law firms, will be included as holiday pay. Holiday pay does not include long-service leave, retirement leave, sick leave, bereavement leave or any other accruing entitlement in relation to employee remuneration (although note that a remedial payment does include such payments, see discussion below).

Commissioner's operational position on calculating PAYE on holiday pay

Operational position [OP 16/01](#), "Commissioner's operational position on calculating PAYE on holiday pay" outlines the Commissioner's position on calculating PAYE on holiday pay and this is summarised below.

When deducting PAYE on holiday pay, IR is concerned with when the holiday pay is paid to the employee, rather than how the holiday pay is calculated. To decide whether a payment of holiday pay is salary or wages or extra pay, regardless of the status of the leave (ie accrued but not entitled, accrued and entitled, or anticipated leave) or how the holiday pay has arisen (person takes leave or end of employment), it is stated that the following general principles apply:

Salary or wages: Holiday pay that is linked to the work days within the pay period is treated as salary or wages (ie where holiday pay is paid in substitution of an employee's normal pay in a pay period; or 8% of a person's gross earnings is included in the person's regular pay). This is how the majority of holiday pay is paid to an employee.

For example, a person who is paid weekly goes on leave for 2 weeks. That person continues to be paid weekly while they are away, but instead of their normal salary, they are paid 5 days of holiday pay in each pay period. These are salary or wages and not extra pays. The gross amount of holiday pay should be allocated appropriately to the number of days/weeks of leave taken and then the PAYE tables applied.

Extra pay: A payment of holiday pay that is paid in addition to the regular pay for the pay period is treated as extra pay. These are payments that would not normally be paid in that pay period.

For example, when a person takes leave, and they request that their holiday pay is paid in a lump sum before their leave starts (ie the holiday pay is paid in an earlier pay period and not in the pay period to which the leave relates). For that particular pay period, the person would receive their normal pay plus the lump sum holiday pay. The regular pay should have normal PAYE deducted as usual by applying the PAYE table and the additional lump sum should have PAYE deducted using the deduction method for extra pay. [Although note the potential application of s [RD 13](#) to advance payments of holiday pay, discussed below.]

The same applies when the remaining balance of a person's leave entitlement (or 8% of gross earnings where there is no leave entitlement) is paid as a lump sum in the person's final pay at the end of their employment (ie the final pay consists of the person's normal pay and an extra lump sum payment).

The person's normal pay should have normal PAYE deducted and the extra lump sum payment should have PAYE deducted using the deduction method for extra pay.

This operational position does not affect the Commissioner's position on the treatment of "cashed up" annual leave, which should continue to be treated as an "extra pay".

Non-resident seasonal workers

Extra pays paid to non-resident seasonal workers who have either notified their employer of their tax code or who are in their first month of employment in New Zealand are taxed at the flat rate of 10.5% ([13-193](#)).

Advance payments of holiday pay or salary or wage

Employers have the option to tax holiday pay or salary or wages paid in advance as if the lump sum payment was paid over the pay periods to which it relates, or under the extra pay method.

Section [RD 13](#) of the IT07 applies when an employee receives:

- # an advance payment of salary or wages, or
- # a lump sum payment of holiday pay made before the employee takes their holiday, if the employee's employment is continuing. It does not apply to a lump sum payment of holiday pay made on termination of employment (which continues to be taxed as an extra pay).

When the section applies, an employer can choose, for the purposes of withholding PAYE, to treat the lump sum payment:

- # as an extra pay, or
- # as if it had been paid in its normal cycle for the pay periods to which it relates.

If an employer chooses the latter option, the employer calculates the amount of PAYE to withhold from the lump sum payment by:

- # apportioning the lump sum payment to the pay period or pay periods to which it relates based on the employee's usual hours of work
- # calculating the amount of PAYE for each portion of the lump sum, as if the portion were the only salary payment they made to the employee for the particular pay period, and
- # adding together the PAYE amounts for each portion.

If an employer, subsequent to making a lump sum payment to an employee where PAYE was calculated using this method, makes a salary payment to the employee for one of the pay periods to which the lump sum relates, the employer must calculate the amount of PAYE to be withheld from the salary payment by:

- # adding together the salary payment and the portion of the lump sum that relates to the pay period
- # calculating the amount of PAYE that would be required to be withheld from this aggregate amount, as if that amount were a single payment of salary paid by the employer to the employee for the pay period, and
- # subtracting the amount of previously withheld PAYE for the portion of the lump sum that relates to the pay period.

These changes do not apply for the purposes of calculating employee KiwiSaver contribution deductions or for the purposes of calculating student loan deductions from payments of salary or wages (eg *Tax Information Bulletin* [1305-102 Vol 30, No 5](#), June 2018 at 27).

Backdated remedial payment of holiday pay

From 1 April 2008, a backdated remedial payment of holiday pay is treated as an extra pay. Before the amendments, such payments were treated as salary or wages, or an extra pay, or a combination of both, depending on the circumstances which gave rise to the original payment of holiday pay. Backdated in this context means a payment that is being made because an earlier payment was insufficient. A remedial

payment makes up for a shortfall in previous payments for entitlements under the Holidays Act or an employment agreement. This means that, as well as holiday pay, it covers payments made to correct other types of entitlements under the Holidays Act, such as sick leave, and under employment agreements, such as long service leave. A payment to rectify a shortfall in salary or wages will not be treated as an extra pay provided the shortfall is made up in one payment.

Example:

Julie was paid \$300 in sick leave under the Holidays Act 2003 and \$1,700 in long service leave under her employment agreement. Julie's employer later discovers that both payments were incorrectly calculated. Julie should have been paid \$350 in sick leave and \$2,000 in long service leave. The difference between the amounts paid to Julie and Julie's actual entitlements is \$350. Julie's employer pays her \$200 to satisfy part of the difference. The payment of \$200 is a remedial payment. Later, Julie's employer pays her \$150 to satisfy the remainder of the difference. The payment of \$150 is a separate remedial payment. Each remedial payment is treated as an extra pay.

Example:

An employer fails, on the regular payday of one of its employees, Tom, to pay any of the \$1,000 in wages owed to Tom for the relevant pay period. The employer later makes a payment of \$800 (payment 1) to Tom to address the failure to pay Tom's wages on Tom's regular payday, but a shortfall of \$200 remains outstanding. Payment 1 is not a remedial payment.

Sometime later still, the employer makes a further payment of \$200 (payment 2) to Tom to address the shortfall in payment 1. Payment 2 is a remedial payment. Payment 2 is therefore an extra pay.

The legislative amendments replaced the Income Tax (Employment-related Remedial Payments) Regulations 2017, which had the same effect but applied only from 18 August 2017. A savings provision was also included in the amendments to protect the tax position of employers taken in relation to backdated remedial payments of holiday pay during the period from 1 April 2008 to 17 August 2017.

Commissioner's statement

Following the introduction of the 2017 Regulations, the Commissioner released a Commissioner's statement [CS 17/02](#), "Tax treatment of backdated remedial payment of holiday pay", which set out the Commissioner's approach to such payments. Although the Regulations have now been revoked, the general discussion contained in the statement is still relevant in providing the Commissioner's view on these payments.

The Commissioner's view is that current year tax rates are applicable when withholding PAYE from the remedial payments. Employers do not have to make adjustments to employment income information for the previous tax years. The amount of the remedial payment and PAYE withheld simply needs to be recorded in the employment income information for the period in which the payments are made. Other deductions, such as student loan repayments and KiwiSaver contributions, should be made in the usual manner for current employees.

Remedial payments made to former employees are also treated as extra pays. The Commissioner's view is that it is the PAYE income payments paid by the employer making the remedial payment that must be annualised to determine the correct extra pay withholding rate (not those of the former employee's current employer). If the former employee notifies the former employer of a student loan tax code, then student loan repayments should be deducted from the remedial payment. If the former employee has given the former employer a KiwiSaver deduction notice (either while they were in employment or at the time a remedial payment is made), the employer must deduct KiwiSaver contributions. Employers should check the current KiwiSaver status of former employees as their circumstances may have changed (eg they may have been granted a contribution holiday). As a general rule, if an employer is required to deduct KiwiSaver contribution from a payment of salary or wages, that employer is also required to pay compulsory employer contribution. A remedial payment made to a former employee who is not a KiwiSaver member at the time of payment will not be considered "new employment" and will not trigger the automatic enrolment rules under the KiwiSaver Act.

Deductibility

For discussion on the deductibility of holiday pay, see [¶10-052](#) and [¶10-292](#).

Ordering requirements

In most cases, there will be accrued holiday pay for which companies have previously been allowed a deduction. Although the legislation does not specify what ordering system should be used for accrued holiday pay, in accordance with *Devaynes v Noble (Clayton's Case)* (1816) 35 ER 781, the crediting of holidays taken against holiday leave entitlements will be regarded as being paid out on a first in, first out basis. Consequently, an employer must use up the existing accrued holiday pay for an employee before the employer can credit leave against newly accruing leave entitlements. The same first in, first out rules apply to all accruals of employment income (*Tax Information Bulletin* [¶39-101 Vol 3, No 9](#), June 1992 at 5 and [¶10-292](#)).

Law: IT07, ss [RD 7](#), [RD 10\(2C\)](#), [\(2D\)](#), [RD 13](#); HOL ss [5](#), [86](#)

Last reviewed on 31 December 2025

Koha [¶3-263]

[¶3-263]

[Click to open document in a browser](#)

In October 2015, IR updated its position on koha. Previously, IR had stated that in its view any unconditional gift given by non-members of the marae is not liable for income tax, but that any gift from a member of the marae was not unconditional. However, such a gift was also usually not liable for income tax because it came from within the membership of the marae.

IR has now acknowledged that the tax treatment of koha is not always straightforward and it should be determined on a case-by-case basis. IR's fact sheet, [IR278](#) (August 2025), explains the tax treatment of payments and gifts in the Māori community. The fact sheet states that koha made voluntarily without the giver receiving a benefit or material advantage is not liable for GST or income tax.

Koha may involve the need to make a PAYE deduction by an employer if there is an employer–employee relationship ([IR278](#)).

Last reviewed on 31 December 2025

Labour-only building contractor [¶3-271]

[¶3-271]

[Click to open document in a browser](#)

Payment for work done or services rendered under a contract or an arrangement that is exclusively or substantially for the supply of labour in connection with a building or a construction is a schedular payment if the nature of the service falls within the categories listed under [Sch 4 pt E](#). Examples of such services include roof-fixing, erecting fences, laying concrete, hanging wallpaper, painting, plastering, installing insulating materials and carpentry. The standard rate of tax to be deducted from such payments is 20¢ in the dollar (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([¶3-044](#))).

Law: IT07 [Sch 4 pt E](#)

Last reviewed on 31 December 2025

Labour-hire firm contractors [¶3-275]

[¶3-275]

[Click to open document in a browser](#)

The schedular payment rules specifically cover all contractors operating through labour-hire firms, so that labour-hire firms are required to withhold from any payments made to their contractors. They must withhold at the relevant rate ([¶3-044](#)), with the standard rate set at 20% ([Sch 4 pt J](#)).

A labour-hire arrangement is one where a firm arranges for workers to do work for clients. The labour-hire firm receives payment from the client and pays the worker themselves. The withholding applies where there is a labour-hire arrangement, one of the payer's main activities is the business of providing labour-hire services, and the payment is made for that business (ie the labour-hire arrangement is not incidental to another business).

Arranging for person to work for client

"Arranging for a person to perform work or services directly for clients" means that there is an agreement to provide a worker to the client, and the worker will then provide their services at the general direction of the client. This does not include a contract in which the parties agree to deliver a given result or outcome. For example, if a contract provided for Firm A to make available some painters to a building company to work for them for a period of time, and the painters work at the general instruction of the building company, then Firm A would be arranging for a person to perform work or services. In contrast, if a contract provided for a painting company to paint houses for a building company, and the painting company contracted some labourers to work for it in completing the service, the contract between the painting company and building company would be a contract for a service to produce a given result (the painted houses) rather than a contract arranging for a person to "perform work or services directly for clients".

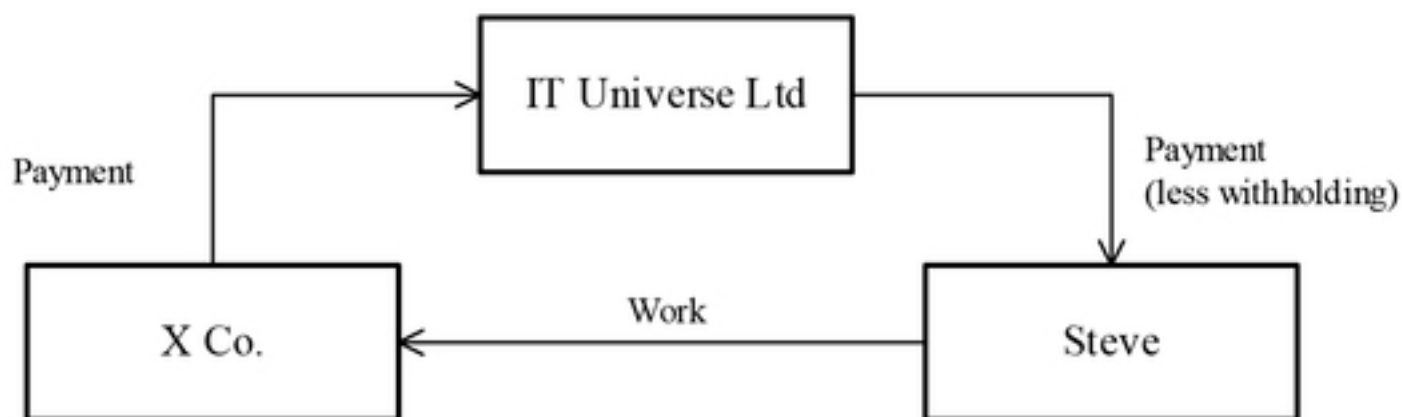
Main activity of business

For something to be one of the main activities of the business requires the activity to be more than incidental to other activities of the firm. For example, a wedding planner may arrange for persons to perform makeup or other services directly for clients, but because this is incidental to the main activity of the planner it will not make the wedding planner a labour-hire firm.

A business may have more than one main activity. For example, a labour-hire firm may have main activities of providing workers directly, as well as providing direct contracting work. The key question to ask is whether arranging to provide workers directly is being done in a business of its own right, or whether it is merely a requirement or incidental activity of another activity of the business.

Example:

IT Universe Ltd provides contractors to other businesses to help with their IT projects. X Co asks IT Universe Ltd for IT contractors to help with an upgrade of its systems. IT Universe Ltd provides one of their contractors (Steve, a New Zealand resident) to assist X Co. Steve works at the general direction of X Co.



IT Universe Ltd is arranging for a worker (Steve) to provide work directly for their client (X Co). As a result, they are in a labour-hire arrangement with Steve and X Co and this arrangement is part of their labour-hire business. IT Universe Ltd is required to withhold tax from any payments to Steve. The rate will be the applicable rate as set out above. If Steve has not elected a rate, the standard rate for labour-hire firm contractors of 20% will apply.

Example:

Paul is a builder and contracts to build a house for Susan. He subcontracts another contractor, Bruce, to do the plumbing work for the house. Paul is not required to withhold from payments to Bruce because he is not arranging for workers to perform work directly for clients. Instead Paul is arranging to produce a specified output for Susan (building a house).

Examples adapted from *Tax Information Bulletin* [T294-104 Vol 29, No 4](#), May 2017 at 53–55.

No company exception

The general exception to the schedular payment rules for companies does not apply to payments under labour-hire arrangements. Labour-hire firms must withhold from payments regardless of the type of legal entity the payments are made to. Companies may apply for a tailored tax code to reduce their withholding rate if necessary.

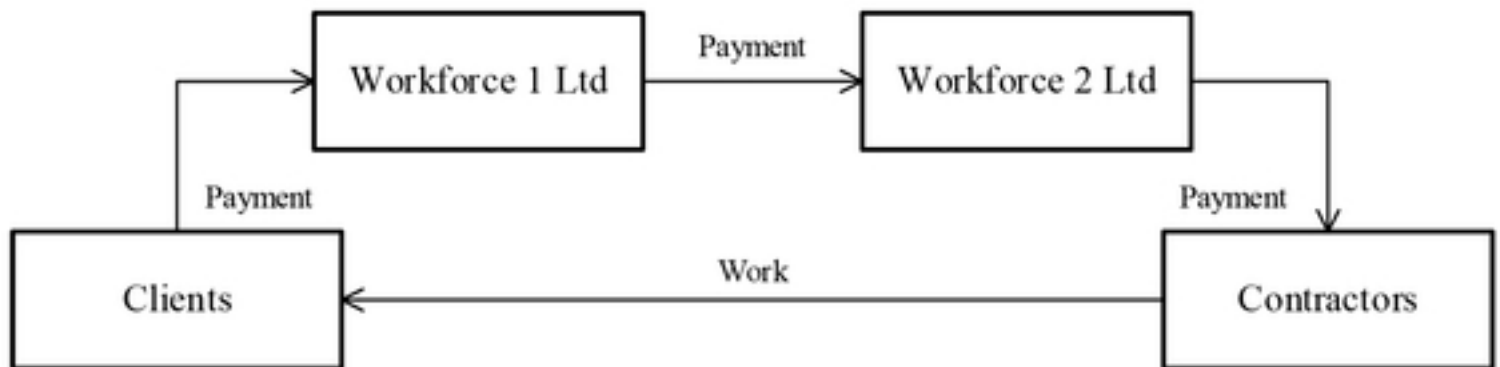
Associated party transactions

Where the payer and the payee are associated under s [YB 2](#) or [YB 3](#) of the IT07, being 2 companies or a company and a person other than a company, the rules do not apply unless the payer so chooses. This is intended to prevent the rules applying, and additional compliance costs being imposed, in situations where payments are effectively made between entities that are part of the same business.

Example:

Workforce 1 Ltd is a labour-hire firm that provides workers to perform work directly for clients. As part of its business structure Workforce 1 Ltd chooses to have its sales, marketing and client-facing side of the business managed by Workforce 1 Ltd while its staff management is handled by Workforce 2 Ltd. Workforce 1 Ltd and Workforce 2 Ltd are part of a wholly-owned group.

Workforce 1 Ltd pays Workforce 2 Ltd part of the fees received by clients in order to pay their contractors.



Workforce 1 Ltd and Workforce 2 Ltd are wholly-owned companies and as a result are associated under s [YB 2](#). As a result, payments made to Workforce 2 Ltd by Workforce 1 Ltd will not be subject to withholding under the labour-hire firm rules unless Workforce 1 Ltd chooses to apply [sch 4 pt J](#).

Workforce 2 Ltd will still need to withhold from payments it makes to its contractors.

Example adapted from *Tax Information Bulletin* [1294-104 Vol 29, No 4](#), May 2017 at 56.

Exempt payments

New Zealand resident contractors working for labour-hire firms will not be able to have their payments treated as exempt payments ([13-044](#)). They can apply for a special tax rate of 0% if withholding is inappropriate.

The Commissioner may notify non-resident contractors who work for labour-hire firms that the payments they receive are exempt from any withholding.

Law: IT07 Sch [4](#) pt [J](#)

Last reviewed on 31 December 2025

Member of a board, committee, panel, review group or taskforce [¶3-280]

[¶3-280]

[Click to open document in a browser](#)

A payment of fees to a member of a board, committee, panel, review group or task force is generally a schedular payment and therefore subject to withholding tax. The payment is either classified as:

- # a payment of examiner's fees, or honoraria, or
- # a payment for work or services performed by:
 - a local government elected representative, or
 - an official of a community organisation, society, or club, or
 - a chair or member of a committee, board, or council, or
 - an official, chair, or member

The withholding tax rate on these payments of fees to a member is 33¢ in the dollar, unless an exemption certificate is held or a special tax rate certificate is held, or the recipient has chosen their own rate (a minimum of 10¢ in the dollar).

See general article [GA 25/01](#) "Tax on any fees paid to a member of a board, committee, panel, review group or task force" for more details on the withholding obligations of these types of payments.

Last reviewed on 31 December 2025

Resident entertainers and sportspersons [¶3-281]

[¶3-281]

[Click to open document in a browser](#)

Payments for services connected with the following activities are deemed to be schedular payments: any sporting event or competition of any nature (including motor racing and rallies, motorcycle and motor boat racing, horse racing and trotting), lectures, speeches or talks, or any performance by actors, entertainers, musicians, singers, dancers, models and comperes, etc (whether alone or not). However, payments made to the following persons are not "schedular payments":

- # persons fully or partly funded under a government cultural programme
- # official representatives of a body that administers a game or sport in an overseas country
- # persons undertaking an activity or performance under a programme of a foundation, trust or organisation outside New Zealand which exists for the promotion of a cultural activity and is not carried on for individual profit of the member or shareholder.

Generally, entertainers are regarded as being self-employed when they work out their own act or routine, supply their own equipment and do not work for one person on a permanent basis.

The standard rate of tax to be withheld from these payments is 20¢ for each dollar of payment, provided the payment is to a New Zealand resident or their agent or another person acting on their behalf.

Where the New Zealand resident is an apprentice jockey or driver and the payment relates to shares of riding or driving fees and is made to the resident or their agent or another person acting on their behalf, the standard rate of tax is 15¢ for each dollar of the payment.

Payments made to a person who has made a contribution for television, radio, theatre, stage or the printed media have a standard rate of tax of 25¢ for each dollar, as do payments relating to personal attendances for exhibiting or demonstrating goods.

Fees or remuneration that relate to modelling, including a personal attendance for any promotional purpose, for photography, for supplying personal photographs, or for supplying personal endorsements or statements have a standard rate of tax of 20¢ for each dollar of payment.

All of the above rates apply if the New Zealand resident has not elected another rate and is not subject to a special or prescribed rate ([¶3-044](#)).

For discussion regarding schedular payments on prize money paid to resident entertainers at sporting events or competitions, see [¶3-457](#).

See CCH, *Dep Rates 2026*, at [¶50-080](#) for a full list of rates of tax for schedular payments.

Law: IT07 [Sch 4 pt F](#)

Last reviewed on 31 December 2025

Non-resident sports personalities and entertainers [¶3-282]

[¶3-282]

[Click to open document in a browser](#)

Non-resident entertainers (including sportspersons) are persons not resident in New Zealand, who, while visiting New Zealand, perform or participate in a resident entertainer's activities, ie sporting events, lectures, musical performances, etc. Payments made to them (or their agent or a person acting on their behalf) are schedular payments and the standard rate of tax to be deducted is 20¢ in the dollar.

For discussion regarding schedular payments on prize money paid to non-resident entertainers at sporting events or competitions, see [¶3-457](#).

Non-resident entertainers and sportspersons deriving income from activities or performances occurring under certain cultural programmes may qualify for an exemption under s [CW 20 \(¶26-485\)](#).

Law: IT07 s [YA 1](#) ("non-resident entertainer"), [Sch 4 pt F](#)

Last reviewed on 31 December 2025

Non-resident contractors [¶3-286]

[¶3-286]

[Click to open document in a browser](#)

Payments made to a non-resident contractor (whether they are a company or individual) where the payment relates to a contract activity or service in New Zealand are schedular payments and withholding tax must be deducted.

Where contract payments are made the payer should ensure that they hold a completed tax rate notification for contractors ([IR330C](#)) for the non-resident contractor.

The standard tax rate for schedular payments to non-resident contractors (irrespective of whether they are companies or individuals) is generally 15% ([Sch 4 pt A](#)). However, if the schedular payment is a kind of payment with a rate specifically provided for in another part of [Sch 4](#) (eg the 25% rate applying to payment for media contributions carried out by freelance contributors) that specific rate is the rate that should be applied ([¶26-480](#) and Interpretation Statement [IS 10/04](#), "Non-resident contractor schedular payments"). Note that the standard rate may not apply if the contractor has elected a rate or is subject to a special or prescribed rate ([¶3-044](#)).

Several exemptions exist for payments made to non-resident contractors ([¶26-480](#)).

For discussion regarding schedular payments made to non-resident contractors in the screen production industry, see [¶3-328](#) and [¶3-457](#).

Law: IT07 ss [RD 8\(1\)\(b\)\(iv\)](#), [\(v\)](#), [\(vi\)](#), [RD 24](#), [Sch 4 pt A](#); TAA s [24H](#), [Sch 5 pt C](#)

Last reviewed on 31 December 2025

Non-resident employee of overseas firms [¶3-291]

[¶3-291]

[Click to open document in a browser](#)

A non-resident person is generally not liable for New Zealand tax if their visit is less than 92 days in an income year and their employer is a non-resident ([¶26-420](#)). However, IR's policy requires non-resident companies to deduct PAYE from the salary and wages of a non-resident employee irrespective of whether they spend less than 92 days working in New Zealand. The Commissioner can accept from an employer or PAYE intermediary, before 1 April 2024, a bond or other form of security in substitution for any liability to withhold PAYE that would arise in respect of non-resident employees if the liability of the employee to tax is uncertain due to the 92-day tax exemption under s [CW 19](#) of the IT07 or from a similar tax agreement. Liability to withhold PAYE deductions in respect of the employee would recommence only if the Commissioner specifies to an employer or PAYE intermediary a date after which deductions are to be made or if the employee becomes liable to income tax ([¶26-430](#)).

Note that from 1 April 2024 the provision of bonds under s [RD 23](#) is repealed.

Law: IT07 ss [CW 19](#), RD 23

Last reviewed on 31 December 2025

Non-resident teachers and researchers [¶3-292]

[¶3-292]

[Click to open document in a browser](#)

Generally, non-resident teachers and researchers are taxed on New Zealand-derived salary and wages. However, relief is available if there is a legislative exemption or the teacher is resident in a country that has a double tax treaty with New Zealand. General exemptions are available when the teacher or researcher:

- # is in New Zealand for less than 92 days in a 12-month period and meets certain other requirements under s [CW 19](#) of the IT07 ([¶26-420](#)), or
- # works for or on behalf of a non-resident or is paid an allowance under an assistance programme entered into by the New Zealand Government (s [CW 22](#) and [¶5-638](#)).

The Commissioner's current policy on the tax treatment of salary and wages derived by non-resident teachers and researchers in New Zealand is published in *Tax Information Bulletin* [¶68-105 Vol 6, No 8](#), January 1995 at 4.

If it is clear from the employee's immigration documents or contract of employment that the employee's presence in New Zealand will be less than either 92 or 183 days, the employee may apply for a NIL tailored tax rate certificate. On issue of such certificate, the employee will not be liable for tax on any amount derived from teaching or researching services in New Zealand. In other cases, educational institutions employing a visiting teacher or researcher will be obliged to deduct PAYE. Alternatively, before 1 April 2024, a bond arrangement may be entered into with IR under s [RD 23](#) ([¶26-420](#) and [¶26-430](#)).

Note that from 1 April 2024 the provision of bonds under s [RD 23](#) has been repealed.

Law: IT07 ss [CW 19](#), [CW 22](#)

Last reviewed on 31 December 2025

Outworkers and pieceworkers [¶3-294]

[¶3-294]

[Click to open document in a browser](#)

Where an outworker is paid according to output, PAYE must be deducted from the payment. The payment is treated as a payment for the period that runs from the date the work starts to the date of its completion. Generally, pieceworkers employed in factories are paid on a regular basis (ie weekly, fortnightly or monthly).

In cases where payments for piecework or outwork are made for irregular periods, the procedure is as follows:

- # Treat the payments as having been earned uniformly over the period in which the work was carried out.
- # The entire period from commencement to completion should be divided into complete weeks and the payment allocated uniformly as per the first bullet point. Any odd days should be treated as being for an extra week.
- # Calculate the PAYE for each week separately and add up the PAYE to arrive at the total amount to deduct.

Payments to a labour-only contractor in the building industry are schedular payments liable for tax.

See IR's publication [IR335](#), "Employer's Guide", August 2025 at 55.

Law: IT07 s [RD 15\(2\)](#), [\(4\)](#)

Last reviewed on 31 December 2025

Payment to working partners [13-296]

[13-296]

[Click to open document in a browser](#)

Payments to a working partner may be treated as salary or wages subject to PAYE tax deductions, provided certain requirements are met. The requirements are that the partner is employed under a written contract of service signed by all the partners and the contract specifies the amount payable and the terms and conditions of the services to be performed by the partner. In such cases, PAYE and ACC levies must be deducted from such salaries and accounted for on form [IR348](#) ([123-132](#)).

Law: IT07 s [RD 5\(3\)](#)

Last reviewed on 31 December 2025

Pay in lieu of notice [¶3-301]

[¶3-301]

[Click to open document in a browser](#)

When an employee is dismissed and given pay in lieu of notice, that pay should be treated as an extra pay for tax deduction purposes, not as ordinary salary or wages (*Tax Information Bulletin* [¶613-123 Vol 6, No 13](#), May 1995 at 20).

Last reviewed on 31 December 2025

IR 56 taxpayers [13-303]

[13-303]

[Click to open document in a browser](#)

Certain types of employees are responsible for paying their own PAYE instead of their employers deducting the tax from their earnings. For example, private domestic workers are required to account for their own PAYE ([13-306](#)). Other examples include embassy staff, New Zealand-based representatives of overseas companies and United States Antarctic Program personnel. These workers are known as "[IR56](#) taxpayers".

An [IR56](#) taxpayer should register as an employer with IR using form [IR359](#) (March 2023). Registration may also be completed online through IR's website. The [IR56](#) taxpayer must also complete a tax code declaration form ([IR330](#)) and a new employee and KiwiSaver details form ([IR346K](#)).

[IR56](#) taxpayers calculate the tax deduction from their total earnings each month in the same way as an employer would do for an employee. These taxpayers must complete and file their employment information ([IR348](#)) within 10 working days of the end of the month. They must also remit PAYE deductions (including the ACC earners' levy and any relevant child support, student loan repayment or KiwiSaver deductions) to IR by the 20th of the month following the month in which the relevant earnings are received (s [RD 4](#)).

[IR56](#) taxpayers should complete the [IR56](#) summary forms ([IR 356](#), "[IR 56 taxpayer's handbook](#)", May 2025) to record their monthly gross wages and PAYE deductions and keep these summaries as a permanent record.

Law: IT07 ss [RD 4\(4\)](#), [RD 16](#)

Last reviewed on 31 December 2025

Private domestic worker [13-306]

[13-306]

[Click to open document in a browser](#)

As defined in s [YA 1](#), a “private domestic worker” means a person employed by any other person if:

- (a) the employer is the occupier, or 1 of the occupiers, of a dwellinghouse or other premises used exclusively for residential purposes; and
- (b) the employment is for the performance of work in or about the dwellinghouse or premises or the garden or grounds belonging to the dwellinghouse or premises; and
- (c) the employment is not for a business carried on by the employer or an occupation or calling of the employer; and
- (d) the employment is not regular full-time employment.

No tax deduction is required to be made by an employer from any PAYE income payment (ie salary or wages or a schedular payment) made to a private domestic worker. Instead, the worker is required to account directly to IR for PAYE as an “IR56 taxpayer” ([13-303](#) and [IR356](#)).

The reason for this provision appears to be to avoid the necessity for a householder to assume the duties of an employer when hiring assistance. The provision applies only to the work done for a householder in a private capacity, such as work done by home-helpers, attendant caregivers, nannies and gardeners. A person who does what might be described as domestic work for a business, such as gardening or lawn mowing in the grounds of a factory, is not a private domestic worker and should be regarded as an employee or contractor with tax deducted in the normal manner. In addition, a person only qualifies as a private domestic worker if they work part-time. IR considers part-time employment for this purpose to be no more than 30 hours per week on average for each employer. If a person works full-time, the responsibility for PAYE falls on the employer.

In some cases, a private domestic worker may not be required to file a tax return.

Law: IT07 ss [RD 16](#), [YA 1](#) (“private domestic worker”)

Last reviewed on 31 December 2025

Prize for sales competition [¶3-310]

[¶3-310]

[Click to open document in a browser](#)

When a competition is run by an employer among their sales personnel with a cash prize for the best sales results, the cash prize is assessable income of the recipient. Tax deductions should be made according to the salesperson's tax status and applicable tax rate.

Non-cash prizes are not assessable income in the hands of the recipient, although they may be subject to FBT. The status of non-cash prizes as non-assessable income was confirmed in the case *Sixton v C of IR* (1982) 5 NZTC 61,285. The Court found that the benefit received by the taxpayer was not an allowance. It was a non-monetary perquisite or emolument and was not included within the meaning of the term "allowance". The fact that the benefit may have been convertible into cash is irrelevant once it has been decided that the benefit is not an allowance.

Last reviewed on 31 December 2025

Redundancy payments and retiring allowances [¶3-313]

[¶3-313]

[Click to open document in a browser](#)

Redundancy payments and retiring allowances are fully taxable to the recipient. The full amount of the payment is treated as an extra pay ([¶3-221](#)) and is subject to 10.5%, 17.5%, 30%, 33% or 39% tax at the time of payment. The withholding rate that applies is determined based on the combined total of the extra pay and the annualised value of the PAYE income payments paid to an employee in the previous 4 weeks.

Employers need not deduct the ACC earners' account levy from redundancy payments or retiring allowances.

Law: IT07 s [RD 10\(2\)](#), [Sch 2 pt B](#)

Last reviewed on 31 December 2025

Retraining payment [¶3-317]

[¶3-317]

[Click to open document in a browser](#)

The Commissioner's policy regarding the tax treatment of retraining payments made in lieu of a redundancy payment is set out in *Tax Information Bulletin* [¶73-107 Vol 7, No 3](#), September 1995 at 6. The Commissioner considers that retraining payments received by an employee upon termination of employment are more in the nature of a redundancy payment than a bursary payment eligible for exemption under s [CW 36 \(¶5-633\)](#). Retraining payments are therefore considered to fall within the definition of employment income and are taxable in the hands of the former employee under s [CE 1](#). Consequently, an employer must deduct PAYE from the amount of any such payment.

Law: IT07 s [CE 1](#)

Last reviewed on 31 December 2025

School children [¶3-326]

[¶3-326]

[Click to open document in a browser](#)

School children and students earning income are liable to income tax the same as other taxpayers. However, school children may qualify for an exemption if:

- # the income is none of the following:
 - # a PAYE income payment from which the person's employer is required to withhold tax under the PAYE rules
 - # resident passive income
 - # non-resident passive income
 - # beneficiary income
 - # excluded income
 - # exempt income, and
- # the total income derived in the tax year is less than \$2,340.

Law: IT07 s [CW 55BB](#)

Last reviewed on 31 December 2025

Screen and media production [13-328]

[13-328]

[Click to open document in a browser](#)

Payments made for work done or services rendered in the screen and media production industry are subject to a standard rate of 20% withholding tax (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([13-044](#))).

More specifically, the rate applies to the production of television, video or films. It includes work or services of a nature commonly involved in the on-set and off-set pre-production, production and post-production processes.

However, media contribution fees, being payments made for a contribution to television, radio, theatre, stage or printed media, are subject to a standard rate of 25%.

For discussion on the exemption for daily allowances paid in the screen production industry, see [13-457](#).

Law: IT07 [Sch 4 pt F](#)

Last reviewed on 31 December 2025

Secondary employment [13-341]

[13-341]

[Click to open document in a browser](#)

An employee who already has a regular job and who takes on a second job should be taxed at the secondary earner rate on earnings from their secondary employment.

See the notes to form [IR330](#) for tax codes and thresholds relating to secondary employment earnings.

Law: IT07 [Sch 2 pt A cls 4, 5, 6, 9](#)

Last reviewed on 31 December 2025

Shearing contractors [¶3-351]

[¶3-351]

[Click to open document in a browser](#)

Payments made to a shearing contractor (who may employ other shearers) are schedular payments. The standard rate of withholding tax for such payments is 15¢ in the dollar (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([¶3-044](#))). If the contractor produces a certificate issued by IR that the payment is exempt, the farmer is not required to withhold tax from the payment ([¶3-044](#) and [¶3-204](#)).

Whether or not the farmer has deducted tax from payments made to the contractor, a contractor paying employees must make PAYE tax deductions from the payments and must account to IR for those deductions in the same manner as other employers. For employees who are casual agricultural employees PAYE must be deducted at the flat rate of 17.5¢ in the dollar.

Law: IT07 s [RD 20](#), [Sch 4 pt C](#)

Last reviewed on 31 December 2025

Main benefit [¶3-356]

[¶3-356]

[Click to open document in a browser](#)

Payment of a main benefit (previously an income-tested benefit) is treated as a payment of salary or wages. Normal PAYE tax deductions are made by the department responsible for the Social Security Act 2018.

A main benefit is any of the following benefits paid under the Social Security Act 2018:

- # sole parent support
- # emergency benefit
- # youth payment
- # supported living payment
- # jobseeker support, and
- # young parent payment.

The amount of PAYE deductions from a main benefit is deducted by the Ministry of Social Development and the tax rate is to be determined by the Commissioner in consultation with the chief executive of the Ministry of Social Development. The personal income tax thresholds was amended from 31 July 2024 and to facilitate the smooth administration of the taxation of main benefits, the Commissioner has issued [DET 24/03](#), "Determination under section RD 11(3) of the Income Tax Act 2007 of the amount of tax for a payment of a main benefit", which sets out the rates of PAYE to be deducted from the main benefits:

- # For main benefit payments made up to and including Thursday, 1 August 2024, the rate of tax is the "M" tax rate set out in the Commissioner's weekly PAYE tables that apply from 1 April 2024 to 30 July 2024.
- # For main benefit payments made on or after Friday, 2 August 2024, the rate of tax is the "M" tax rate set out in the Commissioner's weekly PAYE tables that apply from 31 July 2024.

The tax deducted under s [RD 11\(3\)](#) is not a final tax for the recipient of the main benefit and an end of year square up is required to determine the final tax liability.

Law: IT07 ss [RD 5\(6\)](#), [RD 11\(1\)](#), [YA 1](#) ("main benefit", "main benefit equivalent assistance")

Last reviewed on 31 December 2025

Working visitors [¶3-361]

[¶3-361]

[Click to open document in a browser](#)

A visitor to New Zealand who works while here is liable for tax on income derived from that work unless a specific exemption applies. PAYE tax deductions should be made from any salary or wages paid to that person.

Criteria within s [CW 19](#) may operate to exempt income that a non-resident person derives from performing personal or professional services in New Zealand during a visit ([¶26-420](#)).

Last reviewed on 31 December 2025

Voluntary worker for an approved charity [13-366]

[13-366]

[Click to open document in a browser](#)

A voluntary worker in receipt of regular salary, wages or allowances from an approved charitable organisation is deemed to be an employee and PAYE must be deducted from their earnings.

Law: IT07 ss [CE 1](#), [RD 3](#)

Last reviewed on 31 December 2025

Cross-border employees [13-367]

[13-367]

[Click to open document in a browser](#)

Who is a cross-border employee?

From 1 April 2023, s [CE 1F](#) provides specific treatment for cross-border employees receiving PAYE income payments. A “cross-border employee” is defined as:

- # an employee of a non-resident employer (if the employee provides services in New Zealand)
- # a resident employee (if the person provides services outside New Zealand).

The position is not affected if the employee has left New Zealand when a payment is made, provided the services were provided in New Zealand. The definition includes a secondee or a person who provides a service for or on behalf of a person who is not resident in New Zealand.

The tax residence rules for natural persons are important when determining the application of these rules ([11-120](#)).

For a cross-border employee who remains on the employer's payroll in a country outside New Zealand, the PAYE income payment is derived by the person on the 20th day after payment, if the employer has chosen to report the payment as employment income for a shadow payroll employee ([13-023](#)).

If tax is not paid or is underpaid, the employee must perform the relevant tax obligations as if they were an employer and may pay the initial amount of tax as a lump sum. This applies to PAYE income payments, FBT ([21-010](#)) and employer superannuation contributions ([13-101](#)).

60-day grace period

From 1 April 2024, a 60-day grace period is allowed for the performance of employment-related duties that have been omitted in respect of a cross-border employee. However, regular anticipated salary and wage expenses generally do not qualify for this concession.

Section [CE 1F\(3C\)](#) allows for a 60-day grace period during which the employer must make reasonable efforts to meet or correct their tax obligations for PAYE income payments, employer superannuation cash contributions or fringe benefits provided to the employee for the time the employee was in New Zealand. The grace period is also available to other persons subject to these tax obligations.

The grace period applies when:

- # the employer (or other person) must have taken reasonable measures to manage their employment-related tax obligations, and
- # an unexpected PAYE income payment is made to a New Zealand resident person while that person is working outside New Zealand, or
- # the employee, while present in New Zealand, receives an unexpected PAYE income payment, breaches a threshold under a double tax agreement or breaches a threshold under s [CW 19](#) ([13-291](#)).

The 60-day grace period begins on the earlier of:

- # the date of the breach or payment, as appropriate
- # the date on which the employer could reasonably foresee that a breach or a payment, will occur.

The grace period should apply in the following situations:

- # New Zealand tax resident employees working overseas but it is not possible to meet the strict timing requirement of New Zealand's employment-related tax rules
- # The intention is that the employee's New Zealand tax residency will cease but, due to subsequent events, this does not occur

- # There is employee share scheme income, the employer has elected to withhold and pay tax, however the ordinary timeframe for compliance is unable to be met
- # There is a trailing bonus and the ordinary timeframe for tax compliance is unable to be met
- # an employee manages their own tax affairs under [IR56](#) arrangements ([13-303](#)), or
- # another person undertakes employment-related tax obligations on the employer's behalf (eg where employees' taxes are withheld, paid or reported through the New Zealand payroll of an associated entity.)

Bespoke PAYE arrangement

From 1 April 2024 an employer may apply to the Commissioner to enter into a bespoke annual arrangement in respect of a class of cross-border employees under s [RA 15\(4B\)](#). If special circumstances exist, the Commissioner may agree that the payment of tax for PAYE income payments made to the class of cross-border employees in a tax year be deferred to the 31 May following the end of the relevant tax year.

The employer must establish that special circumstances exist before such an arrangement will be granted. IR will provide guidance on what constitutes "special circumstances" in due course.

Where a bespoke arrangement has been entered into, employers must report the associated employment income information on an annual basis, that is, by 31 May following the end of the relevant tax year. The usual deadlines for reporting the information under payday filing ([13-020](#)) will not apply.

Law: IT07, ss [CE 1F](#), [RA 15\(4B\)](#); TAA, s [23IB](#)

Last reviewed on 31 December 2025

Distinction between employee and independent contractor [13-376]

[13-376]

[Click to open document in a browser](#)

A distinction must be drawn between an employee and an independent contractor. Payments to an employee constitute payments of salary or wages that are subject to the PAYE system. An independent contractor, on the other hand, is taxed on the basis that they are carrying on a business. For a payment for personal services to constitute a payment of salary or wages it must be paid on account of an employment relationship. Whether a person is an employee or a self-employed person needs to be established to determine tax deductions under subpart [RD](#) of the IT07, the deductibility of expenses, ACC levies and GST.

The application of tax law to the question of the employee/contractor distinction turns on the terms “contract for services” and “contract of service”. These terms are not defined so heavy reliance is placed on the general contract law developed by the courts. A person will have the same employment status for tax purposes as under general law.

Thus, there are 2 forms of an employment relationship. They are a contract of service, which relates to an employee, and a contract for services, which relates to an independent contractor. Employees have a contract of service with their employer. This has evolved over time from the early concept of a master–servant relationship. A contract for services applies to an independent contractor and a principal. This type of relationship emphasises the nature of the services to be provided rather than the availability to work as directed by another.

Tax status and relationship to employment law

Section [6](#) of the ERA defines “employee” as “any person of any age employed by an employer to do any work for hire or reward under a contract of service”. While this definition only applies to the ERA, the Supreme Court recognised in *Bryson v Three Foot Six Ltd* ([2005](#)) [22 NZTC 19,242 \(SC\)](#) that the appropriate test here reflects the traditional common law test. Accordingly, s [6](#) decisions can be relevant when determining employment status for tax purposes to the extent that these decisions consider and apply the common law tests ([13-389](#)). It seems likely, therefore, that a worker who is an employee under the ERA will almost certainly be an employee for tax purposes.

Section [6](#) of the ERA provides that, in deciding whether a person is employed by another person under a contract of service, that Act, the Employment Court or the Employment Relations Authority (as the case may be) must determine the real nature of the relationship between them. The court or the Authority must consider all relevant matters, including any matters that indicate their intention, and is not to treat as a determining matter any statement by them that describes the nature of their relationship.

In determining whether a taxpayer is an independent contractor or an employee, it becomes, for tax purposes, a question of fact and law. The leading New Zealand Supreme Court case on employees and independent contractors is *Bryson v Three Foot Six Ltd* ([2005](#)) [22 NZTC 19,242](#). Before this case was decided, the leading authority was *TNT Worldwide Express (NZ) Ltd v Cunningham* ([1993](#)) [15 NZTC 10,234 \(CA\)](#).

Bryson v Three Foot Six Ltd

In *Bryson v Three Foot Six Ltd* ([2005](#)) [22 NZTC 19,242](#), the New Zealand Supreme Court confirmed that the question of whether a person was an employee or an independent contractor was ultimately one of fact.

Mr Bryson was engaged by Weta Workshops (Weta) in February 2000 as an independent contractor. Two months later, Bryson was seconded to an associated company of Weta, Three Foot Six Ltd, to work as a set model technician. For the first 2 weeks, his contractual relationship was still with Weta. After that time, he negotiated an agreement with Three Foot Six, although no formal written agreement was entered into

at that time. He received training for the first 6 weeks with Three Foot Six and worked set hours. He was paid overtime for extra hours. His work was determined and vetted by Three Foot Six. About 6 months after Bryson's secondment, Three Foot Six supplied Bryson with a written contract referred to as the "crew deal memo". The contract referred to Bryson as a "contractor" or an "independent contractor". It also made provision for ACC levies and the deduction of withholding tax. In August 2001 Three Foot Six made Bryson redundant. Bryson took a case to the Employment Relations Authority alleging unfair dismissal. Three Foot Six argued that Bryson was an independent contractor and not an employee as defined in s 6 of the ERA. The Authority determined that Bryson was an independent contractor and not an employee. On appeal to the Employment Court, it was determined that Bryson was an employee. Three Foot Six appealed to the Court of Appeal. The Court of Appeal held that Bryson was an independent contractor. This decision was made on the grounds that the judge in the Employment Court had made a fundamental error in the view she took of the legal requirements of s 6 of the ERA.

The New Zealand Supreme Court restored the decision of the Employment Court, ie that Bryson was an employee and not an independent contractor. Bryson was, therefore, able to bring a claim for personal grievance against Three Foot Six. When considering the approach taken by the judge in the Employment Court, the specific requirements of s 6 of the ERA were discussed. With respect to the requirement under that section to consider "all relevant matters", the Supreme Court stated that the following items must be considered:

- # the written and oral terms of the contract between the parties
- # the way in which the parties have actually behaved in implementing their contract (ie how the contractual relationship operated in practice)
- # features of control and integration, and
- # whether the contracted person has been effectively working on their own account (the fundamental test).

The Supreme Court also stated that it is not usually possible for the Employment Court or Employment Authority to examine the relationship of the contractual parties in light of the control, integration and fundamental tests until it had first examined the terms and conditions of the contract and the way in which it actually operated in practice.

Note that at the time the Supreme Court decided the case, IR had not challenged Three Foot Six's arrangements with cast and crew under the crew deal memo.

TNT Worldwide Express (NZ) Ltd v Cunningham

In *TNT Worldwide Express (NZ) Ltd v Cunningham* (1993) 15 NZTC 10,234 (CA), the Court of Appeal found that an owner-driver courier for TNT was self-employed and not an employee and accordingly was not entitled to invoke the personal grievance provisions of the Employment Contracts Act 1991. The Employment Court and the Employment Tribunal had held that the owner-driver was an employee. The Court of Appeal's decision reversed that finding.

The owner-driver was engaged by TNT to conduct a courier service for the company under a written contract. When his contract was terminated, he sought to bring a personal grievance claim to the Employment Tribunal alleging unjustified dismissal. However, TNT maintained that the owner-driver courier was an independent contractor and thus not able to use the personal grievance provisions of the Employment Contracts Act 1991 to challenge the termination of his contract. Both the Employment Tribunal and the Employment Court focused on the extent of control given to TNT rather than the written contract between the parties.

The Court of Appeal found that if the relationship between the parties is governed by a comprehensive written contract, and that contract is not a sham, then the nature of the relationship should be determined from the terms of the contract. The Court noted that the classic test for distinguishing between an employee and an independent contractor was the "control test". It was considered, however, that this test, although important, could no longer be regarded as the sole determining factor. The increasing use of contracts for services in many business activities must be recognised by the courts.

IR considers that couriers who are employed under contracts similar to the contract in the *TNT* case are independent contractors for tax purposes (*Tax Information Bulletin* ¶151-106 Vol 5, No 1, July 1993 at 5). Such couriers must account to IR for income tax and GST on this basis. Allowable business expenses are deductible. ACC levies will also be payable to the Accident Compensation Corporation.

Tests for distinguishing between an employee and an independent contractor

IR and the courts have developed several tests for distinguishing between an employee and a contractor:

- # *Control* — this test considers the degree of control the employer exerts over the work an employee or contractor is to do and the manner in which the work is performed. The greater the control an employer has over the work content, hours worked and the method used as well as supervision, and the right to dismiss an employee, the more likely it is that the relationship is one of employer–employee.

- # *Organisation or integration* — the purpose of this test is to determine whether the person is really integrated into the business. The work performed is likely to indicate the person is an employee if:

- # the person is integral to the operation of the business

- # it is the type of work done by other employees

- # the work is continuous rather than “one-off” in nature, and

- # the work is for the benefit of the business rather than the worker.

- # *Independence* — a worker who has a high level of independence is more likely to be a contractor. This is in contrast with a high level of control exercised by an employer. Factors to consider include:

- # Does the worker work for other clients?

- # Does the worker supply all the necessary tools, premises and materials?

- # Is the worker responsible for hiring staff to help with the job?

- # Does the worker invoice for the work?

- # Is the worker responsible for paying the accounts, taxes and government levies?

- # *Intention* — this test examines the intentions of the parties regarding the nature of the relationship. A written contract indicating an employee–employer relationship may indicate the intentions of the parties but it will not be conclusive if it can be shown from the circumstances that the worker is actually an independent contractor.

- # *Economic reality* (also referred to as “the fundamental test”) — is the worker genuinely in business on their own account? This test examines such factors as:

- # The behaviour of the parties before and after entering the contract.

- # Who is legally responsible for the job, ie when the work is substandard and needs to be corrected.

- # Whether the job justifies or requires using an independent contractor.

- # Whether there is a deadline for completing the work.

- # Whether the worker can be dismissed.

Interpretation guideline [IG 16/01](#), “Determining employment status for tax purposes (employee or independent contractor?)” discusses the differences between contracts of service and contracts for services, sets out the 5 tests outlined above and discusses the leading New Zealand authorities on the issue. The guideline also concludes that decisions under s 6 of the ERA are relevant in determining the status of a worker to the extent those decisions reflect the common law.

The courts will also take into account the following indicia:

- # contractors are not paid holiday pay or sick pay and, with some exceptions (mainly commission sales agents), they are responsible for paying their own ACC levies

- # contractors are not usually provided with fringe benefits such as company cars and health insurance — these are their responsibilities

- # contractors are usually registered for GST and provide GST tax invoices

- # it is possible to control the work performed by a contractor, but not the manner in which it is done

- # a contractor may employ staff or subcontract work

- # a contractor is able to work for more than one person, although, in practice, there may be exceptions to this
- # a written contract for service should exist, and
- # IR and the courts will look to the intention of the parties and their actions, rather than only at the written contract (if one exists).

Simply calling a person a contractor is insufficient; it must be supported by actions.

If IR carries out an investigation of a person claiming to be a contractor, the onus of proof and possibility of penalties is as much on the hirer as on the contractor. The fact that the parties may have described themselves as “company” and “contractor”, and that they were so named in the contract, can also assist in resolving any doubt as to whether there is an independent contractor relationship.

For example, see Case U9 ([1999](#)) [19 NZTC 9,077](#), *Mabon v The Conference of the Methodist Church of New Zealand* ([1998](#)) [5 NZELC 95,834](#), *Coro Trading Ltd v C of IR* ([1996](#)) [17 NZTC 12,495](#), Case Z10 ([2009](#)) [24 NZTC 14,113](#).

Law: IT07 s [CE 1](#)

Last reviewed on 31 December 2025

Consequence of being employee versus contractor [¶3-386]

[¶3-386]

[Click to open document in a browser](#)

The distinction between employees and independent contractors is important for a number of purposes including:

deduction of expenses: employees are prevented from claiming deductions for employment-related expenditure, whereas independent contractors are generally entitled to deduct business expenses

PAYE tax deductions: payments to employees constitute payments of salary or wages that are subject to PAYE tax deductions, whereas payments to independent contractors are not subject to the PAYE tax deduction system, although they may be schedular payments subject to withholding tax deductions

goods and services tax (GST): employees cannot register for or charge GST for services they supply as employees, but independent contractors may have to register and charge GST, and

payment of accident compensation levies: independent contractors must account to the Accident Compensation Corporation for ACC levies for themselves and any employees.

Last reviewed on 31 December 2025

Film production workers [13-389]

[13-389]

[Click to open document in a browser](#)

The employment status of persons working in the film production industry has been clarified, and legislated on, as a result of negotiations to enable the 2 Hobbit movies to be made in New Zealand.

Actors, voice-over actors, stand-ins, body doubles, stunt performers, extras, singers, dancers, musicians, entertainers and other persons engaged in film production work are excluded from the definition of “employee” in the Employment Relations Act 2000. These persons are consequently independent contractors unless their written employment agreement expressly provides otherwise.

Last reviewed on 31 December 2025

Commission agents not including insurance agents [¶3-391]

[¶3-391]

[Click to open document in a browser](#)

In deciding on the employer/independent contractor relationship of commission agents, it is necessary to ascertain whether the commission being paid is salary or wages (subject to PAYE) or a schedular payment (subject to withholding from the gross commission). The question of whether remuneration is salary or wages or a schedular payment depends on the nature of the relationship in the contract of employment ([¶3-201](#) and [¶3-376](#)).

Law: IT07 [Sch 4 pt G](#)

Last reviewed on 31 December 2025

Independent financial advisers [¶3-400]

[¶3-400]

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The liability to deduct withholding tax is determined by whether a payment made to a financial adviser is “commission or remuneration” and whether those payments are made to “an insurance agent or sub-agent, or to a salesperson”. If there is a liability, the standard rate of tax to be deducted is 20% (if the contractor has not elected another rate and is not subject to a special or prescribed rate ([¶3-044](#))). Withholding tax does not have to be deducted if the individual financial adviser derives the commission through a company or holds an exemption certificate ([¶3-044](#)).

Law: IT07 [Sch 4 pt G](#)

Last reviewed on 31 December 2025

Real estate salespersons [¶3-406]

[¶3-406]

[Click to open document in a browser](#)

Real estate salespersons may be treated as independent contractors (s 51 of the Real Estate Agents Act 2008). This applies if the real estate agent and the salesperson expressly agree that the relationship between them is that of employer and independent contractor.

Once the employer–independent contractor relationship has been expressly acknowledged, salespersons will be regarded as independent contractors and will be permitted to deduct expenses incurred in deriving their income as real estate salespersons. Salespersons who are required to register for GST (gross commissions expected to exceed \$60,000 in the 12-month period from that date) must do so. Others may voluntarily register for GST ([¶32-148](#)).

Law: IT07 [Sch 4 pt G](#); REA s 51

Last reviewed on 31 December 2025

Accommodation or accommodation allowance provided [13-420]

[13-420]

[Click to open document in a browser](#)

The market value of accommodation, or an accommodation allowance, provided to a person in connection with employment, is employment income and is to be included within the recipient's income. Section [CE 1\(2\)](#) defines accommodation as meaning board or lodging, or the use of a house or living premises, or the use of part of a house or living premises.

Thus, the provision of accommodation or an allowance for accommodation (other than an amount that falls within one of the exempt allowances — see [13-425](#)) is taxable in the hands of an employee. Under s [RD 6\(2\)](#) the value of the benefit is treated as accruing from day to day and should be included in the employee's salary or wages for the pay period before making a PAYE deduction.

Exceptions from “accommodation”

Four exceptions to the accommodation definition allow for situations involving shift work or remote workplaces. If these types of accommodation are provided, no taxable income will arise for the employee. These exceptions cover:

- # a berth, room, or other lodging provided on mobile workplaces, such as ships, trucks or oil rigs
- # a station in Antarctica
- # a room or lodging provided for shift workers, such as firefighters, ambulance staff and caregivers, when they are periodically required to sleep at their workplace, and the accommodation is provided only for the duration of the performance of their duties, and
- # accommodation provided at remote locations outside New Zealand where the nature of the work means an employee is required to be at the location for a period but also absent for a period, for example, miners in Australia who are expected to fly in and out.

In addition, other types of excluded accommodation may be added by Order in Council. The definition of “employer” is extended to include any employer who provides accommodation, whether they are New Zealand tax resident or not, ensuring that accommodation provided by non-residents is not inadvertently excluded.

Determining taxable value of accommodation

The taxable amount is reduced by the amount (if any) paid by the employee.

Example:

Market value of accommodation	\$250 per week
Less rent paid	<u>\$100 per week</u>
Value to be added to wages and taxed	\$150 per week

If the employee paid no rent, the value to be taxed would be \$250 per week.

If a cash allowance is paid to an employee instead, the allowance will be taxable under s [CE 1\(1\)\(a\)](#) and subject to PAYE under ss [RA 5](#) and [RD 3](#).

Section [CX 28](#) operates to exclude accommodation benefits provided to employees from FBT.

If an employer provides accommodation, the taxable value of the benefit is the market value of the accommodation. Adjustments are made when a person contributes to their occupation of the accommodation

(such as by paying rent), when employees share accommodation, and where part of the accommodation is used for work purposes. Where an allowance or reimbursement is made, the taxable value is equal to the amount of the allowance paid and the taxable value of the benefit can be adjusted for a contribution by the employee or the use of part of the accommodation for work purposes.

When an apportionment of the taxable value is made between employees who share accommodation, the taxable amount is either:

- # apportioned equally between the employees, or
- # if the employer and employees agree, apportioned between the employees on some other reasonable basis, such as one employee having a larger room.

To qualify for an adjustment when part of the accommodation is used for work purposes, a clearly identifiable part of the accommodation needs to be used “wholly or mainly” for work purposes related to the employee’s employment or service. It does not need to be used solely for work purposes, but it must at least be used predominantly for work purposes. Any non-work-related use must be temporary or sporadic, or otherwise minor. The deduction is determined by apportioning between the business and private use.

Special rules determine the taxable value of accommodation provided overseas, accommodation provided to ministers of religion and accommodation provided to defence personnel.

Commissioner’s statements

CS 16/02 — Determining market rental value of employer-provided accommodation

Commissioner’s statement, [CS 16/02](#), “Determining ‘Market Rental Value’ of Employer-Provided Accommodation” provides guidance to assist taxpayers in estimating the likely market rental value of employer-provided accommodation. The statement provides that absolute accuracy is not expected, but it is expected that a reasonable and appropriate process is followed when estimating the market rental value. It is also expected that the process that is followed, and the factors that were taken into account, will be documented and available for review. Where the process that was followed is able to be demonstrated as reasonable in the circumstances, the actual valuation is unlikely to be questioned and shortfall penalties would not arise.

The Commissioner considers that market rental value refers to the periodic rental that would be paid if similar accommodation in a comparable location, subject to similar restrictions or conditions relating to the tenancy, was rented on an arm’s length basis between non-associated parties. The Commissioner also considers that the amount actually paid to a third party as consideration under an arm’s length rental arrangement is the “market rental value” of the accommodation.

The statement provides that relevant matters to take into account include:

- # The location of the accommodation, taking into account aspects such as its desirability, access to amenities (such as transport, shopping, etc), relative building values and security.
- # The specific functional characteristics of the particular accommodation, such as the number of bedrooms, overall size, availability of parking, laundry facilities, etc, and the quality of the build.
- # The overall, relative, condition of the accommodation, including whether it is rundown or, conversely, a luxury or high quality dwelling.
- # The ease of travel to and from places of work, schools, shopping, etc, including the availability of public transport.
- # Restrictions on use of the accommodation, or access to it, where such restrictions substantially inhibit the rights of use that would normally be available to a lessee. The Commissioner considers it unlikely that minor, or reasonable, restrictions, such as in respect of pets or smoking, would have a more than de minimis effect on the market rental value of accommodation, if at all.

The Commissioner’s view is that contractual or employment-related matters will not have an effect on the market rental value of the accommodation. Rather, they are personal to the employee and, therefore, such matters would not apply to any arm’s length transaction. As a result, such matters cannot be taken into

account when estimating the market rental value of accommodation provided to employees. In addition, it is not relevant, when estimating a market rental value, that there may not be an actual arm's length market for specific accommodation, for example, where the accommodation that is made available to the employee is not, and never will be, available to members of the general public. This may arise for such reasons as a concern over security, or because the accommodation is intrinsic to the employment relationship.

The statement also contains a number of examples.

CS 18/01 — Determining market rental value of employer-provided accommodation — boarding schools

Supplementary statement, [CS 18/01](#), "Determining 'Market Rental Value' of Employer-Provided Accommodation — Boarding Schools" sets out a concessionary treatment for on-site accommodation provided to employees of boarding schools. While the above [CS 16/02](#) applies, it is recognised in [CS 18/01](#) that on-site boarding school accommodation, compared to comparable off-site accommodation, is likely to be subject to reduced market value that is not readily quantifiable due to unique restrictions and expectations that would apply to any tenant. For example, because the dwelling is within a school, the tenancy agreement may restrict smoking or drinking, or the ability to receive guests or visitors. Therefore, [CS 18/01](#) sets out what the Commissioner will accept as an appropriate reduction of the market rental value that would otherwise apply.

The statement provides that the applicable arm's length market rental value must be established. That market rental value can then be reduced by the amount specified in the following table:

Accommodation type	Reduction
Off-site accommodation — not on or adjacent to school grounds, and sufficiently separate from the school grounds as to not be readily associated with the school.	No reduction
On-site accommodation — separate (within school grounds but with direct off-site access, or immediately adjacent to school grounds).	20% of the market rental value
On-site accommodation — separate (within school grounds but without direct off-site access and not physically attached to student accommodation).	35% of the market rental value
On-site accommodation — adjoined to student accommodation (separate access — not through student accommodation).	40% of the market rental value
On-site accommodation — embedded within the student accommodation (no separate access — only access via student accommodation).	50% of the market rental value

Accommodation provided to employees working overseas

In the case of accommodation provided overseas (including an accommodation allowance or amount paid for or towards accommodation when the amount of the allowance or payment is the actual cost to the employee of the accommodation or a reasonable estimate of the likely expenditure), the value of the accommodation is an amount equal to the relevant market rental value of accommodation in New Zealand. The relevant market rental value is determined taking into account:

- # the location where the person would be likely to work for their employer in New Zealand, and
- # the equivalent accommodation in New Zealand that the person would be likely to occupy, and
- # the average or median market rental value in the vicinity of the location referred to in the first bullet point above (unless that location is uncertain, in which case the average or median market rental value for the whole of New Zealand will be used).

Example:

Jill is seconded by her employer to Paris for 2 years and is provided with a flat for her secondment. Her employer pays rent equivalent to \$95,000 a year. Jill would normally work in Auckland, when she is working in New Zealand, and would live in a one-bedroom apartment in Parnell, where an average rental value would be \$26,000. Jill will pay tax on an accommodation benefit of \$26,000.

Note that if the value of the overseas accommodation is less than the New Zealand equivalent market rental value, the overseas value must be used.

Accommodation provided to Defence Force personnel

Special rules apply for accommodation provided to members of the defence forces. The market rental value will be equal to the lesser of:

- # the market rental value for the accommodation, and
- # the market rent payable for the national New Zealand Defence Force benchmark property for the type of accommodation provided to the person, less the discount applying to the type of accommodation.

The Commissioner and the Chief of the Defence Force, in consultation with a registered valuer, must determine:

- # the number and location of national benchmark properties
- # the types of accommodation represented by the benchmark properties
- # a market rental value for each type of accommodation in the benchmark properties, and
- # a discount applying to each type of accommodation in the benchmark properties.

Any such determination will have to be reviewed every 3 years.

Accommodation provided to ministers of religion

The assessable income of a member of the clergy includes their gross salary and the market value of housing provided.

Historically, the taxable value of housing supplied to clergy was calculated at one-tenth of stipend (basic salary).

Special valuation rules now apply to accommodation provided to ministers of religion. The amount of income in relation to employer-provided accommodation is calculated under the following formula:

$$\text{remuneration} \times (1 \text{ # adjustment}) + \text{excess rental}$$

where:

remuneration is 10% of the remuneration that the person receives for the income year for the performance of their duties as a minister (excluding the value of the accommodation)

adjustment is the part of the value of the accommodation that is apportioned to work-related use, expressed as a decimal fraction of the total value of the accommodation. To be eligible for apportionment, the minister must use the relevant part wholly or mainly for work purposes. If more than one minister lives in the accommodation, the adjustment is apportioned equally between them

excess rental is the amount (not being less than zero) that is the difference between:

- # the market rental value for the accommodation provided for the income year, and
- # the market rental value of accommodation that is reasonably commensurate with the duties of the person as a minister and for the location in which they perform their duties for the income year.

If the accommodation is provided for only part of the year, the calculations of the value are done with reference to that part of the year.

IR has stated that the requirement that a minister's church-provided accommodation is used as an integral part of performing the minister's duties refers to the expectation underlying a minister's pastoral duties

that some parishioners might visit their home, irrespective of whether this happens in practice. There is no intention that ministers need to measure such use.

A minister of religion is defined for these purposes in s [CE 1E\(6\)](#). Note that the definition specifically excludes a member of a religious society or order who is covered by the exemption in s [CW 25](#) for board and lodgings provided to such a member who is not paid for their services ([15-598](#)).

Operational statement

Operational Statement, [OS 21/01](#), "Income tax treatment of accommodation provided to employees" deals with the tax treatment of employer-provided accommodation or accommodation allowances and the reimbursement by the employer of accommodation expenditure incurred by an employee. It is intended to clarify when these circumstances apply and to assist in calculating any tax liability. Part 1 of the statement considers what falls within the definition of "accommodation" and what is excluded, as well as the various exemptions that may apply. The statement contains 2 flowcharts to help taxpayers determine whether the employer has provided accommodation that is excluded and whether the accommodation is exempt. Part 2 of the statement then considers the rules relating to the valuation of the accommodation subject to tax. The statement contains a number of examples illustrating the outcomes in different scenarios.

Law: IT07 ss [CD 32\(2\)](#), [CE 1](#), [CE 1B](#), [CE 1C](#), [CE 1D](#), [CE 1E](#), [CW 17B](#), [CX 28](#), [RD 5\(8\)](#), [RD 6\(2\)](#)

Last reviewed on 31 December 2025

Accommodation or allowance provided — exempt income [¶3-425]

[¶3-425]

[Click to open document in a browser](#)

Out-of-town secondments and projects

Under ss [CW 16B](#) and [CW 16C](#), accommodation and accommodation payments are exempt when an employee is required to work at a different work location that is not within reasonable daily travelling distance from the employee's home, provided certain maximum time periods are not exceeded (see below). For the exemption to apply, the employee must be required to work at a distant workplace on an out-of-town secondment or a project of limited duration, and the period of employment must be a period of continuous work.

This exemption applies when the employer provides accommodation or incurs expenditure on the employee's accommodation for a period that falls within the relevant time limits. An employer may make a reasonable estimate of the expenditure likely to be incurred on an employee's accommodation. It also applies when the employer incurs expenditure on the employee's accommodation for necessary travel to and from the distant workplace.

The exemption does not apply when the accommodation benefit is provided as a substitute for salary or wages. There is also an explicit anti-avoidance rule to prevent behaviour intended simply to restart the respective time limit.

The exemption only applies if, at the start of the period, the employer's expectation of the duration of the secondment or the employee's role on the project does not exceed the relevant time periods. If an employer expects a secondment or role on a project to last more than the relevant time period at the start but it later turns out that it will be for less than that period, the past employer-provided accommodation or allowances will remain taxable. Any accommodation or allowances paid from the time that the expectation is revised will be tax free. Conversely, if an employer expects that a secondment or role on a project will last for no more than the relevant period at the start but, part way through, it is expected that it will last for more than that period, any employer-provided accommodation or allowances will become taxable from the time that the expectation is revised.

The point in time at which an expectation is treated as having changed is when the employer has a firm expectation that the secondment or role on the project will be shorter or longer than initially expected. This may be evidenced by a modification of the employee's contract or by other documentation, such as board minutes, planning documents, correspondence with the third party for whom the employer is carrying out the capital project, etc.

Residence and reasonable daily travelling distance

To qualify for the exemption, an employee must be moving to a workplace that is not within reasonable daily travelling distance of their residence. "Residence" and "reasonable daily travelling distance" are not defined. IR has stated that "residence" refers to the employee's home immediately before the secondment or role on the project. The distance test is assessed for that residence.

The concept of "reasonable daily travelling distance" also appears in s [CW 17B](#) ([¶3-446](#)). Following the introduction of that provision, guidance on the meaning of the term was published in *Tax Information Bulletin* [¶219-101 Vol 21, No 9](#), December 2009, p 6. IR has stated that this guidance is also applicable to the accommodation exemptions.

Out-of-town secondment

To be an out-of-town secondment, the employer must expect, at the start of the secondment, that it will not last more than 2 years. The exemption applies for the period that starts on the date the employee begins to work at a distant workplace, and ends on the earliest of the following dates:

- # 2 years from the date they began work at the distant workplace
- # the date the out-of-town secondment ends
- # the date the employee receives an exempt work-related relocation payment under s [CW 17B](#) for the costs associated with settling the purchase of a new home
- # the date on which the employer's expectation regarding the length of the secondment changes and the total period is expected to exceed 2 years.

Example:

Zoe works for an engineering firm in Auckland. Her employer sends her to the firm's Nelson office on 1 April 2015 on a secondment that is expected to last 3 years. Zoe is provided with an apartment in Nelson that the firm pays for. After 18 months, the firm wants Zoe to return to the Auckland office at the end of 2 years rather than stay for the full 3 years. It continues to provide Zoe with accommodation for the remaining 6 months. The accommodation provided to Zoe for the first 18 months will remain taxable to Zoe. However, the accommodation provided for the last 6 months will be tax free.

Project of limited duration

A project of limited duration means a particular work project:

- # whose principal purpose is to create, build, develop, restore, replace or demolish a capital asset
- # that is carried out under a contract between the employer (the contractor) and non-associated persons, and
- # where the engagement of the employee of the contractor at the distant workplace:
- # has clear start and end dates at the outset
- # involves work that (apart from incidental activities) is undertaken solely for the purposes of the project, and
- # in the contractor's expectation at the start of the project, will last for a period of no more than 3 years.

Thus, the maximum exemption for an employee who is required to work at a distant workplace on a project of limited duration is extended to 3 years. Note that the duration of the project may be longer than 3 years, as the test is based on the time the employee is involved in the project, rather than the length of the project.

Example:

Martin is seconded to work on a dam construction project in the lower South Island. Martin's employer sets up an accommodation facility to house its employees in the remote location. The dam project is expected to take around 5 years to complete. However, Martin's employer only expects Martin to be working on the project for the first two and a half years.

Martin is working on a project involving the creation of a capital asset, so the 3-year upper time limit applies. His employer expects him to be working at the distant workplace for less than 3 years, so the value of the accommodation provided is exempt.

The exemption will end on the earliest of the following dates:

- # 3 years from the date they began work on the project at the distant workplace
- # the date the employee's participation in the project at the distant workplace ends
- # the date the employee receives an exempt work-related relocation payment under s [CW 17B](#) for the costs associated with settling the purchase of a new home
- # the date on which the employer's expectation regarding the employee's involvement in the project changes and the total period is expected to exceed 3 years.

Emergency events

For the purposes of s [FP 22](#), the 3-year limit is ignored and is replaced by 5 years, if the employee starts work at the distant workplace in the emergency event period. This exemption only applies if the employee is

working on a project of limited duration for rebuilding or recovery of land, infrastructure and other property in an area affected by an emergency event.

Note a similar exemption applies for rebuilding and recovery efforts in an area affected by the 2023 North Island flooding events.

Exceptional circumstances

A time limit will not apply if exceptional circumstances arise beyond the control of the employer and employee that require the employee to remain at the distant workplace after the period expires. Examples are a natural disaster or medical emergency. However, an extension of time must be limited to the period for which the employee is unable, due to the exceptional circumstances, to leave the distant workplace.

New employees

The exemptions described above only apply to new employees in specific instances.

The 3-year exemption for limited duration work on capital projects applies to new employees, subject to the same conditions as existing employees.

The 2-year exemption for an out-of-town secondment will only apply to new employees when:

- # an employee is hired to work permanently in a non-distant workplace but is then sent temporarily to work at a distant workplace
- # an employee is seconded to another person with whom the employer has a continuing commercial affiliation or working relationship for a period that is expected to be less than 2 years and at a distant workplace.

Meetings, conferences and training courses

Under s [CW 16D](#), employer-provided accommodation or accommodation payments will also be exempt to an employee where the employee is required to stay away from their home overnight in the course of attending a work-related meeting, conference or training course. The overnight stay does not have to be at a distant location.

The exemption also extends to any accommodation for necessary travel in connection with the performance of their duties for the period of their attendance. This means that if a stopover is required in travelling to or from the location, accommodation at that stopover will also be exempt.

The exemption does not apply if the accommodation is a substitute for salary or wages that an employee might otherwise have received.

Multiple workplaces

Under s [CW 16F](#), an ongoing exemption applies to accommodation and accommodation payments where an employee is required to work on an ongoing basis at more than one workplace and one or more of those workplaces is a distant workplace (eg a manager who is responsible for 2 offices in 2 different cities, one of which is more than a reasonable travelling distance away from their residence).

IR has stated that the multiple workplace rule can also apply when an employee is sent on a short-term business trip to another location. In those circumstances, the employee will continue to have ongoing duties at their normal place of work while they are working at the other working location during the business trip.

The exemption does not apply when one of the workplaces is a home office. It also does not apply if the accommodation is a substitute for salary or wages that an employee might have otherwise received.

See [13-420](#) for discussion on [OS 21/01](#), "Income tax treatment of accommodation provided to employees".

Law: IT07 ss [CE 1\(2\)](#), [CW 16B](#), [CW 16C](#), [CW 16D](#), [CW 16E](#), [CW 16F](#), [CZ 29](#), [CZ 29B](#), [CZ 30](#), FP 22

Last reviewed on 31 December 2025

Clothing allowance for distinctive work clothing [¶3-430]

[¶3-430]

[Click to open document in a browser](#)

Generally, a clothing allowance paid to an employee for the purpose of purchasing conventional clothing is taxable to the employee and subject to PAYE. However, case law has established that if the allowance is to purchase special clothing that the employee must wear to perform their employment duties, the allowance is not taxable. For example, an allowance paid to a farm employee to purchase gumboots and protective overalls is not taxable to the employee, provided the allowance paid is reasonable.

When an employer directly provides and/or maintains work-related clothing instead of paying an allowance, rather than relying on case law, the FBT rules specifically include a distinctive work clothing exemption (s [CX 30](#) and [¶21-634](#)). To provide consistency in this area, it has been clarified that allowances paid to employees to cover the cost of buying and maintaining "distinctive work clothing" constitute exempt income of the employee.

"Distinctive work clothing" for these purposes adopts the definition in s [CX 30\(2\)](#), being clothing, including a single item of clothing, that:

- # is worn by an employee as, or as part of, a uniform that can be identified with the employer
- # through the permanent and prominent display of a name, logo or other identification the employer regularly uses, or
- # because the colour scheme, pattern or style is readily associated with the employer
- # is worn in the course, or as an incident, of employment, and
- # is not clothing employees would normally wear for private purposes.

The exemption also covers allowances paid to uniformed personnel to cover the cost of plain clothes where the employee is required to wear plain clothes in the course of performing their employment duties and the plain clothes allowance was in place as at 1 July 2013. Strict requirements must be met for the plain clothes allowance to apply:

- # the employer must provide a uniform to its employees
- # despite the provision of a uniform, the employer requires the employee to wear plain clothes as part of their employment duties
- # the plain clothes allowance or payment was in place and part of the general terms and conditions of employment as at 1 July 2013
- # historically, the plain clothes allowance was part of a larger plain clothes amount the employer paid to employees, the balance being a taxable amount that was subsequently included in the taxable salary of employees receiving the plain clothes amount, under the general terms and conditions of employment, and
- # the employment terms and conditions continue to provide for a plain clothes allowance.

Law: IT07 ss [CE 1](#), [CW 17CC](#)

Last reviewed on 31 December 2025

Criteria for exempt reimbursing allowance [¶3-435]

[¶3-435]

[Click to open document in a browser](#)

An employer may reimburse or pay a reimbursing allowance to an employee for an expense incurred by the employee in connection with the employee's employment. The payment may be a regular payment or a one-off payment. All reimbursements and allowances paid to an employee are taxable and subject to PAYE unless it is specifically exempt. Thus, the tax treatment of that payment in the employee's hands depends on whether the amount paid qualifies as exempt income under s [CW 17](#).

Section [CW 17](#) treats as exempt income amounts paid by an employer in connection with an employee's employment or service when the amount is:

- # a payment of expenditure on account of an employee, or
- # an amount reimbursing the employee for expenditure, and
- # where, in either case, if it were not for the employment limitation, the expenditure would be an allowable deduction to the employee.

The "employment limitation" refers to the prohibition on salary and wage earners from claiming deductions for expenditure incurred in deriving employment income ([¶1-250](#)). Therefore, to determine whether a reimbursing allowance is "tax-free", the expenditure incurred by the employee must be deductible under ordinary principles, ie the expenditure must satisfy the nexus test and not be of a private or domestic nature, or a capital nature.

Nexus test

Greater clarity has been added about when an expense is an allowable deduction in deriving employment income, ie when it satisfies the "nexus test".

Section [CW 17\(2B\)](#) provides that expenditure is only treated as incurred, or an amount paid, in connection with an employee's employment or service if:

- # it is incurred or the amount paid because the employee is performing an obligation required by their employment or service
- # the employee earns income through the performance of the obligation, and
- # the expenditure is necessary in the performance of the obligation.

Determination

Under s [CW 17\(2C\)](#) and [\(2D\)](#), the Commissioner is also able to issue a determination for a payment made to a wide group or class of employees. The Commissioner is able to determine the extent to which on average the amount is exempt income, by setting a percentage that represents the extent to which the payment for the particular type of expense, based on a reasonable estimate, is taxable. The Commissioner has to be satisfied that the payment not only affects a large group or class of employees but also that the average private or capital benefit likely to be received is hard to measure and that the payment is not paid as a substitute for salary or wages. Any such determination is binding on the Commissioner but not the taxpayer, meaning it acts as a safe harbour for taxpayers.

Determination EE004 – from 1 April 2023

From 1 April 2023, [Determination EE004](#) – Tax treatment of reimbursing payments made to employees who work from home and/or payments made for an employee's use of personal telecommunications tools and/or usage in their employment, applies to these reimbursing payments.

For [Determination EE004](#) to apply, the following requirements must be met:

- # an employer must make a payment to an employee.
- # the payment must be for expenditure or a loss incurred (or likely to be incurred) by the employee.
- # the expenditure or loss must be incurred by the employee in deriving their employment income and not be private or capital in nature (the capital limitation does not apply to an amount of depreciation loss).
- # the employee must be deriving employment income from performing their job.
- # where an employee is partly working from home and partly outside of their home, the home-based work must be more than minor. For example, the Determination can apply to an employee who works at the employer's premises on alternate days.

[Determination EE004](#) does not apply to:

- # any payment that is already the subject of a payment as expenditure on account of an employee (a payment made in accordance with s [CW 17\(1\)](#))
- # any payments made for a period after an employee ceases to work from home (other than telecommunications payments made in accordance with [Determination EE004](#))
- # an amount paid under a salary sacrifice arrangement
- # arrangements where there is no employment income under the arrangement, that is, where the employer provides the telecommunications tool and pays for the usage. In this case there may be FBT implications, although s [CX 21](#) provides an exemption for business tools.

Weekly thresholds under Det EE004

Where the employee works from home but does not use their own telecommunications tools and/or their own usage plans, the employer can reimburse up to \$20 per week and the amount can be treated as exempt income of the affected employee. The same treatment can be applied to an equivalent amount paid for a different time period (eg \$40 per fortnight).

Where the employee both works from home and uses their own telecommunications tools and/or their own usage plans for their employment, the employer can treat payments up to \$27 per week as exempt income of the affected employee. The same treatment can be applied to an equivalent amount paid for a different time period (eg \$54 per fortnight).

In addition to the reimbursement allowance above, where an employee uses their personal telecommunications tools and/or their usage plans principally for business purposes, employers can treat any reimbursement of up to 75% of the amount of the affected employee's total usage plan bill as exempt income of that employee. If the cost of the employee's usage plan is not a regular amount, then a reasonable estimate of the likely expenditure is acceptable.

An amount of depreciation loss on existing telecommunications assets that are owned by the employee may also be paid using the Commissioner's depreciation rates for the item. New assets have some limitations attached to the payment (see below).

However, where the affected employee uses their personal telecommunications tools and/or their usage plans principally for private purposes, employers can treat any reimbursement of up to 25% of the amount of the affected employee's total usage plan bill as exempt income of that employee. If the cost of the employee's usage plan is not a regular amount, then a reasonable estimate of the likely expenditure is acceptable.

An amount of depreciation loss on existing telecommunications assets that are owned by the employee may also be paid using the Commissioner's depreciation rates for the item. The same limitation that applies to new assets which are principally used for business purposes applies to an amount of depreciation loss for assets used for principally for private purposes. See below.

Where an affected employee does not work from home, but uses their own telecommunications tools and/or usage plans in the course of their employment, an employer may choose one of the following options:

- # The de minimis option: up to \$7 per week of the amount paid to be treated as exempt income of the employee. The same treatment can be applied to an equivalent amount paid for a different time-period,

\$14 per fortnight for instance. The Commissioner considers that this de minimis amount recognises all costs that an affected employee may incur, including any amount of depreciation loss on existing depreciable telecommunications assets that the employee may use.

The principally business use option: Same as above, employers can treat any reimbursement of up to 75% of the amount of the affected employee's total usage plan bill as exempt income of the employee. If the cost of the employee's usage plan is not a regular amount, then a reasonable estimate of the likely expenditure is acceptable.

The principally private use option: Same as above, employers can treat any reimbursement of up to 25% of the amount of the affected employee's total usage plan bill as exempt income of that employee. If the cost of the employee's usage plan is not a regular amount, then a reasonable estimate of the likely expenditure is acceptable. The determination sets out a discussion on the Commissioner's view on reasonable estimates.

An amount of depreciation loss on existing telecommunications assets that are owned by the employee may also be paid using the Commissioner's depreciation rates for the item, subject to the rules in relation to newly acquired assets.

Reimbursements for newly acquired furniture, equipment and telecommunications equipment under Det EE004

An employee may need to acquire personal home office furniture or equipment or telecommunications equipment to enable them to work from home effectively. Where assets are acquired for this purpose, an employee would incur a depreciation loss which the employee would be able to claim as a deduction, but for the employment limitation.

Due to the low-value asset rule ([¶13-054](#)), for many assets the depreciation loss is likely to be equal to the cost of the asset.

If an employee is to be reimbursed for the cost that they incurred in acquiring their home office furniture or equipment, [Determination EE004](#) provides that the employer can use one of the following options:

- # the safe harbour option for furniture and equipment of up to \$400, and a separate safe harbour option for telecommunications equipment of up to \$400, or
- # the reimbursement option.

Note that each of these \$400 limits above apply to the costs of **all** the furniture and equipment, and all telecommunications equipment that the employee acquires. It is not an item-by-item limit.

Under the reimbursement option, an amount paid by an employer will be exempt income of an employee if:

- # The amount is for furniture or equipment or telecommunications equipment purchased by the employee to enable them to work from home, and
- # The amount paid is no more than the deduction that the employee would have been entitled to for depreciation loss on the furniture or equipment (or the cost of the asset, in the case of low-value assets) for the income year in which the payment is made, but for the employment limitation.

For more detail, please see [Determination EE004](#).

Private or domestic expenditure

As a general rule, when an employee is reimbursed by an employer for expenditure incurred on account of the employer (ie the employer's business), that amount is not taxable to the employee. However, where an employee is reimbursed for expenditure incurred for their benefit (ie for their own private or domestic purposes), that amount is employment income and taxable to the employee. Consequently, a reimbursing allowance paid to an employee to cover expenditure incurred by the employee for private or domestic purposes is taxable to the employee (or subject to FBT, if the allowance is in non-monetary form).

Reasonable estimate

Instead of reimbursing actual expenditure incurred by an employee for business purposes, an allowance may be paid to the employee in anticipation of expenses incurred in relation to the employer's business activity.

Employers can base a tax-free allowance on a reasonable estimate of the work-related expenditure likely to be incurred by an employee or a group of employees for related pay periods. In practice, some of the methods that could be used to show that the payment is reasonable are:

- # carrying out a survey of expenditure incurred by the employees
- # adopting an industry average agreed upon by IR and representatives of industry, or
- # following a public statement issued by IR on that class of allowance.

The exemption provided in s [CW 17\(2\)](#) exempts an amount that would, in the absence of the exemption, be taxable in the hands of the employee. A reimbursing allowance that is paid regularly to an employee could constitute income, hence the need for the exemption when the allowance is simply to reimburse the employee for costs incurred in the course of their employment.

QWBA on allowances for chainsaw operators

QWBA [QB 15/08](#), "Income tax — Tax treatment of allowances paid to chainsaw operators" considers whether an employer can pay a tax-free allowance to an employee for using a chainsaw in their work. The QWBA concludes that an employer can pay a tax-free allowance, but only to the extent that the allowance is a reimbursing allowance for expenses the employee incurs or is likely to incur in using their own chainsaw for work. Any amount paid to the employee over the reimbursing allowance is taxable to the employee as employment income and subject to PAYE. A chainsaw reimbursing allowance can cover operating expenses such as interest, insurance, repair and maintenance costs, and consumables (such as chains, petrol, two-stroke oil and chain oil). It can also include an amount for the depreciation of the chainsaw where the employee owns the chainsaw.

QWBA on first aid allowances

[QB 15/15](#), "Income tax — first aid allowances" considers whether allowances paid by employers to employees who are designated first aiders in workplaces are taxable. The item concludes that an allowance paid by an employer to an employee because they hold a first aid qualification is taxable as employment income under s [CE 1\(1\)\(a\)](#), and subject to PAYE. It is not paid to reimburse the employee for expenditure incurred in connection with their employment duties; rather it is a regular amount paid to the employee because they are first aid qualified and take on obligations to provide first aid services in the workplace if required. However, if a regular allowance or one-off payment is made to the employee to reimburse them for first aid related costs incurred in performing their first aid obligations or duties in the workplace (eg the cost of getting a first aid qualification, if this is required, or keeping a first aid kit up-to-date), this would be exempt income under s [CW 17\(2\)](#). This is because the payment is reimbursing the employee for expenditure the employee would be able to deduct if the employment limitation did not exist.

QWBA on allowances for farm workers

[QB 18/13](#), "Income tax — what is the tax treatment of allowances paid and benefits provided to farm workers?" considers the income tax treatment of allowances and benefits paid to employees in a farming context. Reimbursing allowances are generally not taxable. Benefit allowances, where an employer pays an amount to an employee to compensate them for the conditions of their service (such as using dangerous equipment, working in a dangerous or dirty environment, or working in a remote location), are generally taxable.

The QWBA contains the following table that lists examples of the types of allowances paid to farm workers. The reimbursement allowances in the table are exempt only to the extent that they do not reimburse private expenses or capital expenses (subject to the low value asset rules (ie they are below the relevant limit (\$500 at the time of the QWBA))).

Category	Payment or benefit provided	Type of allowance	Tax Treatment	
			Farm worker	Employer
Working dogs	Allowance for food, registration or vet bills	Reimbursing allowance	Exempt	Deductible
Horses	Allowance for food, saddlery and accessories (less than \$500), saddlery repairs, vet or farrier's bills	Reimbursing allowance	Exempt	Deductible
Motor bikes and quad bikes	Allowance for depreciation, interest, fuel, tyres (less than \$500), servicing or repairs	Reimbursing allowance	Exempt	Deductible
Protective clothing	Allowance for purchase (less than \$500) of protective clothing such as boots, chaps, leggings, gloves, and hearing or eye protection	Reimbursing allowance	Exempt	Deductible
Wet weather gear	Allowance for purchase (less than \$500) of wet weather gear, such as waterproof coats, hats and leggings	Reimbursing allowance	Exempt	Deductible
Shearing equipment	Allowance for acquisition (less than \$500) of hand-pieces or shearing equipment, repairs and maintenance and depreciation of equipment	Reimbursing allowance	Exempt	Deductible
Boarding school fees	School boarding away allowance	Benefit allowance	Taxable	Deductible
Travel costs	Reimbursement of work travel	Reimbursing allowance	Exempt	Deductible
Rations and stores	Provisions of stores and rations, meat or farm produce	Non-cash benefit	Not assessable	FBT (subject to exemptions) Deductible
	Payment in lieu of stores and rations	Benefit allowance	Taxable	Deductible
Remote location	Allowance for working in a remote location	Benefit allowance	Taxable	Deductible
Dangerous or dirty conditions	Allowance for working in a dangerous or dirty environment	Benefit allowance	Taxable	Deductible

Law: IT07 s [CW 17](#)

Last reviewed on 31 December 2025

Travel allowances [¶3-445]

[¶3-445]

[Click to open document in a browser](#)

An employer may reimburse an employee for using a private vehicle for work-related purposes. The reimbursements are tax free to the employee if the requirements of s [CW 17](#) are met. In accordance with s [CW 17](#) employers can choose either to reimburse:

- # actual costs incurred by the employee
- # a reasonable estimate of the costs incurred by the employee
- # published mileage rates, or
- # IR's published rates.

In *Tax Information Bulletin* [¶185-120 Vol 18, No 5](#), June 2006 at 135, the Commissioner announced that employers may start using rates published by a reputable independent New Zealand source, eg New Zealand Automobile Association Inc, as an alternative to IR's published rates. Any alternative mileage rates used must be a reasonable estimate given the nature of the business and the type of vehicles involved. IR's published rates are set out in CCH, *Dep Rates 2026*, at [¶50-084](#).

It is important to note that the distance to which the mileage rate is applied is work-related mileage only, and not the total distance travelled by the vehicle for the year. A record needs to be maintained of the dates the vehicle is used, the mileage and the destination.

Reimbursements made in excess of the calculated amounts will be employment income to the employee and subject to PAYE.

IR published rates

[OS 19/04b](#) "Commissioner's statement on using a kilometre rate for employee reimbursement of a motor vehicle" explains the acceptable method to establish the tax exempt portion of reimbursements to employees for the business running of an employee's motor vehicle (see also [¶10-710](#) for a discussion of [OS 19/04a](#), "Commissioner's statement on using a kilometre rate for business running of a motor vehicle – deductions", which explains how the kilometre rates are to be applied for deductions for the business use of a vehicle). The statement accepts that the kilometre rate set under the statement can be regarded as being a reasonable estimate of expenditure under s [CW 17](#). The statement sets out the following operational practice and rates for the 2018–19 income year:

Vehicle Type	Tier One Rate	Tier Two rate
Petrol or Diesel	79 cents	30 cents
Petrol Hybrid	79 cents	19 cents
Electric	79 cents	9 cents

Where the employee maintains a logbook, or other evidence that establishes the proportion of employment use for an income year, the calculation of the exempt portion may be based on the IR's rates. The Tier One rate can be applied for the business portion of the first 14,000 kms (total) travelled by the vehicle in each income year, after which the Tier Two rates will apply. Note that even where the employee records a logbook test period in accordance with the rules in ss [DE 6](#) to [DE 11](#), the annual kilometres travelled must still be monitored so that it is known whether the 14,000 figure is reached each year.

However, where no logbook or other records are maintained, the use of the Tier One rate to calculate the exemption for employee reimbursement is limited to the first 3,500 kms travelled for employment purposes. The Tier Two rates may be used for kilometres travelled for employment purposes above the 3,500 km figure.

The 3,500 kms is based on 25% of the average annual expected (14,000) kilometres travelled for each motor vehicle. 25% is the maximum percentage allowed for business deductions where no logbook is maintained.

The changes to the business deductions take effect for the 2018 income year onwards and require a different approach and calculation of those rates. IR accepts that the changes with regard to employee reimbursement will always be subject to a time lag using those figures. As such, for the 2019–20 income year employers may reimburse employees using the above 2018–19 rates from the date of the statement, 16 August 2019.

[OS 19/04b](#) includes the following examples using the kilometre rate method to calculate employee reimbursement for the 2019–20 income year:

Example: Single journey — no logbook

Employee used their private vehicle for a single 65 km journey for their employment and did not maintain a logbook. They are entitled to treat any reimbursement as tax free for the first 3,500 employment-related kilometres at the Tier One rate.

The employer must keep a record of how many employment-related kilometres are travelled in the income year (for that vehicle) because any kilometres over 3,500 will only be tax free calculated at the Tier Two rate.

The calculation (assuming the 3,500 km figure was not breached) would be:

$$65 \text{ km} \times 0.79 \text{ cents (the Tier One rate)} = \$51.35 \text{ tax free reimbursement}$$

Example: Regular journey — no logbook

Employee used their private vehicle, a petrol-powered motor vehicle, for a regular 65 km journey for their employment and did not maintain a logbook. They are entitled to treat any reimbursement as tax free for the first 3,500 employment-related kilometres at the Tier One rate.

The employer must keep a record of how many employment-related kilometres are travelled in the income year (for that vehicle) because any kilometres over 3,500 will only be tax free calculated at the Tier Two rate.

The calculation (assuming the 3,500 km figure was breached 2 months earlier) would be:

$$65 \text{ km} \times 0.30 \text{ cents (the Tier Two rate)} = \$19.50 \text{ tax free reimbursement}$$

Example: Regular journey — trial logbook

Employee used their private vehicle, a petrol hybrid-powered motor vehicle, for a regular 65 km journey for their employment and did maintain a logbook (albeit for a 3-month trial period). Employee's logbook evidences that the vehicle is used 40% for employment-related purposes and 60% for private/other use. They are entitled to treat any reimbursement as tax free for the first 40% of the vehicle's total kilometres up to the first 14,000 at the Tier One rate. The employee must notify the employer when the annual kilometres reaches 14,000. This is because any kilometres from that point on will only be tax free calculated at the Tier Two rate.

Alternatively, the employer could keep a record of the employment kilometres and use the Tier Two calculation once the claim reached 5,600 kilometres (40% of 14,000). Using this alternative approach will mean that the employee will not need to keep any records beyond the 3-month trial logbook period.

The calculation (assuming the 5,600 km figure was breached 2 months earlier) would be:

$$65 \text{ km} \times 0.19 \text{ cents (the Tier Two rate)} = \$12.35 \text{ tax free reimbursement}$$

OS 19/04 (KM 2025)

In May 2025, the Commissioner released the following table of rates for the 2024–25 income year in [OS 19/04 \(KM 2025\)](#):

Vehicle Type	Tier One Rate	Tier Two rate
Petrol	\$1.17	37 cents
Diesel	\$1.26	35 cents
Petrol Hybrid	\$0.86	21 cents

Electric	\$1.08	19 cents
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The Tier One Rate applies for the business portion of the first 14,000 kms travelled by the vehicle in a year. The Tier One Rate increase reflects that increase in fuel costs for the 2025 income year. The Tier Two Rate is for running costs only. Taxpayers should use the Tier Two Rate for the business portion of any travel over 14,000 kms in a year. All other aspects of the calculation remain as directed in [OS 19/04](#) and illustrated above.

Allowance for additional transport costs

Any reimbursing allowance paid by an employer to an employee for additional transport costs is exempt to the extent that it meets the following criteria:

- # it is paid for costs incurred in travelling between the employee's home and place of work, and
- # the costs were incurred by the employee for the benefit and convenience of the employer, and
- # the costs were attributable to one or more of the following work-related factors:

Time of work — this refers to the time of day or days of the week the employee is required to work whereby the employee might incur additional transport costs.

Example:

Sandra has a job as a commercial cleaner. She travels by bus to start work at 8 pm and finishes at midnight, by which time the buses to her suburb no longer run. She travels home by taxi.

Carrying work equipment — this refers to the need to carry goods or material for use or disposal in the course of the employee's work.

Example:

Aroha works for a catering company. On occasions, the company vehicle is double-booked. When this happens, Aroha uses her own van to deliver food to a function.

Fulfilling statutory obligations.

Temporary change in place of work — this refers to a temporary change from the normal place of work of an employee in relation to the same employer.

Example:

Sam works for a bank. He is assigned to work at another branch across town for 8 months. He incurs the cost of an additional bus trip for that period.

Any other condition of work — this is a catch-all type of factor.

Example:

Peter usually buses into work, but his employer requests that he bring in his car to carry out an occasional delivery while the company car is in the workshop.

The absence of a public passenger transport service — a public passenger transport service must adequately serve the place of work. Generally, this means that the public transport service must run near the place of work, adequately synchronise with the hours of work and be able to carry sufficient numbers of the workers who might use the service.

Once it is established that the additional transport costs are attributable to at least one of the above 6 factors, the employer may make an estimate of the additional component of those transport costs. Note that it is only the "additional" component of the employee's transport costs that qualifies for the tax exemption.

If any of the first 5 factors are responsible for the additional transport costs, then the costs in excess of those that the employee would ordinarily have been expected to incur in travelling between home and work, were it not for that factor, are taken as the additional component of the transport costs.

Example:

An employee who normally buses to work at a cost of \$1.50 a day is required to use their car to take tools to and from work, at a cost of \$5 a day. The employee would be eligible to have their reimbursing allowance exempted to the extent of: \$5 # \$1.50 = \$3.50 a day.

A different calculation must be made when the sixth factor (ie absence of a public passenger transport system) is responsible for the additional transport costs. In such cases, the additional component for each day is the actual travelling costs less \$5. An amount calculated in accordance with that formula would be eligible for exemption. However, it is important to note that there is a proviso in relation to employees who must travel long distances. This proviso is to the effect that the cost of travelling distances of more than 70 km a day may not be taken into account in calculating the additional component unless special circumstances exist.

Operational statement OS 23/01 on additional transport costs

Operational Statement [OS 23/01](#), "When employee allowances for additional transport costs for home to work travel are exempt from income tax" sets out the Commissioner's view of when these costs are exempt under s [CW 18](#). It confirms the general rule that an employee's private travel expenses reimbursed, or paid for, by an employer are taxable in the hands of the employee and subject to PAYE.

In order to determine if the exemption applies to the additional travel costs, and whether an apportionment must be made (apportionment is indicated by the use of the words "to the extent of" in the provision), a 3-step analysis must be undertaken. The Commissioner sets out the following analysis:

- # Step 1 – Are one or more of the factors present that are required for the exemption to additional transport costs to apply (see commentary above)? If none of these factors is present, then the additional transport costs exemption cannot apply.
- # Step 2 – Did the employee incur the additional transport costs in connection with their employment and for the employer's benefit or convenience?
- # Step 3 – How much of a travel allowance is exempt under the additional transport costs exemption? Calculate the additional transport costs and compare them with the allowance paid.

The operational statement states that employers can make reasonable estimates of additional transport costs for employees. Taxpayers are reminded of the 70 kilometres per day limit that applies (see above), however special circumstances may apply where an employer does include in excess of this distance. This only applies in exception, abnormal or unusual circumstances. If an employee has to travel more than 70 kms between work and home as a matter of course, then the limit applies as the circumstances are not exceptional.

The statement contains a number of useful examples to illustrate when special circumstances apply and when they do not. The statement concludes that where a travel allowance can only be received by entering into a salary sacrifice arrangement, the additional travel costs allowance is not a reimbursement for travel costs in reality and the amount of the travel costs are not exempt, and PAYE must be paid on the allowance.

Note: Fringe benefit tax does not apply to certain public transport fares subsidised by an employer ([¶21-655](#) and [¶21-660](#)).

Operational statement on employer-provided travel

Operational statement [OS 19/05](#), "Employer-provided travel from home to a distant workplace – income tax (PAYE) and fringe benefit tax" clarifies and simplifies the tax rules for employer-related travel to distant workplaces.

Payments made by an employer in relation to a private expense of an employee are usually subject to tax. The cost of home-to-work travel is generally private expenditure as it is incurred so an employee can get

to work. As this expenditure is usually private, if the employer provides the employee's travel from home to work, the starting point is that it is taxable.

However, some travel from home to work is not taxable because the expenditure relates to travel that is "on work". This means not all employer-provided travel from an employee's home to work is taxable, and an employer who provides travel from home to a distant workplace must consider whether that travel is subject to tax. If the employee is provided with an allowance or is reimbursed in relation to the cost of the travel, then the employer may have to deduct and pay PAYE in relation to that payment.

The operational statement considers the question of whether home-to-work travel is taxable and is discussed in detail at [¶10-710](#).

Law: IT07 ss [CW 17](#), [CW 18](#)

Last reviewed on 31 December 2025

Relocation payments [¶3-446]

[¶3-446]

[Click to open document in a browser](#)

An amount an employer pays to, or on behalf of, an employee for expenses an employee incurs in connection with a “work-related relocation” is exempt income to the employee.

Work-related relocation defined

Not all relocation allowances are tax-exempt. To fall within the scope of this provision the relocation must be work-related. Section [CW 17B\(4\)](#) defines what is meant by “work-related relocation”. Relocation payments are exempt for an employee if:

- # the employee’s relocation is to:
 - # take up employment with a new employer
 - # take up new duties at a new location with their existing employer, or
 - # continue in their current position, but at a new location, and
- # the employee’s existing home is not within reasonable daily travelling distance of the new workplace (unless accommodation is provided as an integral part of the job), and
- # the expense is on the list of eligible relocation expenses, and
- # the payment reflects the actual expenditure incurred, and
- # the expenditure is incurred before the end of the tax year following the year the employee relocates.

Reasonable distance requirement

A requirement is that the relocation of the employee’s residence must be necessary to carry out the job. The specific test set out in s [CW 17B\(4\)](#) is that the employee’s existing residence must not be within reasonable daily travelling distance of the new workplace.

Section [CW 17B\(5\)](#) provides an exemption from the distance test when a person’s accommodation forms an integral part of their work.

Some guidance as to what is meant by “reasonable travelling distance” is provided in *Tax Information Bulletin* [¶219-103 Vol 21, No 9](#), December 2009 at 6.

Actual expenditure

Section [CW 17B\(2\)](#) contains a limitation on the amount which can be claimed under the exemption. The amount paid must be no more than the actual eligible relocation expenses incurred. To be an eligible expense, it must be one of those listed in a determination issued by the Commissioner.

Eligible relocation expenses

Determination [DET 09/04](#), “Eligible Relocation Expenses”, sets out the types of expenses that may be treated as exempt income when an employee is reimbursed, or the expenditure is paid on an employee’s behalf, when an employee (including their immediate family) relocates their accommodation for employment purposes.

“Immediate family” includes the employee’s partner, dependent children and any dependent adults that are part of the employee’s household. A dependent adult might be a dependent parent of the employee or partner or a disabled relative for whom the employee or the employee’s partner is the caregiver.

The costs should be reasonable in the circumstances and, where relevant, should be as if they had been calculated on an arms-length basis between third parties.

Where there is a time limit specified on an item, that limit will be assumed to have been met for payments made before the issue of the determination.

Examples of the types of expenditure that appear in *Determination* [DET 09/04](#) include:

Preparatory

- # Obtaining immigration assistance.
- # Immigration and emigration applications.
- # Health checks, tests and immunisations necessary for immigration or emigration.
- # Any documentation and police and other agency checks required as a result of the relocation.

Transportation

- # Removal and transport of household effects (including insurance, insurance excesses and taxes).
- # Moving "tools of trade" (including insurance, insurance excesses and taxes).
- # Moving other personal items such as cars, boats or trailers (including insurance, insurance excesses and taxes).
- # Transport to get to the new location (such as, but not limited to, air fares and car rental costs) using a direct route, and meals and accommodation en route.

Property

- # Exiting or breaking existing accommodation leases and similar contracts.
- # Selling an existing home and acquiring a new dwelling:

- # real estate commissions
- # advertising and auctioning
- # legal and conveyancing fees and disbursements
- # loan application fees
- # mortgage early repayment loan application fees
- # valuation costs
- # LIM and building reports (or similar)
- # any stamp duty, and
- # penalty interest charges for breaking a fixed term loan.

(But not any loss in capital value of the existing home.)

- # Hiring household and/or personal effects for the new location, while awaiting transportation of related property to the new location.
- # Storage of household or personal effects left at the old location, for (subject to the overall time limit) up to 2 years.
- # Accommodation or value of employer provided accommodation once the employee has arrived in the new location, for up to 3 months after arrival.

Time limit

Relocation expenditure incurred must be claimed no later than the end of the year following the tax year in which the employee relocated (s [CW 17B\(3\)](#)).

Example:

Gwen was promoted and her new post is located in Christchurch. She relocated from Auckland to Christchurch in November 2013. Her employer paid the costs of her work-related relocation over a period of 6 months following her relocation. The expenses incurred may be claimed up to the end of the 2014–15 tax year.

Law: IT07 s [CW 17B](#); TAA s [91AAR](#)

Last reviewed on 31 December 2025

Overtime and work-related meal payments [13-448]

[13-448]

[Click to open document in a browser](#)

Overtime meal payments

Amounts paid to an employee, or on behalf of an employee, for a meal when the employee is working overtime is exempt income to that employee. This applies irrespective of whether the payment is made directly to the employee or on the employee's behalf.

For overtime meal allowances to be tax-exempt, all of the following criteria must be met:

- # either the employee's employment contract specifies that they are eligible for a payment for overtime hours worked, or an employer has a policy or practice of paying an overtime meal allowance, and
- # the allowance reflects the actual expenditure incurred by the employee, or is a reasonable estimate of the expected costs likely to be incurred by the employee or group of employees, and
- # the employee has worked at least 2 hours overtime on the day of the meal.

The meaning of overtime is defined as the time worked for the employer on the day beyond the person's ordinary hours set out in their employment contract.

Work-related meals

There are 2 exemptions from income tax in relation to "work-related meals".

The first exemption is for a period of up to 3 months and covers meal payments made to employees when the employee is required to work away from their employment base. It also covers food and drink consumed when the employee's duties require them to travel.

The 3-month time period runs from the date the employee starts working away from their normal workplace and extends for as long as the employee works continuously at that location. If an employee does not have a fixed workplace, the 3-month time period commences on the date they arrive at their accommodation base.

Example:

George is a retail assistant for a large company that has branches in Auckland and Wellington. As part of his employment duties, he is required to travel to the Wellington branch for a period of 4 months due to a shortage of staff. The company reimburses George for meal expenditure that he incurs while in Wellington. The meal reimbursement payments will be tax free to George for the first 3 months and taxable for the last month.

Example:

Ronald is an electrician who is sent by his Auckland employer to Taupo to complete a number of jobs in Taupo and the neighbouring towns. The work will take 4 months. Ronald rents accommodation in Taupo but also travels to Rotorua and Tokoroa to work at various sites. The 3-month period for which the exemption applies will commence on the date that Ronald arrives in Taupo at his rented accommodation.

The 3-month period includes the employee's time away from the location on leave or other breaks for personal reasons, weekend breaks, required rest periods and other similar periods. The period of exemption can be extended if exceptional circumstances arise beyond the control of the employer and employee and require the employee to continue to work away from their normal workplace. However, the exemption only continues to apply for the period for which the employee is unable to return to their normal workplace because of the exceptional circumstances.

The second exemption covers payments for working meals and light refreshments when the employee is required to be working away from their normal employment base for most of the day. This includes payments

to cover meals consumed at conferences or training courses situated close to the employee's normal work location. It does not include light refreshments if the employer would not normally provide such refreshments to the employee.

Example:

Melissa is a beauty therapist who works for a busy salon. Her employer sends her on a 2-day course which will cover the latest developments on anti-aging treatments. Melissa pays for her meals while away on the course and is later reimbursed by her employer. The reimbursements will not be taxable to Melissa.

Example:

Mark works in an office where tea and coffee are provided for employees while they are working. Mark is required to attend a local expo, where he staffs a stand promoting the firm's products. During his attendance at the expo, it is not practical for Mark's employer to provide him with tea or coffee. A payment made by Mark's employer to cover tea or coffee in these circumstances will not be taxable to Mark.

In both circumstances, when the exemption applies, the full amount of any meal payment is exempt. The exemption includes reimbursement payments and meal allowances. Neither exemption applies if the reimbursement is a substitute for salary or wages.

Law: IT07 ss [CW 17C](#), [CW 17CB](#), [CX 19\(1\)\(c\)](#)

Last reviewed on 31 December 2025

Sustenance allowances [13-449]

[13-449]

[Click to open document in a browser](#)

Sustenance allowances are tax free for the employee, when the employer has an established policy or practice of paying sustenance allowances and:

- # the employee works a minimum of 7 hours on the day, and
- # their employment requires them to:
 - # work outdoors and away from their employment base for most of the day, and
 - # undertake a long period of physical activity in travelling on foot or by bicycle, and
 - # it is not practicable for the employer to provide sufficient sustenance when the employee is working outdoors, and
- # the allowance recognises:
 - # the demanding physical nature of the employee's work, and
 - # that the employer would normally provide tea, coffee, water, or similar refreshments at the employment base in the course of their business.

The exemption above was introduced primarily for the benefit of postal delivery workers who do not have the capacity to carry food and drinks with them due to carrying mail bags. These workers need to purchase items along their mail route to ensure they maintain their energy levels while delivering mail. It was recognised that these employees do not have access to employer-provided drink facilities that are normally available to employee at little or no cost.

Law: IT07 ss [CW 17C\(2\)](#), [CX 19\(1\)\(c\)](#)

Last reviewed on 31 December 2025

Health or safety payments [¶3-449a]

[¶3-449A]

[Click to open document in a browser](#)

From 1 April 2025, an amount that an employer pays to or on behalf of an employee in relation to the employee's health or safety is exempt income of the employee to the extent that the payment is for a health or safety benefit that would have been exempt from FBT under s CX 24 if the benefit had been a non-cash benefit provided to the employee. See [¶21-628](#) for commentary on the health or safety FBT exemptions.

This provision ensures that employees are not worse off if their employers take the reimbursement route for health or safety related costs.

Law: IT07, ss [CW 17D](#), [CX 24](#)

Last reviewed on 31 December 2025

Gift, tip or gratuity to employee [¶3-450]

[¶3-450]

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A gift or tip made to an employee that relates to the employment or service of the person rather than to any personal relationship between the employee and the giver is normally treated as assessable income. Whether a payment is a gift is essentially a question of fact. While the payment is usually of a voluntary nature, it arises because services have been performed.

To be classified as income, a tip or gratuity must be received by the taxpayer in recognition of employment or service provided. The sum paid need not come directly from an employer.

If a gratuity is paid to an employee directly by a customer, or placed in a common pool for a group of employees, the amount received should be returned in the employee's annual tax return.

Where a gratuity is paid via a service charge added to the customer's bill and later paid by the employer to the employee, the employer should treat this amount as wages and deduct PAYE at the appropriate rate.

Payments or gifts made by way of personal esteem, even though of a recurring nature, are not income. Expenditure on gifts made to employees can be deductible to the donor. See Case U10 [\(1999\) 19 NZTC 9,090](#) at 9,099. Fringe benefit tax may apply to gifts made to employees ([¶21-425](#)).

Interpretation statement on assessable gifts

Interpretation statement, [IS 23/11](#), "Income tax: Income – when gifts are assessable income" and "Fact Sheet Income tax: Income – when gifts are assessable income" covers circumstances when the general rule that a gift is not subject to income tax does not apply, and when a gift is taxable in the recipient's hands. In respect of payments made by an employer to an employee, the courts consider a number of factors when deciding whether a voluntary payment such as a gift is actually employment income of the person receiving the gift. Some factors that support a conclusion that a gift is employment income are:

- # the amount of the payment reflects the extent of any services provided by the employee
- # the payment is made in the hope of future services or to encourage further efforts by employees
- # the recipient's employment agreement contemplates the payment (although payment of employment income terms may be under a separate agreement)
- # the payment is recurring, or it is foreseeable that it will recur, rather than being a one-off payment
- # the payment is related to duties that are expected of the employee (although if an employee willingly does something beyond their usual duties and is paid for that, the range of duties is enlarged to encompass it)
- # the payments are commonly paid as a matter of practice in the occupation, profession or industry
- # the gift is one commonly provided to the holder of a position or office that has a degree of continuance and independence from the current incumbent.

The following factors support a conclusion that the gift is not employment income:

- # the payer expresses the payment in terms of a mere personal gift. However, the payer's motive is usually not determinative. Simply stating a payment is a personal gift does not rule out the possibility that it is employment income.
- # the recipient has already been fully remunerated for any services to which the payment might be related
- # the employment relationship has ended at the time of the payment and is unlikely to resume (although a payment may be employment income where it is connected with a past, present or future employment relationship. See commentary above).
- # the payer is not a person with whom the taxpayer has an employment relationship. However, a payment may be employment income even where the payer is a person with whom the recipient has no employment relationship.

The following are some factors that are not necessarily relevant to the issue:

- # The employment is unpaid.
- # The recipient of the payment had to be an employee to be eligible for the payment.

Voluntary activities

A gift is treated as income under s [CO 1](#) when the gift and the volunteer's activity have a sufficient connection. That is when the gift is "a product of" or "in connection with" the person's voluntary activity. Similar considerations as for "employment income" above apply to voluntary activities.

Last reviewed on 31 December 2025

Voluntary activities and honoraria [13-455]

[13-455]

[Click to open document in a browser](#)

General tax treatment

Generally amounts derived by a person from voluntary activities are taxable income to that person, unless the amounts received are reimbursement payments for expenditure actually incurred by the volunteer.

Volunteers defined

Volunteers are defined as “people who freely undertake activity in New Zealand that has been chosen either by them or a group of which they are a member”. The activity must provide a benefit to a community or to another person. The voluntary activity must be done with no intention of private pecuniary gain on the part of the volunteer. However, the voluntary activity can be done for a business that has profit as an objective.

Reimbursement payments

Reimbursement payments to volunteers may be exempt income. For a reimbursement payment to be treated as tax-exempt the following provisions must be met:

- # The payment must be based on actual expenditure incurred by the volunteer in undertaking the voluntary activity.
- # Payments based on an estimate of the expenditure incurred will also be treated as exempt income, if the paying organisation has a process in place for making a reasonable estimate of the amount of expenditure likely to be incurred by volunteers for whom reimbursement is payable.

Non-cash reimbursements such as petrol vouchers or meal vouchers still qualify for the exemption.

Where a payment to a volunteer exceeds the actual cost incurred, the payer must treat the excess as an honorarium. An honorarium is a schedular payment from which tax must be deducted at the rate of 33% ([Sch 4 pt B cl 1](#)) (if the payee has not elected another rate and is not subject to a special or prescribed rate ([13-044](#))).

Paying organisations may make combined payments to volunteers on condition that they:

- # clearly identify which portion of the payment made to a volunteer is reimbursement
- # correctly withhold tax from the honorarium portion, and
- # return the honorarium as a schedular payment in their employment income information.

Example:

Miriama is a voluntary regional coordinator for a national sports organisation, SportCo. Some travel to local centres, as well as attendance at tournaments is involved. Miriama uses her own car. SportCo pays Miriama an honorarium of \$50 per month for six months of the year. SportCo estimates that Miriama travels an average of 250 kilometres per month in the course of her voluntary activities, including her travel to and from her home. SportCo decides to reimburse Miriama's travel expenses by paying her a travel allowance of 70 cents per kilometre. The honorarium and travel allowance are paid together. SportCo also gives Miriama meal vouchers to buy meals on the days that she has to attend tournaments. Miriama receives a total payment of \$225 in each of the six months of the year. SportCo will deduct tax of \$16.50 from the monthly payment of \$225. The \$50 honorarium is subject to withholding tax at the 0.33 rate, and the \$50 is included as a schedular payment in the employer monthly schedule. SportCo will pay the \$16.50 tax deduction to Inland Revenue. The \$175 travel allowance is treated as exempt income. The meal vouchers fall within the scope of the exempt income treatment.

Example from *Tax Information Bulletin* [1218-139](#) Vol 21, No 8, October/November 2009, Pt II at 119.

Local authorities

The Commissioner treats elected members as self-employed. Their remuneration is in the form of honoraria subject to a 33% withholding tax under [Sch 4 pt B](#) (if the payee has not elected another rate and is not subject to a special or prescribed rate ([¶13-044](#))).

Others

When honoraria are paid to a person who is a true employee of the payer, they will be regarded as employment income under s [CE 1](#) and will be subject to PAYE and the ACC earners' levy. For honoraria paid to school trustees and Plunket members, see [¶13-457](#).

Law: IT07 ss [CO 1](#), [CW 62B](#), [Sch 4 pt B](#)

Last reviewed on 31 December 2025

Expenditure incurred in the derivation of a schedular payment [¶3-457]

[¶3-457]

[Click to open document in a browser](#)

The Commissioner may determine what amount or proportion of any particular schedular payment, or schedular payments of any specified class, shall be regarded as expenditure incurred in the derivation of the payment. A determination may be varied or revoked by the Commissioner at any time. The practical effect of the determination is an exemption from withholding tax for the amount determined (s [RD 8\(3\)](#)).

Sporting event or competition prize money

Prize money paid to a resident or non-resident entertainer (collectively referred to as an “entertainer”) at sporting events or competitions are generally subject to withholding tax at the rate of 20%.

A determination in relation to these payments provides that when an entertainer receives prize money in relation to a sporting event or competition of any nature (specified activity), the sum of \$500 shall be regarded as expenditure incurred in the production of the payment (*Tax Information Bulletin* [¶95-104 Vol 9, No 5](#), May 1997 at 3). However, if the total amount of the prize money is less than \$500, the total amount of the prize money is regarded as expenditure incurred in the production of the payment. The determination applies to each separate prize paid to each separate entertainer for each separate event that the person has entered at the sporting event or competition.

Example:

Deborah and Jean compete as a pair in an aerobics competition. Deborah also competes in the women's singles category. Deborah and Jean win first prize of \$900 in the women's pairs category. Deborah also wins first prize of \$600 in the women's singles category. The total prize amount for the women's pairs category exceeds \$500; however, the amount per person is under \$500. Therefore, no withholding tax is required to be deducted from the \$900 payment and Deborah and Jean both receive \$450 each. With respect to the women's singles prize of \$600, withholding tax must be deducted from \$100 (being the difference between the amount of the prize of \$600 and the exemption amount of \$500). This amounts to withholding tax of \$20. Deborah receives the net amount of \$580 (\$600 # \$20).

Deborah has won total prize money of \$1,050, but only \$100 is subject to withholding tax. This is because the determination applies to each separate prize paid to each separate participant for each separate event.

School trustees

Honoraria paid to school trustees are generally subject to tax withheld at the rate of 33%.

A related determination provides that when a trustee receives honoraria for attendance at a board meeting, the sum of \$55 per member, or \$75 for the chair, shall be regarded as expenditure incurred in the production of the payment (*Tax Information Bulletin* [¶137-114 Vol 13, No 7](#), July 2001 at 51–52). The maximum annual amount of the specified withholding payment must not exceed \$605 per member, or \$825 for the chair. However, if a trustee receives any reimbursement (in addition to honoraria) for expenditure incurred in attending that meeting, the exempted amount (\$55, or \$75 for the chair) shall be reduced by the amount of that additional reimbursement.

Example:

A member receives a payment of \$90, made up of an honorarium of \$70 and reimbursement for travel expenses of \$20. The payer must deduct withholding tax from \$35 (being honorarium of \$70, reduced by the difference between the determined amount of \$55 and the reimbursement payment of \$20, ie \$70 # (\$55 # \$20)).

Royal New Zealand Plunket Trust

Honoraria paid to members of the Royal New Zealand Plunket Trust (Plunket) are generally subject to withholding tax at the rate of 33%. Determination [DET 18/02](#) provides that when a Plunket member receives honoraria as reimbursement of expenditure that member incurred in carrying out Plunket-related activities, that payment, up to a maximum of \$800 pa, is regarded as expenditure incurred in the production of that payment (*Tax Information Bulletin* ¶[311-108 Vol 31, No 1](#), February 2019 at 55). However, if the member receives any reimbursement (in addition to honoraria) for expenditure incurred, the exempted amount (\$800) is reduced by the additional reimbursement.

Daily allowances paid in the screen production industry

Determination [DET 25/03](#) provides that up to \$100 per day of a daily (or per diem) allowance (\$80 before 1 July 2025) paid to contractors and entertainers working away from their town of normal residence in the screen production industry will be treated as expenditure incurred in the production of the schedular payment. Accordingly, no withholding tax is required to be deducted from this amount of the payment.

The exemption applies to resident and non-resident contractors and resident and non-resident entertainers. The exemption will continue until the Commissioner varies or revokes the determination.

However, if the contractor/entertainer is also provided with goods and services for which the allowance is paid, either by the payer or another party acting on the payer's behalf, then no amount will be treated as expenditure incurred in deriving the schedular payment.

The amount of daily allowance paid must be included in the employment income information as part of gross earnings and/or schedular payments, even if no withholding tax has been deducted. See IR newsletter, *Payroll News*, Issue 56, September 2003.

Example:

A contractor has been paid \$1,550 for one day's work, and a daily allowance of \$55. Withholding tax (at 20%) of \$310 has been deducted from the \$1,550. Because the allowance paid is less than \$100, no withholding tax has been deducted from this payment. On the employment income information, the gross amount of schedular payment is shown as \$1,605 and the withholding tax is \$310. When the contractor files her tax return at the end of the year, the \$55 allowance can be claimed as an expense.

Law: IT07 s [RD 8\(3\)](#), [Sch 4 pts B, F](#)

Last reviewed on 31 December 2025

Inducement payments [¶3-460]

[¶3-460]

[Click to open document in a browser](#)

An inducement payment can be made by an employer to encourage a particular person to either enter employment (a "golden hello") or to remain in employment (a "golden handcuff"). These types of payments are generally subject to tax at source on the basis that they are employment income.

Section [CE 1\(1\)\(g\)](#) includes as employment income "any other benefit in money". This section can be regarded as a "catch-all" for any unusual or extraordinary receipts arising in connection with an employee's employment (*C of IR v Kerslake* ([2001](#)) [20 NZTC 17,158](#)).

Exit inducement payments

Exit inducement payments are sometimes paid by a prospective employer to an employee to induce them to leave their existing position and accept a new position. As an inducement, the employee may be compensated for giving up a vocation or for a change in status. The payments are usually made at the beginning of the employment relationship or, in some cases, even before the employment relationship commences. The payments may be non-refundable. Section [CE 10](#) deems any amount derived by a person for loss of a vocation, position or status, or for leaving a position, to be income.

The section is intended to be broad enough to cover not only employment positions but also contracts for services or an office such as a board membership. It is also intended to be wide enough to cover in-kind payments as well as monetary payments. However, s [CE 10](#) is not intended to apply to payments genuinely made in respect of humiliation, loss of dignity or injury to feelings relating to employment disputes ([¶3-468](#)).

Inducement payments to employees are subject to tax at source at the rate for extra pays ([¶3-221](#)). The ACC earner's levy must also be deducted.

Law: IT07 ss [CE 1\(1\)\(g\)](#), [CE 10](#)

Last reviewed on 31 December 2025

Restrictive covenants [¶3-465]

[¶3-465]

[Click to open document in a browser](#)

A restrictive covenant (also known as a restraint of trade agreement) can be an agreement stating that in the event of an employee's employment being terminated, the employee agrees not to carry on business in competition with their former employer. In return for that agreement, the employee is granted a payment.

A restraint of trade agreement can take many forms, including agreements:

- # not to approach the former employer's clients
- # not to compete with the former employer within a certain timeframe or geographical area
- # not to use confidential knowledge regarding trade practice or processes obtained while working for a former employer.

Restrictive covenant payments paid to employees are income and subject to tax at the rate for extra pays ([¶3-221](#) and [¶5-297](#)). The ACC earner's levy must also be deducted.

Law: IT07 s [CE 9](#)

Last reviewed on 31 December 2025

Superannuation payment [13-467]

[13-467]

[Click to open document in a browser](#)

An employee who terminates their employment will often receive a pay-out from the employer's superannuation scheme. The payment will not be taxable if the superannuation scheme is a superannuation fund as defined in s [YA 1](#) of the (IT07) ([129-400](#)). Effectively, a superannuation fund is a complying trust, and distributions, other than beneficiary income, derived by a person in their capacity as beneficiary from any complying trust will be tax free. Distributions from schemes that are not "superannuation funds" are taxable in the hands of the beneficiary as a taxable, distribution from a non-complying trust ([129-410](#)).

Last reviewed on 31 December 2025

Damages and compensation under the Employment Relations Act or the Human Rights Act [¶3-468]

[¶3-468]

[Click to open document in a browser](#)

Payments ordered by a court or authority to be made to a former employee to cover loss of wages or allowances are taxable to the recipient. PAYE must be deducted from such payments ([¶3-050](#)).

Compensation payments under the Employment Relations Act 2000

Compensation payments made for humiliation, loss of dignity or injury to feelings are treated differently. Public binding ruling [BR Pub 06/05](#) confirms that:

Payments that are genuinely and entirely for compensation for humiliation, loss of dignity or injury to feelings under s [123\(c\)\(i\)](#) of the Employment Relations Act 2000 are not employment income (monetary remuneration). Consequently, such payments do not form part of the income of the employee under s [CE 1](#) or under ordinary concepts of income (s [CA 1\(2\)](#)).

Specifically excluded from the ruling are payments that, in reality, are for lost wages or other income but that are merely characterised by the parties as being for humiliation, loss of dignity or injury to feelings. This is irrespective of whether such an agreement is signed by a mediator under the Employment Relations Act.

There is no liability under subpart [RD](#) for employers or former employers to deduct PAYE from these payments.

The ruling applies for an indefinite period.

The deductibility of damages and compensation payments is discussed at [¶10-212](#).

Compensation payments under the Human Rights Act 1993

Public binding ruling [BR Pub 05/12](#) concerns payments for damages to a complainant or aggrieved person for humiliation, loss of dignity, and injury to feelings under s [92M\(1\)\(c\)](#) of the Human Rights Act 1993 (for breaches of Pt [1A](#) or Pt [2](#) of that Act awarded by the Human Rights Review Tribunal) or under an out-of-court settlement where the complaint involves an employer–employee relationship.

The ruling provides that:

payments for damages or out of court settlements that are genuinely and entirely awarded for humiliation, loss of dignity, and injury to feelings under s [92M\(1\)\(c\)](#) of the Human Rights Act are not income under s [CE 1](#) of the IT07 (amounts derived in connection with employment), and
such payments for damages are not income under ordinary concepts under s [CA 1\(2\)](#).

Example:

An ultimatum to an employee that he work at a lower grading or be dismissed resulted in the Employment Court finding that he had suffered a personal grievance. Tax consequences led to the taxpayer contending before the Taxation Review Authority that part of the payment awarded to him by the Employment Court was not assessable income. The Authority found, however, that the payment was for a combination of loss of wages and benefits relating to the taxpayer's employment and was assessable as employment income (monetary remuneration). See Case U39 ([2000](#)) 19 NZTC 9,369. The Authority's decision was affirmed by the High Court. See *Cleland v C of IR* ([2001](#)) 20 NZTC 17,086.

This ruling applies for an indefinite period.

Last reviewed on 31 December 2025

Taxation of employee share schemes [¶3-470]

[¶3-470]

[Click to open document in a browser](#)

#Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes the following amendments to the employee share scheme (ESS) rules:

- # changes to allow unlisted companies to elect into a regime where the tax liability for employees who receive shares or share options as part of an ESS can generally be deferred until the shares can be more easily valued and sold
- # clarify that the share scheme taxing date can arise before shares are held by or for the benefit of an ESS beneficiary
- # clarify the timing of an employer's expenditure or loss under s [DV 27\(6\)](#) that is equal in amount to the income derived by the employee under the ESS rules.

A change in core rules for determining the amount and time of derivation of income and incurring of expenditure under an ESS were introduced with effect from 29 September 2018. The objective of the provisions is neutral tax treatment of ESS benefits. That is, to the extent possible, the tax position of both the employer and the employee should be the same whether remuneration for labour is paid in cash or shares. Generally, these rules apply to benefits where the taxing point occurs on or after 29 September 2018.

For a discussion of the taxation of benefits from an ESS before 29 September 2018, see CCH, *2019 New Zealand Master Tax Guide*, ¶3-469.

Interpretation statement [IS 25/04](#), "What an employee share scheme is, the taxing date and apportionment" provides detailed guidance on the definition of an "employee share scheme", when the share scheme taxing date arises and when shares are held by or for the benefit of an employee, as well as the circumstances when the share scheme taxing date may be deferred. The statement also addresses how benefits are apportioned when some of the employee's entitlement arises for non-residents.

Definition of employee share scheme

The rules apply to benefits provided under ESS. An "employee share scheme" is an *arrangement* with a purpose or effect of issuing or transferring shares in a company to a person who *will be, is, or has been* an employee (or *shareholder–employee*) of that company or of another company in the same group. It also includes the provision of shares to an associate of the employee or shareholder–employee. In all cases, the arrangement must be connected with the person's employment or service.

The use of the term "arrangement" covers all aspects of a scheme, for example, direct transfers of shares, loans to buy shares, bonuses, put and call options and transfers to trusts, etc. The definition also covers past, present and future employees, and includes shareholder–employees.

However, an ESS does not include an arrangement that requires an employee, shareholder–employee or associate to:

- # pay market value for the shares on the "share scheme taxing date" (described in more detail below, but generally the date on which the employee holds the shares like any other shareholder), or
- # put at risk shares they acquired for market value consideration, where the scheme provides no protection to the person against a fall in the value of the shares and none of the consideration for acquiring the shares is provided to the person under an agreement it is used for acquiring the shares.

See further below for detailed discussion on approved valuation methods for determining the market value of the shares.

The definition of "employee share scheme" also excludes an "exempt ESS" ([¶3-471](#)).

Example:

Jim is employed by ABC Co, a closely-held company. As part of his employment agreement, after he has worked for the company for three years, if the company's other shareholders are happy with his performance, they will let him buy 25% of the company's shares for their current market value at that time.

While this is an arrangement with a purpose or effect of issuing or transferring shares in a company to a person who will be, is, or has been an employee (or shareholder-employee), market value will be paid for the shares on the share scheme taxing date. Accordingly, this arrangement is not an employee share scheme for the purposes of the new definition.

Example:

Casey, Hamish and Steve get together and incorporate a company to develop some technology-related intellectual property (IP). They are each employed by the company. When the shares are issued they are worth virtually nothing (on a balance sheet basis) and a nominal subscription price of \$0.01 is paid by each shareholder-employee. The shareholders' agreement states that to ensure they commit to developing the IP over three years, if they leave within three years they forfeit their shares.

While this is an arrangement with a purpose or effect of issuing or transferring shares in a company to a person who will be, is, or has been an employee (or shareholder-employee), market value was paid for the shares, not using money provided to the employees for that purpose, and the employees have then chosen to put the shares at risk. Accordingly, this arrangement is not an employee share scheme for the purposes of the new definition.

Examples taken from *Tax Information Bulletin* [1305-102 Vol 30, No 5](#), June 2018 at 53–54.

Timing of employees' income — share scheme taxing date

The time when the employee is taxable is defined as the "share scheme taxing date" (s [CE 7B](#)). Unless an employee first transfers its share scheme benefits to a non-associate, or the company cancels them, the share scheme taxing date will be the first date when:

- # there is no material risk that beneficial ownership of the shares will change, or that the shares will be required to be transferred or cancelled
- # the employee is not entitled to be compensated for a fall in the value of the shares, and
- # there is no material risk there will be a change in the terms of the shares affecting their value.

If the benefits are cancelled or transferred to a non-associate before these events occur, then the share scheme taxing date is at the time of the cancellation or transfer.

In determining whether there is a risk of a change of ownership, transfer or cancellation, certain rights and requirements do not affect the employee's status as the economic owner of the shares under the scheme and are ignored. They are rights or requirements:

- # for transfer for market value
- # not contemplated by the ESS
- # that have no material risk of occurring or are of no material commercial significance, or
- # that also apply to shares not under the ESS.

In [IS 25/04](#), the Commissioner acknowledged there may be a delay in the transfer of shares to an employee and the employer is unable to determine the exact date that shares are held by or for the benefit of the employee for example in the context of global schemes. The Commissioner states:

77. We understand that often the process to transfer shares to an ESS beneficiary begins when an option is exercised or share rights vest under the scheme – for example shares are issued by the company, transferred from a trust or purchased on market. However, the actual transfer is often not able to be completed on the same date due to processes required to issue and transfer shares. Commentators have suggested it can be difficult to determine the exact date when those shares are held by the ESS beneficiary, or by someone for the benefit of the ESS beneficiary. We understand this is particularly an issue for global schemes where software calculates the benefit on the exercise date or vesting date (as applicable), and where payroll teams in New Zealand may not have access to any information other than the exercise date or vesting date.

78. The Commissioner will accept that the best evidence of when the shares are held by or for the benefit of the ESS beneficiary could be the vesting date or exercise date under the ESS (as

applicable) for the purposes of determining the SSTD under s CE 7B(1)(a) where the following requirements are met:

- the shares are expected to be held by or for the benefit of the ESS beneficiary within 10 working days after the exercise date or vesting date under the ESS; and
- the employer is unable to determine the exact date by taking reasonable steps.

A number of examples can be found in *Tax Information Bulletin* ¶305-102 Vol 30, No 5, June 2018 at 57–62 and [IS 25/04](#) that illustrate how these rules work in practice for some common types of ESS.

Example: Simple vesting period

Facts

A Co transfers shares worth \$10,000 to a trustee on trust for an employee. If the employee leaves the company for any reason during the next 3 years, the shares are forfeited for no consideration. After 3 years, the shares are transferred to the employee.

Result

The share scheme taxing date is when the 3 years is up and the employee is still employed.

Analysis

The risk of loss of the shares for the first 3 years means there is a material risk that the beneficial ownership of the share will change under the terms of the scheme. None of the exceptions apply.

Example: Vesting subject to misconduct

Facts

A Co transfers shares worth \$10,000 to a trustee on trust for an employee. The shares are transferred to the employee if they are still employed by the company after 3 years. Also, if the employee ceases employment for any reason other than being subject to disciplinary action or committing some form of employment-related misconduct during the 3-year period (ie being a “bad leaver”) the employee is entitled to the shares at that time.

Result

The share scheme taxing date is when the shares are initially transferred to the trust, and the income will be their value at that time.

Analysis

The risk of the employee losing their job for these “bad” reasons during the 3-year period, and thus losing entitlement to the shares, is not sufficiently material to require deferral.

Approved valuation methods for employee share scheme benefits

For the purposes of ESS, “market value” of shares is defined as (ss [CE 7CB](#) and [YA 1](#)):

for a share or option quoted on an exchange—

means an amount equal to the middle market quotation at the time for a similar share or option, unless the quotation is not a fair reflection of the market value having regard to certain features of the exchange, and

includes an amount equal to the 5-day volume weighted average price or any other method that is accepted by the Commissioner or is comparable to the 5-day volume weighted average price, for such shares or options

for a share or option not quoted on an exchange, means the amount that a willing purchaser would pay to acquire the share or option in an arm’s length acquisition and is determined using a method that —

confirms with commercially acceptable practice

may have regard to the present value of the company’s anticipated income or cash flows and the realisable value of the company’s assets, and

results in a valuation that is fair and reasonable.

Commissioner's statement [CS 24/01](#), "Determining the 'market value' of shares that an employee receives under an employee share scheme" provides detailed guidance on the acceptable safe harbour valuation methods and the relevant documentation requirements (see paragraph 33, 40 and 50 of [CS 24/01](#) for detailed guidance on the documentation required for different types of shares).

Listed company

When a company listed on a "recognised exchange" issues shares to its employee under an ESS, the Commissioner will accept the share value determined using one of the following methods:

- # Option A: The 5-day volume weighted average price ("VWAP") over the last 5 trading days including the share scheme taxing date.
- # Option B: The closing price of the listed share on the share scheme taxing date.
- # Option C: If on the share scheme taxing date the employee disposes of any of the shares at market value on a recognised exchange, the actual proceeds of sale for those shares on that date. If the proceeds of sale are in a foreign currency, the New Zealand dollar equivalent by applying the close of trading spot exchange rate on the sale date.

Section [CE 7CB\(b\)](#) provides a VWAP method which is independent of Option A above although the outcome is essentially the same.

For foreign-listed shares, the company should determine the foreign share value by using one of the options above and then convert to its New Zealand dollar equivalent by applying the close of trading spot exchange rate on the share scheme taxing date.

Shares issued by a newly listed company to employees as part of an initial public offering (IPO) should be valued using the published offer price for the IPO.

Unlisted company

When a company issues unlisted shares to an employee (excluding a start-up company), the Commissioner will accept the share value determined using one of the following methods:

- # Option A: An arm's length value determined by an independent and qualified valuer.
- # Option B: A valuation involving the arm's length issue or sale of the same class of shares to a non-associated third party in the 6 months before the share scheme taxing date where, if new shares are being issued to the employees, the valuation is adjusted for dilution of existing shares.
- # Option C: A valuation prepared by an appropriate person in the company using an appropriated method as described in the statement (see paragraph 44 of [CS 24/01](#) for detailed guidance).

Unlisted start-up company

For a start-up company, the Commissioner accepts one of the methods outlined above under unlisted company for determining the market value of the start-up company shares. The statement also sets out the Commissioner's view of the definition of a start-up company and this generally means the company:

- # is in the first stage of its operations,
- # is initially financed and operated by founding shareholders or investors,
- # has not paid any dividends,
- # has expenses that tend to exceed its revenues and may not yet be producing a profit,
- # tends to have very low net tangible assets,
- # may have a high level of expended research and development costs relative to its tangible assets value, and
- # does not yet have a stable market for its product or service.

This statement will not apply:

- # to any arrangements that are subject to anti-avoidance provisions in the Act,

- # where a company uses a previous valuation and the original share value is adjusted resulting in a lower value or where the previous valuation relates to shares of a different class from the shares issued under the employee shares scheme, or
- # to a company engaged in a current or proposed venture capital funding round which is intended to take place within 6 months of the share scheme taxing date. In these cases, the company should obtain a separate arm's length valuation for the ESS shares issued.

[CS 24/01](#) replaces the previous [CS 17/01](#).

Amount of income to employee

The amount of income to the employee is the value of the shares at the share scheme taxing date (or the transfer price if transferred to a non-associate, or the amount paid for cancellation, if cancelled by the employer) less the amount paid for them. Even where benefits are conferred on, or transferred to, an associate of an employee, it is the employee who is taxed on the income. If the amount paid exceeds the value of the shares, the difference is deductible to the employee (ss [CE 2\(3\)](#) and [DV 27\(3\)](#)).

Apportionment for overseas service

The rules contain an income apportionment formula. The formula applies to all employees. It excludes from taxable income ESS benefits that accrue while a person is neither New Zealand resident nor deriving New Zealand source income. The extent of such accrual is determined by first establishing the entire period over which the benefit accrues, and then determining the proportion of that period during which the person is non-resident and not deriving New Zealand source income from their employment. The period of accrual ends once the rights vest, rather than when the income arises. So, for example, in the case of an option, the period of accrual will end once the options are *exercisable* rather than when they are actually *exercised*.

The ESS income is treated as non-residents' foreign source income (which is not taxable income) to the extent of this proportion (see Examples 14–16 in [IS 25/04](#)).

Transfers to associates

Transfers to associates are ignored for the purposes of calculating the employee's share scheme income.

Rollover relief for transfer to new scheme

If a person's ESS rights are cancelled and replaced with rights in a different scheme, the value of the replacement rights are not included in the person's income arising due to the cancellation of the original scheme: ss [CE 2\(2\)\(c\)](#) and [CE 7D](#).

The benefit provided by the replacement scheme is taxed appropriately by applying the rules to that scheme.

Timing and amount of employers' deduction

An employer is denied a deduction for provision of ESS benefits, except as provided for by s [DV 27](#):

- # Costs incurred in establishing or managing the scheme. These costs include legal and accounting fees incurred in setting up the scheme, as well as ongoing management fees. Deductibility of these costs are left to the usual tests, eg the capital/revenue test. Costs incurred by an ESS trust are treated as incurred by the employer or issuing company, as a result of s [CE 6](#) treating an ESS trust as a nominee.
- # An amount equal to the employee's income, which is treated as a cost incurred at the same time as the employee recognises the income (see discussion of [QB 21/04](#) below). Deductibility of this cost depends on meeting the usual tests.

Amounts that are taxable to the employee as employment income other than as ESS benefits. This is intended to preserve a deduction for the cost of paying a bonus where the payment of the bonus is part of the terms of an ESS.

Accordingly:

payments to fund an ESS trust to acquire shares, or to reimburse a parent for providing shares, are not deductible, and

as a practical matter, employers will need to either prohibit employees from transferring their rights to a non-associate before the share scheme taxing date or place a requirement on employees to inform them of the time and amount paid in such a transfer, in order to correctly calculate their deduction.

QWBA [QB 21/04](#), "When an employer is party to an employee share scheme, when does an employer's expenditure or loss under s [DV 27\(6\)](#) or income under s [DV 27\(9\)](#) arise?" considers the timing of deduction or income and confirms that the employer's expenditure or loss arises when the related "employee amount" is recognised for the employee. The "employee amount" is the amount calculated on the share scheme taxing date, and the item concludes where that amount is:

negative, the employee has a deduction on the share scheme taxing date

positive and the employer is required to provide employment income information in relation to a benefit received under an ESS in respect of that employee, the employee derives the amount on the ESS deferral date (being the 20th day after the share scheme taxing date), or

positive and the employer is not required to provide the employment income information in respect of the employee, the employee derives the amount on the share scheme taxing date.

To prevent double deductions, when shares are provided to an employee and a deduction has been taken for that provision other than in accordance with s [DV 27](#), the deduction under s [DV 27](#) is reduced by the earlier deduction.

Interpretation statement [IS 24/07](#), "Deductions for parties to employee share schemes" discussed in detail along with practical examples regarding what deductions employers can claim in relation to an ESS. Section [DV 27](#) does not supplement the general permission (except s [DV 27\(4\)](#) as expressed in s [DV 27\(10\)](#)) or override any general limitations and therefore, the item emphasises the need to satisfy the general permission and when the capital limitation might apply.

Effect on available subscribed capital

The rules seek to tax any benefit conferred on an employee by the issue of shares in an ESS in the same way as an equivalent cash payment followed by an acquisition of shares in the issuing company. Consistent with this principle, the rules provide for an increase in the employer's available subscribed capital (ASC) by the amount deemed to be paid (plus actually paid) for the shares. The rules also cater for the situation where the employer is not the company issuing the shares.

The amount of the deduction to the employer gives rise to additional ASC for both the employer and, if the shares issued are in the parent of the employer, the parent. In the latter case, any reimbursement paid to the parent reduces the subsidiary's ASC but does not increase the parent's ASC. If the employer has income from the issue of the shares, that reduces its ASC.

Example:

Facts

Employer Co issues 700 shares worth \$3 each to an employee for \$2 per share (that is, at a \$1 per share discount). The scheme taxing date is the date of issue. The employee has \$700 income and Employer Co has a \$700 deduction.

ASC Result

Employer Co's ASC increases by \$2,100, being the total of the \$1,400 received for the provision of the shares and its \$700 expenditure incurred for providing the shares.

Example:*Facts*

Employer Co issues 700 shares worth \$3 each to an employee for \$2 per share, funded by a loan from the employer. If the employee is still employed by the company after one year, the employee will receive a bonus of \$1,400 grossed-up for PAYE, the net amount of which must be used to repay the loan. Otherwise, the employee must return the shares to the employer in full repayment of the loan at the time she leaves employment. After one year, the shares are worth \$4 each.

ASC result

Issuing the shares gives rise to ASC of \$1,400. If the shares are repurchased because the employee does not remain employed, that will usually give rise to an ASC reduction of \$1,400 (unless the shares are held by a trustee or as treasury stock).

Otherwise, at the share scheme taxing date, Employer Co's ASC will increase by a further \$1,400. This is made up of the \$1,400 that it received from the employee for the shares and \$1,400 it incurred in providing the shares (the difference between the value of the shares on the vesting date and their cost to the employee).

The rules also ensure that the acquisition of shares as part of an ESS is able to be treated as an acquisition of treasury stock, regardless of whether the shares are acquired by the company itself and not cancelled, or are acquired by a trustee who is treated as a nominee of the company, provided the shares are allocated to an employee within a year of acquisition. This is then entirely disregarded for ASC purposes and no adjustments are necessary.

Example:*Facts*

An employee share scheme trust for Employer Co acquires 700 Employer Co shares on market for \$2.50 per share. Six months later, when they are worth \$3 per share, it allocates them to an employee for \$2 per share. The purchase price is funded by a loan from Employer Co. If the employee is still employed by Employer Co after one year, the employee will receive a \$1,400 bonus from Employer Co (grossed-up for PAYE), which must be used to repay the loan. Otherwise, the employee must return the shares to the employer in full repayment of the loan at the time she leaves employment.

After one year, the shares are worth \$5 each.

ASC result for Employer Co

The trustee's acquisition of the shares is treated as an on-market acquisition of treasury stock by Employer Co. Because the shares are allocated to an employee within 12 months of acquisition, the acquisition is not treated as reverting to an on-market cancellation under section [CD 25\(2\)](#). Therefore the amount paid to acquire the shares does not reduce Employer Co's ASC and the \$1,400 paid by the employee to acquire the shares does not increase Employer Co's ASC.

If the employee does not stay for 12 months, Employer Co will be treated as acquiring the shares at that time for \$2.50 per share, the amount for which they were initially acquired on market. This acquisition will not reduce Parent Co's ASC if the shares are allocated to another employee within 12 months.

Example taken from *Tax Information Bulletin* [¶305-102 Vol 30, No 5](#), June 2018 at 70.

In addition, a company that issues shares to an employee (or trustee on their behalf) for market value can also elect not to apply the provisions and therefore no adjustments are necessary for ASC purposes.

Example:*Facts*

B Co provides an employee with an interest-free full recourse loan of \$10,000 to acquire newly issued shares in B Co for market value, on the basis that:

- # the shares are held by a trustee for three years
- # dividends are paid to the employee from the time the shares are acquired
- # if the employee leaves within three years, the shares must be sold back to the trustee for \$10,000, which must be used to repay the loan
- # if the employee is still employed by B Co after three years, the employee can either sell the shares to the trustee for the loan amount, or choose to continue in the scheme, and
- # if the employee chooses to continue, the loan is only repayable when the shares are sold.

The employee remains employed for three years, and chooses to continue in the scheme, as the shares are worth \$18,000 at that time.

Result

B Co's ASC will increase by \$10,000 when it issues the shares. Prima facie it will also increase by \$8,000 at the end of year 3, unless the company elects to the contrary.

Analysis

The \$10,000 received by B Co is ASC under s [CD 43\(2\)](#), because it is within the definition of "subscriptions". The \$8,000 is also included in "subscriptions" under section [CD 43\(6E\)](#). However, B Co can elect out of section [CD 43\(6E\)](#), because it issued the shares for their market value (section [CD 43\(6F\)](#)).

Example taken from *Tax Information Bulletin* [1305-102 Vol 30, No 5](#), June 2018 at 70.

Employee share scheme trust – IS 24/04

Interpretation statement [IS 24/04](#), "Trustee of employee share scheme trusts treated as nominees" considers the available subscribed capital, treasury stock and dividend implications of a trustee of an ESS holding shares as nominee.

Effect on ASC and application of the treasury stock rules

For tax purposes, the ESS trustee is treated as nominee of the company and the company is treated as holding shares, and issuing and buying back shares in itself (s [CE 6](#)). Any consideration received by the ESS trustee for the sale or transfer of the shares is treated as consideration received by the company and give rise to an increase in the company's ASC (subject to the treasury stock rules). Various subsections of s [CD 43](#) specifically address the effect of ESS benefits on the ASC for different ESS arrangements.

The item further emphasises that s [CD 25](#) addresses the application of the treasury stock rules for an ESS trustee (see [116-700](#) for detailed discussion on the treasury stock rules).

Dividend implications

The table below from [IS 24/04](#) summaries the dividend implications for the trustees of an ESS trust (see [IS 24/04](#) for examples demonstrating the application of the rules).

ESS Trustee holds shares in accordance with ESS as:	Dividends waived by ESS Trustee (s 53(3), CA 1993)	Dividends paid to ESS Trustee (ie not waived)
Unallocated shares – any cash used to defray operational costs or returned to company	No distribution, therefore no dividend for tax purposes	No dividend as no transfer of company value by a person to a person for tax purposes (ss CD 4 to CD 6 , CD 25 and CE 6)
Allocated shares – employee entitled to dividends under ESS	Not applicable	If dividends paid to employee or dealt with on their behalf within the timeframe required by s HC 6 , dividends are beneficiary income of the employee (ss CD 25 , CE 6 , CV 13(a) and HC 17)
Allocated shares – employee not entitled to dividends under ESS and any cash used to defray operational costs or returned to company	No distribution, therefore no dividend for tax purposes	No dividend as no transfer of company value by a person to a person for tax purposes (ss CD 4 to CD 6 , CD 25 , CE 6 , CV 13(a) and HC 6)

Employer may account for tax on benefit

An employer who has established an ESS for a class of employees (or former employees) may elect to withhold and pay an amount on account of income tax payable on shares an employee acquires under the scheme. The benefit the employee receives then becomes part of their salary or wages for the relevant pay period, being treated as an extra pay. The objective of this treatment is to simplify an employee's year-end

tax process. The election is made by the employer calculating the amount of tax payable on the employee share benefit and accounting for it to IR. The amount must also be reported in the employer's employment income information (see below).

From 26 June 2019, employers can make an irrevocable election to withhold tax on ESS benefits to allow the use of equity-settled accounting treatment under financial reporting standards (s [RD 7B\(1\)\(a\)](#)). See *Tax Information Bulletin* [¶318-106 Vol 31, No 8](#), September 2019 at 85.

Reporting by employer

Section [23K](#) of the TAA specifically provides for the reporting of ESS benefit information by employers. The recognition of benefits derived by an employee under an ESS is deferred to the 20th day after the share scheme taxing date for the employee (the ESS deferral date) in order to provide all employers with sufficient time to compile information to support the required disclosures and deduction of tax, if it is to be withheld.

Employers may provide the employment income information in relation to the ESS benefits:

- # under the rules for the payday filing of information ([¶3-023](#)), with the ESS deferral date treated as the payday, or
- # twice-monthly, where for any benefit received where the ESS deferral date falls between the 1st and 15th of the month the benefit must be reported, at the latest, as if the benefit was received on the 15th, and where the ESS deferral date falls between the 16th and month end the benefit must be reported, at the latest, as if it was received at month end.

Employers are not required to provide IR with information on:

- # ESS benefits received by former employees if they have not chosen to withhold tax from the benefit, or
- # benefits arising under tax-exempt, widely-offered ESS.

The particulars to be provided are specified in [Sch 4 table 1](#) of the TAA ([¶3-023](#)).

Example:

Under the new rules, if an employee received a benefit under an employee share scheme on 5 July 2019 (that is, the share scheme taxing date for the employee share scheme beneficiary is 5 July 2019) they would be treated as deriving income in relation to the benefit on 25 July 2019.

Their employer would have two options as to how they meet their obligation to provide information in relation to the benefit to Inland Revenue:

Option 1: reporting on a payday basis

If their employer chooses to report information in relation to the benefit on a payday basis, 25 July 2019 would also be the relevant payday. This would mean that their employer would be required to report information about the value of the benefit received by the employee and any tax withheld in relation to the benefit by the 2nd working day after 25 July 2019 if they are an employer in the online group, or by the 10th working day after 25 July 2019 if they are an employer in the non-electronic group (or an employer in the new group who provides their employment income information on paper).

Option 2: reporting on a twice-monthly basis

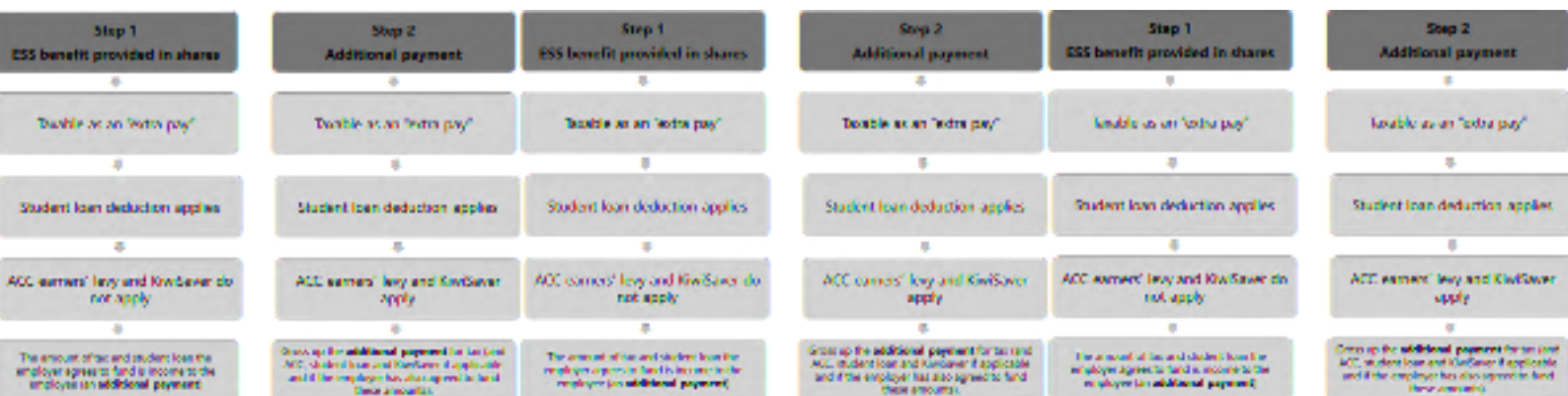
If their employer chooses to report information in relation to the benefit on a twice-monthly basis, 25 July 2019 would be treated as the "relevant day" for the purposes of new section [23C\(4\)](#) of the Tax Administration Act 1994. This would mean that their employer would be required to report information about the value of the benefit received by the employee and any tax withheld in relation to the benefit by the 2nd working day after 31 July 2019 if they are an employer in the online group, or by the 10th working day after 31 July 2019 if they are an employer in the non-electronic group (or an employer in the new group who provides their employment income information on paper).

25 July 2019 would also be the relevant date for determining the due date for the payment of tax withheld in relation to the benefit (assuming that the employer elected to withhold tax in relation to the benefit). In this example, the due date for paying the tax withheld to Inland Revenue would be 5 August 2019 if the employer was above the \$500,000 per annum of PAYE and ESCT threshold, or 20 August 2019 if they are below the threshold.

Example taken from *Tax Information Bulletin* [1305-102 Vol 30, No 5](#), June 2018 at 15.

ESS benefits funded by an employer – benefits provided in shares

Interpretation statement [IS 25/07](#), "PAYE – How an employer funds the tax cost on an employee share scheme benefit" explains in detail along with practical examples an employer's withholding obligations for ESS benefits provided in shares for which the employer is funding the tax cost. The flowchart below extracted from [IS 25/07](#) illustrates the employer's obligations:



[IS 25/07](#) replaces [IS 24/06](#).

ESS benefits paid in cash

Interpretation statement [IS 25/06](#), "Employer obligations for ESS benefits paid in cash" sets out an employer's PAYE, student loan and KiwiSaver obligations when an employee receives an benefit under an ESS that is paid in cash.

A “cash-settled ESS benefit” is not defined in the legislation. The Commissioner’s view is it is a cash payment made to an employee where the employee receives the amount under an ESS and the amount gives rise to a benefit under an ESS (see Examples 1–4 in [IS 25/06](#)).

Once a cash-settled ESS benefit arises, an employer should be aware of the following tax obligations:

- The payment is treated as an extra pay and a PAYE income payment.
- From the 2024-25 income year, the payment is not subject to the ACC earner's levy.
- Student loan deduction from the payment is required if applicable.
- KiwiSaver deductions or employer contribution is not required in relation to the payment.

[IS 25/06](#) contains a flowchart (see Figure 1) that sets out the key considerations and tax obligations for awards provided to an employee under an ESS.

IS 25/06 replaces [IS 24/05](#) and applies to an ESS benefit paid in cash on or after 1 November 2024.

Anti-avoidance provision

Section [GB 49B](#) allows the Commissioner to counteract any tax advantage gained from an arrangement that attempts to circumvent the intent and application of the share scheme taxing date by seeking to have shares taxed either earlier or later than is consistent with that intent.

Employer-issued cryptoassets

In May 2023, IR released an updated public ruling in the cryptoassets series : [BR Pub 23/07](#), “Income tax – application of the employee share scheme rules to employer issued crypto-assets provided to an employee” (see also [BR Pub 23/04](#) and [BR Pub 23/05](#), which replaced [BR Pub 21/01](#) and [BR Pub 21/02](#), at [13-198](#), and [BR Pub 23/06](#) at [121-436](#)). [BR Pub 23/07](#) considers the income tax treatment of employer-issued cryptoassets provided to employees, where the cryptoasset issued is a share in the employer (ie provides an interest in the capital of the company), the employee is not required to pay market value for the cryptoasset and the cryptoasset is not provided under an exempt ESS.

The ruling concludes that the provision of the cryptoassets by the employer (or other group company) to the employee in the above circumstances is an ESS and the ESS rules will apply. The value of the taxable benefit received by the employee will be determined under s [CE 2](#) and the amount of that benefit will be the employee's employment income.

The ruling applies to certain types of cryptoassets (commonly referred to as “equity” tokens) that provide ownership interests in entities. However, note that in relation to determining whether a cryptoasset is a share, the ruling states:

“37. Crypto-assets that provide an interest in the capital of a company, such as the right to receive a share in the surplus assets on a winding up of the company and potentially other distributions from the company, will be a ‘share’ for income tax purposes. To qualify as a share, the interests need to be by way of an equity interest in the company’s performance, and not simply a debt or other contractual right to receive payments. For completeness, the relevant interest must be in a company, so this would not include any interests in a decentralised autonomous organisation that operates over the blockchain, nor would it include a token that only provides interests in a platform.

38. Given that this will be highly fact specific and will depend on the terms of each particular crypto-asset issued, this Ruling does not rule on when a crypto-asset will be a ‘share’. To determine whether a crypto-asset is a ‘share’ it will be necessary to carefully consider the terms and conditions on which the crypto-asset is issued. This commentary can be used as guidance.”

Note also that cryptoassets that are a “share” for tax purposes may not necessarily be a “share” for the purposes of the Companies Act 1993 or an “equity security” under the Financial Markets Conduct Act 2013.

The ruling provides the following examples:

Example: Crypto-assets that provide interests in a platform

DigitalKeyChain Ltd, a New Zealand incorporated limited liability company, is developing a new blockchain-based platform for property sales. DigitalKeyChain Ltd issues its own crypto-asset, D-KEYs, by way of an ICO.

DigitalKeyChain Ltd employs 5 full-time employees. As DigitalKeyChain Ltd is unable to pay competitive rates, it proposes to provide each of the full-time employees with D-KEYs issued in the ICO to the value of NZ\$5,000.

The D-KEY whitepaper provides that a certain number of D-KEYs are required for users to access the platform and provides holders with voting rights over the operation of the platform.

The D-KEYs are not "shares" as they do not provide an interest in the capital of DigitalKeyChain Ltd. Accordingly, the employee share scheme rules do not apply. However, other employment income rules are likely to apply to the benefit received by the employees (as set out in BR PUB 19/03: Income Tax — employer issued crypto-assets provided to an employee).

Example: Crypto-assets that provide rights on a wind-up

Assume that, in addition to the facts set out above, the whitepaper and relevant terms and conditions of issue provide that D-KEY holders will receive (at the discretion of the directors) a right to distributions of DigitalKeyChain Ltd's profits.

The whitepaper and relevant terms and conditions also provide D-KEY holders with a right to a share in surplus assets on a liquidation of DigitalKeyChain Ltd after all creditors have been paid. In these circumstances, the D-KEYs are "shares" under s [YA 1](#).

The employee share scheme rules will apply to the D-KEYs issued to the 5 employees. The employees did not pay anything for the receipt of the D-Keys, so the full market value will be employment income.

Law: IT07 ss [CD 4](#), [CD 5](#), [CD 6](#), [CD 22](#), [CD 25](#), [CD 26](#), [CD 43](#), [CE 1\(1\)\(d\)](#), [CE 2](#), [CE 6](#), [CE 7](#), [CE 7B](#), [CE 7C](#), [CE 7CB](#), [CE 7D](#), [CV 13](#), [CV 20](#), [CZ 1](#), [DV 27](#), [GB 49B](#), [HC 6](#), [HC 7](#), [OB 42](#), [RD 7\(1\)\(bb\)](#), [RD 7B](#), [RD 22\(3\)](#), [\(4\)](#), [YA 1](#) ("market value"); TAA s [23K](#)

Last reviewed on 31 December 2025

Exempt employee share schemes (exempt ESS) [¶3-471]

[¶3-471]

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The IT07 previously provided a concessionary regime to encourage employers to offer shares to employees under certain widely-offered “share purchase schemes” (commonly known as “exempt schemes”).

Those rules were out of date, complex and no longer fit for purpose.

The new rules simplify and clarify the legislation relating to exempt employee share schemes (“exempt ESS”), while retaining many of the key features of the original schemes and their tax treatment.

Shares provided to employees under schemes that meet certain criteria are exempt income to the employees. Benefits provided under schemes that qualified for the previous tax-exempt treatment simply continue to qualify under the new legislation, but such schemes are entitled to provide the same level of exempt benefit as new schemes.

For all exempt ESS, employers are explicitly denied a deduction for the cost of providing the shares (other than costs relating to establishing and managing the scheme). The previous 10% notional interest deduction is repealed. The changes apply from 29 March 2018, and from 6 April 2017 (the date of introduction of the relevant Bill) if shares under the exempt ESS were acquired on or after that date in other than the ordinary course of the exempt ESS.

The automatic exemption from FBT for loans provided under ESS in s [CX 10\(2\)](#) continues.

The new rules have been designed to ensure existing schemes that meet the criteria described below can continue to operate without unnecessary disruption. Therefore, to the extent possible, the existing rules have been retained and simply clarified. For a scheme to be an exempt ESS, all the following criteria must be met (s [CW 26C](#)):

- # The cost to employees of shares made available for purchase must not exceed their market value at the date of purchase but may be less.
- # The maximum value of shares provided under an exempt ESS is \$7,500 pa (before 1 April 2025, the threshold was \$5,000 pa).
- # The maximum discount an employer can provide to an employee is \$3,000pa (before 1 April 2025, the threshold was \$2,000 pa).
- # 90% or more of full-time permanent employees who are not subject to securities law of other jurisdictions must be eligible to participate in the scheme. If the scheme applies to part-time employees or to seasonal employees, the same threshold applies. Previously, all full-time employees had to be eligible to participate.
- # If the scheme has a minimum spend requirement, the amount can be no more than \$1,000 pa.
- # Any minimum period of service that may be required before an employee becomes eligible to participate must not exceed 3 years (or the equivalent of 3 years full-time service).
- # If a trust holds shares in trust for an employee, the arrangement must provide that the trustee pays dividends directly to the employee and the dividends are treated as derived by the employee.
- # If the employee is required to pay any amount for the shares, then the employer must provide a loan for that amount or allow the employee to pay for or buy the shares in regular instalments.
- # Loans to employees for the purchase of shares must be free of all interest and other charges.
- # Employees will repay loans by regular equal instalments at intervals of not more than one month over a period between 3 and 5 years from the date of the loan.
- # Generally speaking, the shares have to be held (either by the employee or by a trustee of a trust on behalf of the employee) for the longer of 3 years and when the loan is repaid — this is to ensure that the scheme is really an exempt ESS, and not a mechanism for providing cash remuneration. However, the employee is not required to hold the shares beyond the date their employment ends. If the employee has paid full market value for the shares, then they only have to hold them until they have fully repaid the loan — at this point they are like any other shareholder and should not have extra restrictions placed on them.

- # The employee can choose to withdraw from the scheme by giving the employer one month's notice and have their shares purchased back for the lesser of market value and cost.
- # If participation in the scheme is causing serious hardship for the employee, the terms of payment can be varied or employees can be allowed to withdraw from the scheme and receive the market value of their shares.
- # If the employee leaves employment before the 3 years is up, then:
 - # if they leave because of death, accident, sickness, redundancy or retirement at normal retiring age they can keep the shares (subject to repayment of the loan) or have the shares bought back for the lesser of market value and cost, and
 - # if they leave for any other reason (so-called "bad leavers"), the company may choose whether they are permitted to keep their shares, or whether the shares are bought back at the lesser of cost and market value.
- # The exempt ESS is not required to be approved by the Commissioner. However, the Commissioner must be notified of the scheme's existence and the employer must advise the Commissioner annually of the grants made under the scheme (s [63B](#) of the TAA).
- # There is no requirement for a scheme to have a trust — many schemes have trusts as a matter of convenience. Removing this requirement provides greater flexibility (especially for small employers who may not want the administrative expense of operating a trust for a fairly small scheme).

With effect from 30 March 2021, it has been clarified that the trustee of an exempt ESS can be treated as a nominee of the company providing a scheme (as is already the case for an ESS other than an exempt ESS).

Law: IT07 ss [CW 26B](#), [CW 26C](#), [CW 26D](#), [CW 26DB](#), [CW 26E](#), [CW 26F](#), [CW 26G](#), [DV 28](#), [YA 1](#) ("market value"); TAA s [63B](#)

Last reviewed on 31 December 2025

Approval and revocation of PAYE intermediaries [13-475]

[13-475]

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An employer can enter into an arrangement with a person to transfer the employer's PAYE and employer's superannuation contribution tax (ESCT) obligations to a PAYE intermediary. The PAYE intermediary will be responsible for making the required payments and tax deductions and filing the relevant returns under the PAYE and ESCT rules on behalf of the employer.

Approval

A person who meets the requirements set out in s [124K](#) of the TAA may apply to the Commissioner for approval to become a PAYE intermediary. An application to become a PAYE intermediary must be made to the Commissioner by giving notice that:

- # a trust account has been established and will be operated as required under the PAYE intermediary provisions (see below)
- # the applicant will comply with the PAYE and ESCT rules (if the employer's obligations under these rules are taken over by the applicant)
- # the required administration and information technology systems to protect the privacy of the personal information and payment details of employees have been established and will be maintained ([13-479](#))
- # the applicant, or each member of the applicant or each of the persons acting as a director, secretary or statutory officer of the applicant, and any principal, is not a discharged or undischarged bankrupt and has not been convicted of an offence involving fraud and is eligible to be a company director, and
- # before acting as a PAYE intermediary, the applicant will inform the employer that the Commissioner does not guarantee payments by the applicant to employees of the employer and will provide the employer with a copy of the applicant's notice to the Commissioner.

An application may be made on form [IR910](#).

The Commissioner may:

- # approve an applicant as a PAYE intermediary if he is satisfied that the applicant will comply with the PAYE and ESCT rules and the applicant's information technology systems will allow it to make payments and file returns in the prescribed format
- # specify a period for which a person is approved as a PAYE intermediary.

A person must have entered agreements that have been approved by the Commissioner ([13-477](#)) with at least 10 employers to be a PAYE intermediary.

Revocation

The Commissioner may revoke the approval if any of the following occurs:

- # the person fails to comply with the PAYE or the ESCT rules (where they have assumed the employers' obligations for those rules)
- # the person or a member of the person or a person acting as a director, secretary or statutory officer of the person or a principal no longer meets the "fitness" requirement under s [124K](#) of the TAA, ie has been made bankrupt, has been convicted of an offence involving fraud or is not eligible to be a company director
- # the person has been put into liquidation or receivership
- # the person, if a company, ceases to be registered in New Zealand.

If approval is revoked, the Commissioner must send a notice of revocation to the PAYE intermediary and any affected employer (being an employer who has notified the Commissioner that the PAYE intermediary

is a PAYE intermediary for the employer). This notice must be given at least 14 days before the date the revocation takes effect.

Any decision made by the Commissioner on a person's status as a PAYE intermediary cannot be challenged.

Law: IT07 ss [RP 2](#), [RP 6](#), [YA 1](#) ("PAYE intermediary"); TAA ss [124H\(1\)](#), [124I–124K](#)

Last reviewed on 31 December 2025

Trust account for PAYE intermediaries [¶3-476]

[¶3-476]

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There are certain restrictions in place for a PAYE intermediary's bank account. A PAYE intermediary must establish a trust account with a registered bank. The account must be named a trust account.

The only deposits that may be made to the account are:

- # a payment of gross salary or wages by an employer
- # an amount of employer's superannuation cash contribution paid by an employer
- # an amount of tax for a payment of salary or wages required under the PAYE rules and employer's superannuation contribution tax rules or made under s [RP 12](#)
- # an amount of a refund made by the Commissioner ([¶3-479](#)), and
- # interest on the amount of the funds in the trust account.

The only withdrawals that may be made from the account are:

- # payments of net salary or wages to employees
- # an amount of an employer's superannuation cash contributions paid by employers on behalf of employees
- # an amount of tax for a payment of salary or wages withheld under s [RP 12](#) ([¶3-479](#))
- # deductions from the salary or wages of an employee, or an employer's superannuation cash contribution made on behalf of an employee, that the employer would otherwise make, and
- # interest earned by the funds in the account.

A payment relating to an employee that is credited to the trust account is held by the PAYE intermediary on trust for the benefit of the employee and the Commissioner according to their respective rights and obligations.

Interest earned in the trust account by a payment that relates to an employee is held beneficially by the PAYE intermediary.

Law: IT07 ss [RM 7](#), [RP 6](#)

Last reviewed on 31 December 2025

Approval of employer arrangement with PAYE intermediary [13-477]

[13-477]

[Click to open document in a browser](#)

An employer who wishes to engage a PAYE intermediary must notify the Commissioner. The notice must include the following details:

- # the name of the PAYE intermediary
- # the period for which the PAYE intermediary will act for the employer
- # the bank account number of the PAYE intermediary's trust account, and
- # whether the proposed arrangement requires the PAYE intermediary to make employer's superannuation contribution tax deductions.

Notification of these details may also be made by the PAYE intermediary.

The Commissioner must send a notice of approval to the employer. The approval will apply to pay periods that begin on or after the date that is 14 days after the date of the notice. For example, a notice of approval dated 1 May 2022 will apply to pay periods that begin on or after 15 May 2022.

An employer or a PAYE intermediary may end an arrangement by notifying the other party and the Commissioner. The notice must state the date that is after the notification for the end of the arrangement.

Law: TAA s [124O\(1\)](#), [\(2\)](#)

Last reviewed on 31 December 2025

Responsibilities and status under PAYE rules and ESCT rules when using PAYE intermediaries [¶3-479]

[¶3-479]

[Click to open document in a browser](#)

Employer

An employer who uses a PAYE intermediary will generally not be subject to the PAYE rules or, if taken on by the PAYE intermediary, the ESCT rules, provided all the following conditions are met:

- # If the employer has authorised the PAYE intermediary to direct fund transfers from the employer's bank account in satisfaction of the obligations under the PAYE arrangement, the employer ensures that, at a time specified by the PAYE intermediary, there are sufficient funds in the employer's bank account to satisfy the obligations of the PAYE intermediary for the pay period (s [RP 9](#)).
- # If the employer has not authorised the PAYE intermediary to direct fund transfers from the employer's bank account, the employer pays into the trust account of the PAYE intermediary:
- # the employees' gross salary or wages for the pay period after deducting any amount that is owed by an employee to the employer and may be lawfully withheld by the employer from the salary or wages (s [RP 10\(2\)](#))
- # if the employer has made a payment of salary or wages (either by cash or cheque) to the employee (see below under the heading "Cash payments made by employer"), the deductions made as required under the PAYE rules and ESCT rules relating to that cash payment (s [RP 10\(1\)](#)), and
- # if the PAYE intermediary has taken on the employer's ESCT obligations, the employer's superannuation cash contributions made in the pay period by the employer (s [RP 11](#)).
- # The employer keeps the required records relating to payments made to employees set out in table 1 of [Sch 3](#) of the TAA ([¶3-131](#)): s [22AA](#) of the TAA.
- # The employer provides the information requested by the PAYE intermediary within the time agreed by the employer and the intermediary (s [RP 8](#)).

Cash payments made by employer

An employer who has engaged a PAYE intermediary may, in accordance with s [RP 12](#), make a payment of salary or wages directly to the employee if all of the following conditions are met:

- # the payment is made on a day in a pay period that is not the usual day for a payment of salary or wages for the pay period (ie the payment is made on a day that is not a normal pay day)
- # the payment is an advance of the employee's salary or wages, salary or wages owed to the employee for an earlier pay period, or a payment on the termination of the employee's employment
- # the employer makes the deductions required under the PAYE rules and ESCT rules from the salary or wages paid as if the employer did not have a PAYE intermediary, and
- # the PAYE and ESCT deducted by the employer are made available to the PAYE intermediary as required — see above under the heading "Employer".

However, the fact that a PAYE intermediary is used does not mean that the employer ceases to be liable for the payment of an employee's salary or wages for the pay period or for making an employer's superannuation cash contribution on behalf of the employee.

PAYE intermediary

In accordance with s [RP 14](#) a PAYE intermediary who acts on behalf of an employer generally assumes the PAYE obligations and, if taken on, the ESCT obligations of that employer for its employees for the pay period, including the obligations to:

- # calculate and make tax deductions and pay those deductions to the Commissioner by electronic means and in the prescribed electronic format ([¶3-020](#))
- # transfer the amount of any payroll donation to the relevant recipient within the specified time period ([¶11-063](#))
- # deliver the relevant employment income information required under subpart 3C of the TAA to the Commissioner by electronic means and in the prescribed electronic format ([¶3-023](#))
- # keep records in accordance with s [22AA](#) of the TAA ([¶3-131](#)).

If a PAYE intermediary has been authorised to direct fund transfers from the employer's bank account (see above under the heading "Employer"), the PAYE intermediary must direct that the amount of the deductions required to be made from the gross salary or wages of the employee under the PAYE rules and the ESCT rules be transferred to either the Commissioner or the PAYE intermediary's trust account as appropriate. This direction must be made at or before the time of the transfer of the salary or wages owing to the employee (ss [RP 15](#) and [RP 16](#)).

However, a PAYE intermediary does not become liable as an employer for the payment to the employee of the salary or wages for the pay period (s [RP 13\(2\)](#)).

A PAYE intermediary must maintain and operate administration and information technology systems that protect the privacy of the personal information and payment details acquired in the performance of its functions.

A PAYE intermediary may make an amended return relating to employees of the employer for a different pay period. The intermediary will be responsible for the accuracy of these amendments.

Refund by Commissioner of Inland Revenue

Under ss [RA 19](#) and [RM 7](#) the Commissioner must refund to a PAYE intermediary any payment of deductions that is made by the PAYE intermediary:

- # in reliance on a payment to the trust account of the PAYE intermediary that was made by the employer and later dishonoured by the employer, or made by a person because of a mistake and later recovered from the PAYE intermediary by the person, or
- # because of a mistake by the PAYE intermediary or another person and from funds that were not provided to the PAYE intermediary by the employer for the payment to which the deductions relate (ie the salary or wages or employer's superannuation cash contribution) or for the payment of the deductions.

KiwiSaver

A PAYE intermediary is treated as the employer for the purposes of the information required to be supplied to the Commissioner in relation to new employees under ss [22](#) and [23](#) of the KiwiSaver Act 2006.

Part [3](#) of the KiwiSaver Act deals with KiwiSaver contributions. The role of employers under that Part also applies to PAYE intermediaries.

Law: IT07 ss [RA 19](#), [RM 7](#), [RP 7](#), [RP 8](#), [RP 9](#), [RP 10](#), [RP 11](#), [RP 12](#), [RP 13](#), [RP 14](#), [RP 15](#), [RP 16](#); TAA ss [22AA](#), [124P](#), [124Q](#), [Sch 3](#); KIW ss [23A](#), [63](#)

Last reviewed on 31 December 2025

Termination of employer arrangements with PAYE intermediaries [¶3-480]

[¶3-480]

[Click to open document in a browser](#)

An arrangement between an employer and a PAYE intermediary may be ended by either party giving notice to the other and to the Commissioner. Notice may be given to the Commissioner on form [IR913](#).

The notice of termination must state the date on which the arrangement will end. This date must be one that occurs after the date on which the notice is given.

A person who stops being a PAYE intermediary (or, before 1 April 2020, listed intermediary) for an employer has the rights and obligations under the PAYE rules and ESCT rules of a PAYE intermediary (or listed intermediary) for funds that:

- # the employer pays to the person as intermediary, and
- # the person holds at the time they stop being an intermediary.

As a result of the repeal of the payroll subsidy from 1 April 2020, listed PAYE intermediaries were also repealed from 1 April 2020.

Law: IT07 s [RP 2\(3\)](#); TAA s [124O](#)

Last reviewed on 31 December 2025

PAYE intermediaries and use of money interest [¶3-482]

[¶3-482]

[Click to open document in a browser](#)

Generally, a PAYE intermediary is subject to use of money interest on any over- or underpayment of PAYE for employers for whom the PAYE intermediary acts. The PAYE intermediary is liable for interest only if the following criteria are satisfied:

- # the employer has met the obligations imposed under ss [RP 9–RP 11](#) (see the first 2 bullet points in [¶3-479](#) under the heading “Employer”), and
- # the employer has provided any information requested by the PAYE intermediary by the agreed date (s [RP 8](#)).

Note that the Commissioner cannot apply interest payable on PAYE overpaid by the PAYE intermediary towards the payment of the PAYE intermediary's unpaid tax.

Interest receivable by a PAYE intermediary on overpaid PAYE may not be:

- # treated as tax overpaid by the PAYE intermediary in any other capacity, or
- # transferred to the PAYE intermediary in another capacity or to another taxpayer.

The provisions relating to the cancellation, remission, relief and refund of use of money interest also apply to a PAYE intermediary (s [185B](#) of the TAA and [¶22-200](#) and [¶22-355](#)).

Law: TAA ss [120OB](#), [120OC](#), [173MB](#), [185B](#)

Last reviewed on 31 December 2025

Penalties for PAYE intermediaries [¶3-485]

[¶3-485]

[Click to open document in a browser](#)

A PAYE intermediary is generally subject to late filing penalties, late payment penalties and shortfall penalties on any unpaid PAYE as if that person were the employer unless the employer has failed to:

- # pay the gross salary or wages to the intermediary in accordance with ss [RP 9](#) to [RP 11](#) (see the first 2 bullet points in [¶3-479](#) under the heading "Employer")
- # provide any information requested by the PAYE intermediary by the agreed date.

If the employer does not satisfy the above conditions, the late filing, late payment and shortfall penalties on any unpaid PAYE will continue to be the liability of the employer.

The non-electronic filing penalty also applies to a PAYE intermediary ([¶14-045](#)).

The provisions relating to the recovery, remission, and refund of penalties also apply to a PAYE intermediary.

Law: TAA ss [141JB](#), [185B](#)

Last reviewed on 31 December 2025